

Hindustan Aeronautics Ltd. (HAL)

Conference call transcripts, oldest-first. 6 call(s). Generated 2026-08-02.

Call: Sep 2022

BSE Limited
Listing Department
Phiroze Jeejeebhoy Towers,
Dalai Street,
Mumbai — 400 001 National Stock Exchange of India Ltd
Listing Department
Exchange Plaza, 5th Floor, Plot No C/1,
G Block, Bandra-Kurla Complex,
Bandra (E), Mumbai — 400051 -7eg-triN.
HAL Locira,...npf tt.raegat.35 62_,C.n.itst
gpw,0 eiteD
itT?rrff 1.111-acti1
T.91.11eier
HINDUSTAN AERONAUTICS LIMITED
CORPORATE OFFICE
CO/SEC/4(7)/2022-23/ BSE & NSE Filing/52 5'h September, 2022
Dear Sir/ Madam,
Sub: Transcript of Business Update Conference Call
Ref: BSE Scrip Cod e: 541154, NSE Symbol: HAL

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of Business Update Conference Call held on Monday, the 29'h August, 2022 hosted by ICICI Securities.

2. The same is made available on Company's Website www.hal-india.co.in in Sub-section "Analyst / Investors Meet" under "Investors" Section.

3. This is for your information and record, please.

Thanking you,

Yours Faithfully

For Hindustan Aeronautics Ltd

(G V Sessa Reddy)

Company Secretary & Compliance Officer

15/1, dzes cfuecise€, 2.3oriet4facb - 560 001, d -e.,3d, 2t3@d4 15/1, ct)661-1 , - 560 001 , 1-117U

15/1, Cubbon Road, Bangalore - 560 001, Karnataka, India

Eztad--ae5 (Tw) Ph.: +91-80-2232 0001, 2232 0475, 47,-6,5e,)(tk---4,44) Fax: +91-80-2232 0758

&.)e06 (t) Email : cosec@hal-india.co.in

CIN: L35301KA1963G01001622

Page 1 of 18

"Hindustan Aeronautics Limited Business Update Call
Hosted by ICICI Securities"

August 29, 2022

MANAGEMENT : M R. C. B. ANANTHAKRISHNAN – CMD, DIRECTOR
(FINANCE) & CFO, HINDUSTAN AERONAUTICS
LIMITED

MR. JAYADEVA E. P. – DIRECTOR (OPERATIONS),
HINDUSTAN AERONAUTICS LIMITED

MR. ALOK VERMA – DIRECTOR (HUMAN RESOURCES),
HINDUSTAN AERONAUTICS LIMITED

MR. GV SSHA REDDY – COMPANY SECRETARY ,
HINDUSTAN AERONAUTICS LIMITED

MR. KRISHNA – EXECUTIVE DIRECTOR (PLANNING),
HINDUSTAN AERONAUTICS LIMITED

MODERATOR : M R. ABHIJIT MITRA – ICICI SECURITIES

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Business Update Call of Hindustan Aeronautics Limited Conference Call hosted by ICICI Securities. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Mitra from ICICI Securities. Thank you and over to you, Sir.

Abhijit Mitra: Thanks, Operator, and good evening to all the participant and thanks for joining in. We are here to discuss the business update of Hindustan Aeronautics and from the management we have Mr. C. B. Ananthakrishnan — CMD, Director (Finance) & CFO; Mr. Jayadeva E. P. — Director (Operations).

So, without further duo, I hand it over to the management team for his opening remarks.

C. B. Ananthakrishnan: Good evening and warm welcome to one and all. We have just completed our AGM and we are into this analyst call today.

At the outset, it's a great pressure and privilege to address you today for this analyst call post our AGM of 2021-22. I trust your family and you are all keeping well in the midst of this unprecedented pandemic COVID-19. At HAL, we are all fighting to revive and rebuild the operations in these challenging situations.

As you all know that we had a successful year 2021-22 wherein we showcased impressive performance in every area, whether it is from revenue to operational efficiency, contributing to the wealth of our treasured shareholder significantly with the increase in the market capitalization to almost Rs. 74,000 crores as on date. This also reiterated their belief on the company and the company is marching ever strong as it has been in the past.

I would like to introduce my team which is there with me right now. Today, as I speak to you, I have with me the Director (HR of the Company), Mr. Alok Verma; Director (Operations), Mr. Jayadeva; and Company Secretary Mr. Sesha Reddy; and also, our Executive Director (Planning) Shri Krishna besides my Finance team, which is also there to assist me out.

I take this opportunity to highlight the evolving landscape in the defense ecosystem in the country, the impact of the recent changes in the geopolitical situation, and the roadmap ahead for HAL. I would just like to take a 10-minute time for the introduction on all the recent significant milestones which HAL has achieved and also the road map for the future.

The current financial year 2022-23 has begun quite well and HAL has posted a robust financial results in the first quarter. We have declared our Q1 results, which is available in public domain, and most of you might already analyzed the same. The Q1 results reflect the normalcy that we

ICICI Securities Limited

August 29, 2022

Page 3 of 18

have achieved in our operations compared to the previous year. It was a strong quarter and we could deliver improved performance for the various parameters including revenue, profits, EBITDA etc.

Our order book also has further strengthened to almost 84,800 crores, close to 85,000 crores on receipt of fresh orders of almost 6,000 crores plus. Our collections and the budget allocations is healthy during the current year as well, and today as on date, we are having a surplus cash balance of almost 14,000 crores, which is nothing but the working capital funding, which has been funded upfront by our customers.

Some of the significant development I would like to highlight here on the various project because since we last spoke almost sometime in May 2022. The first series production of light utility helicopter Mark 1 took to skies during July 2022

and is ready for rollout from the New

Greenfield helicopter factory at Tumakuru. The project is almost complete and the factory is ready for its operations and we will commence our operations over there very shortly.

Light transport aircraft Hindustan 228 Dornier aircraft attained civil certification from DGCA during May 22 which is again a stepping stone for us to get the EASA certification for doing the export of this Dornier. Marking a major contribution towards the Human Space Flight Program or Gaganyaan, HAL has delivered the Crew Module Fairing and HEM -Thrust-transfer Structure hardware to ISRO during August 22.

The first flight of LCA Mark 1A, which is one of our flagship orders which we will have to execute and the first delivery is to happen in February 2024. It has already started and the first flight has already started and we are in line with that so that the deliveries will happen as per the scheduled delivery date.

In significant collaborative move aimed at bolstering the Make in India campaign, HAL has

signed an MoU with Safran to set up a joint venture intended for development, production, sales and support of helicopter engines to meet not only the requirements of the Indian helicopter programs, like IMRH, but also for the global market. A 50-50 partnership is envisaged with the most important thing being that IPR will rest with the joint venture within the country. HAL has also entered into an MoU with the IAI, Israel Aerospace Industries on 4 March 2022 to convert the civil passenger aircraft to multi-mission tanker aircraft. This is part of our diversification plan, which probably we are in discussions with IAI which we are expecting it to materialize in the days to come.

An EOI has been released for the public-private partnership for the Indian Multi Role Helicopter. This is again a major program. We wanted to public-private partnership right from the design and development stage itself, the first of its kind as far as HAL is concerned, as far as the Indian Defense industry is concerned. So, this model if it works, it augurs well for the Atmanirbhar and the self-reliance vision of our Prime Minister.

ICICI Securities Limited

August 29, 2022

Page 4 of 18

I also would like to share with you what is the future outlook for HAL? It looks very stable and promising as I can say, many positive developments which will put HAL in the proper growth trajectory in the near future. It will also help not only HAL but also the ecosystem of the Indian Defense and Aerospace Industry as well.

Today, the thrust is more on indigenization. As you all know that the government's Atmanirbhar and self-reliance is more towards indigenization of the various platforms. At HAL indigenization is of utmost priority because we create the mission for mission success against adversaries wherein we need to be self-dependent and just to substantiate my statement during the last year almost out of 34 new platforms which has been manufactured and delivered, 30 are indigenously designed and developed state-of-the-art platforms which is really an immense contribution towards the indigenization and Atmanirbhar.

All the major platforms of HAL, namely, our LCA, Dornier 228, HTT-40, LCH, LUH are part of the positive list notified by MOD ensuring assured order for these platforms while over 50 LRU fitted on these platforms are also notified ensuring guaranteed order for our partners in the Indian private sector.

In fact, the third PIL, yesterday, the third PIL, that is the Positive Indigenization List has also been approved by the government which contains some about 780 strategically important LRU subsystems and components of which almost half of it, 360 are from HAL platforms like LCA, LCH, LUH and so on and so forth. This means that our thrust on indigenous development through the synergistic collaboration with the Indian private industry and assured long-term

business for us and our business associates.

So, this shows the criticality and the importance which HAL attaches to the indigenization and also to reduce our dependency on the foreign OEMs in the days to come. This has been further strengthened by the recent geopolitical situation and pandemic, the quest for Atmanirbharta and HAL in collaboration with the private industry is relentlessly working towards breaking the dependency in all the critical area in aerospace segment.

Today, we have got multiple platforms indigenously designed and developed platforms. Earlier, we had more of license production. Today, we have got more of indigenous platforms in our stable almost as I have already mentioned ranging from fighters to trainers to fixed wing transport aircraft to utility helicopter, attack helicopters, a complete range of all the aircraft industry which anyone could think of. All these platforms would reduce our dependence on foreign OEMs and provide opportunities aggressively to pursue the export market, especially in the light of so much of enquiries being received in the recent past due to the changing geopolitical situation.

Also, to take care of the future, we do not want to lag on the technological front. We wanted to also be prepared for taking the technological requirements of the future like the Combat Air Teaming System, CATS, as we call it, and then the LCA Mark2, then TEDBF, that is Twin

ICICI Securities Limited

August 29, 2022

Page 5 of 18

Engine Deck Based Fighter, and the AMCA, of course, as you all know besides the IMRH program.

We are also giving a lot of thrust to our in-house research and development. As you know, almost 6% to 7% of our total revenue goes into the research and development activity annually, and in the last couple of years we have sanctioned almost projects worth 5,000 crores for indigenously design and develop, and we are also going to fund this in-house without waiting for sanctions from the government. All this would mean that our focus on indigenization and design and

development and the self-reliance is of paramount importance to HAL. In fact, we have increased our R&D reserve from 10% to 15% of our operating PAT in last year to build a sufficient R&D reserve to take care of all our new programs which we plan to take up in the near future.

As far as the international business is concerned, there is a lot of optimism within HAL, especially in view of the recent geopolitical scenario and the neutral position which India has taken. The changing world order has provided a good opportunity to HAL in pursuing some of the markets which were not targeted before. There are enquiries from countries like Malaysia, Philippines, Argentina, Egypt for supply of new platforms as well as to support their existing fleets which are getting affected because of the recent changes I mean in the war scenario in Ukraine.

HAL's primary focus so far has been only to address the Indian Defense Forces and to indigenous requirements, and it was limited to certain platforms under license production, but with these changes, which is happening elsewhere in the global changes, we are now focusing more on the opportunities which are available to tap in the international market as well. We are taking a concerted effort towards increasing exports and the additional indigenous platforms have been added to the export offering list, which you all know has been the advanced flight helicopter, then Mark IV Rudra, which is nothing but weaponized version of ALH, light combat helicopter, light utility helicopter, and then HTT Trainer and all the other, I mean, apart from LCA Tejas. In fact, we are also increasingly concentrating on International certifications like EASA and FAA to enhance our global appeal. Besides that, as soon as we go to listed

, we also in 2018, we

are also looking at opportunities which are available in non-defense areas to de-risk ourselves from total dependency on the defense related products and the defense customers. Towards this, we have also engaged the consultant Boston Consulting Group to identify areas where HAL can diversify besides suggesting us also to improve the various strategies, business strategies apart from internal restructuring to improve the operational efficiencies.

Some of the opportunity, I mean, areas diversification opportunities which are being available are civil MRO, passenger to freight conversion of aircraft, UAV, simulator, all of this for deriving the additional revenue streams.

As far as the order pipeline is concerned, we have got a very strong order pipeline for newer platforms which are expected to materialize over the next one to two years timeframe. Orders

ICICI Securities Limited

August 29, 2022

Page 6 of 18

for 70 HTT-40, 25 ALH for Army, 6 Dornier aircraft, 12 light utility helicopters, 12 additional Sukhoi 30, and 240 AL-31FP engine for the Sukhoi aircraft are in the advanced stages of finalization and are expected to materialize in the current financial year.

The aggregate value of all the above orders would be around 45,000 crores and would take our order book position beyond 1 lakh crores in the current financial year if all of these materializes. There are many more orders in the pipeline, like 80 numbers of RD-33 engines, 145 numbers of light combat helicopter, 175 numbers of light utility helicopter, 60 numbers of UHM, which is again a Marine ALH, and LCA Mark II programs, AMCA, IMRH etc., which will provide further impetus to the growth momentum of the company. These platforms also have got significant business potential, but this will all take at least three-to-five-year time span. We will be able to conclude many of these contracts.

We are also taking significant efforts to promote our international business. As you are all aware, LCA Tejas tender for supply of 18 numbers of Tejas to Malaysia is under advanced stages of finalization by Malaysian government. We are one of the top contenders towards this. We have already in the process of establishing our office in Malaysia. We have initiated the process in this regard. This is to facilitate the consultations with the stakeholders not only in Malaysia but also in all the Southeast Asian countries looking for the export opportunities.

We are also planning to open our other offices in the other promising geographies like Egypt, then Middle East and North America as and when the opportunities exist over there.

Besides the manufacturing orders, our ROH orders is continuing to contribute a significant revenue stream, and it will continue to contribute and increase the revenue stream in the coming years as well.

Another concern which all of you may have is the supplies from Russia in view of the recent conflict which is happening over there. As far as we are concerned, supplies from Russia, we are managing without much of concern. The supply chain is continuing and also with the available inventory at our disposal, we do not foresee any interruptions in our operations, and we will be in a position to continue with our operations and also to see that the serviceability of the customers is not getting affected in any way.

Of course, considering the greater predominance of the Russian origin platforms in our product portfolio, we are in continuous discussions with the Russian side to ensure that the supplies are

uninterrupted, and also we are in the process of indigenization of Russian LRUs and other systems and subsystems so that our dependency in course of time from the Russians will get reduced.

Beyond business, HAL always has been a compassionate business entity both in times of war and peace. Pandemic struck. We stood or we rose to the o

ccasion to extend all support to our

HAL family and the nation at large.

ICICI Securities Limited

August 29, 2022

Page 7 of 18

Further, as a socially responsible business entity, we are also into more, we focused on to the environmental sustainability and transparent governance has been our guiding principles to conduct our business and enhancing our shareholders wealth. On the enviro, social, and governance front, we have initiated efforts to be ESG compliant company and have commenced our business responsibility and sustainability reporting as per the prescribed formats even though the regulations demand such reporting only from the next financial year. This would mean that importance which we are showing towards our ESG requirements. Almost 40% of our electrical needs from the divisions of the company during the last financial year has been met out of captive wind and solar plants among the other sustainability initiatives.

So, that's overall. I would not take much more time. I would like to conclude. I see the future holds bright promises, and the brand HAL built on a strong foundation of trusted team spirit and commitment towards excellence will continue to propel the nation towards Atmanirbhar Bharat and this Atmanirbhar Bharat and Self-Reliance Vision has opened up plenty of opportunities to HAL and to the defense industry in general within the country, and we hope HAL will ultimately get benefited out of that, and ultimately the investors will also gain from this, and for the confidence and trust which the investors are keeping, we are very thankful to you. Thank you. Moderator: Thank you. We will now begin the question-and-answer session. [Operator Instructions]. The first question comes from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya: Sir, I have three questions. First is there has been news that the Air Force is not keen on LCA-Mk II aircrafts and are looking for foreign aircrafts like Rafael and F-18. So, can we just throw some light on what are the discussions you are having with the Air Force? And what is the current status regarding the developmental induction for LCA Mark II? My second question is last year provisions were pretty high at around 10% of sales excluding the one-off provisions. So, do you think it can move to around 6% to 7% this year which has been our historical range? And my third question is, we are seeing increased focus for Tejas Aircraft from other countries. So, what is the export opportunity for our other platforms like Dornier or ALH or a Trainer aircraft since these aircrafts I believe have very good capabilities and perform very well on cost basis? So, which are the major countries you are looking for exporting?

C. B. Ananthakrishnan: As far as your first question goes, that LCA Mark II status, the project is still on as far as HAL is concerned, and in fact, we are having continuous discussions with ADA, that is that Aeronautical Development Agency, and also with our customers. In fact, as we understand, the progress, the discussions for getting the CCS approval for this is also on, and the Mark II program is still continuing and the customer, in fact, we expect the first flight to happen.

Jayadeva EP: IAF has participated in the critical design review.

C. B. Ananthakrishnan: Yes.

Jayadeva EP: IAF has already participated in the critical design review of this project.

ICICI Securities Limited

August 29, 2022

Page 8 of 18

C. B. Ananthakrishnan: So, we don't see as of now, I mean, there is much of visibility is there and still the project is on, and we don't see that this project will be shelved for importing them. Maybe that they may import for some for additional requirements, but this project is still on. And as far as the second question on provisions, the provisions of the last year, yes, it has been de

finitely, it has been high instead

of 6%, which is in the normal rate which it used to be, it was around 10%.

This is basically on account of two reasons. One is that there was an accident aircraft which has happened Sukhoi. The differential, I mean, we had made a claim from insurance, but we will have to supply the aircraft to the customer. The additional cost which we will have to incur which is around 160 crores, we had created a provision for that. Similarly, there have been certain loaned items which we have taken against our deliveries to the customers because of the urgency requirement. So, we will have to replace all of those loaned items which we have estimated. It is a round 270 crores.

Besides that, warranty also has gone up by another 190 crores, basically, because there was an increase in the, as and when the sales increase, the corresponding warranty liability also will increase because we will have to provide warranty support to the platforms supplied. So, that has also increased by another 190 crores, and there have been as far as the helicopters are concerned, there are again certain replacement and issues which we will have to make. So, that is again constituting another 200 crores. So, these are all the broad increases which has been there for the current year, but it may not be, especially the accident Aircraft and the loan items may not be there in the current financial year. So, all of this we should be able to continue to maintain at 6% to 7% of our total revenue as our provisions in the current year.

Aditya: Just as a follow-up, so the provisions coming out to around 6% to 7%, so our margins should from current 24%, it could go up to 26%, 27%. Is that understanding correct?

C. B. Ananthakrishnan: No, not, I mean, may not be because that last year, we had an abnormal income as well. There was a differential sale which has resulted in certain additional profits which may not be there in the current financial year, so which would mean that the margins we will still be able to maintain at 24%, 25%, but this will not probably add on to the margins. And the third question is on the platform, Tejas export opportunity.

Jayadeva EP: Export opportunity, other than LCA. So, other than LCA, we are promoting ALH and LCH because these two, ALH is already flying with our defense services. LCH is also entering services this year. It has already entered. So, based on this feedback, we are promoting these. The countries which have vested interest in these two platforms are Philippines, Nepal, Bangladesh. In addition to that, we are also pushing for Namibia, Mauritius, Vietnam, Seychelles, Thailand, and Nigeria.

And coming to Trainers, we will be pushing for HTT-40 the moment it enters the service with our IAF, but nonetheless, we would like to push our HTT-40 in advance also, But once we are comfortable with IAF operating this, then we will give a major thrust on this aircraft also. In addition to that, we are also pushing LCA as a twin seater aircraft, which is not exactly, we can't

ICICI Securities Limited

August 29, 2022

Page 9 of 18

call it a trainer. It is more of a twin seater fighter aircraft, which can operate for training the fighter pilots also. We are pushing LCA twin seater. It was also a trainer cum fighter aircraft. So, these are the major export push we are giving in our current portfolio. DO-228 also we are pushing both with Philippines, Nepal, and Bangladesh.

Moderator: Thank you. Mr. Aditya, we may request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. Next question comes from the line of Vishal Biraia from Max Life Insurance. Please go ahead.

Vishal Biraia: So, my question is on the engines front. If you could elaborate on the 25 kilo Newton engine that has been tested, by when do you expect commissioning

and certifications? And how are we planning to get the engines? Do we expect to use the GE 404 as only for the upcoming programs or do we plan to have the Kaveri also coming in? So, if you could elaborate a bit more on the engine program overall? Thank you.

Jayadeva EP: 25 kilo Newton engine we are in the process of developing this technology for this engine in-house at HAL. We have R&D center known as Aero Engine R&D center. We have taken up this project as a company funded project. We have done some basic tests like core engine tests, compressor tests, all the things we have done. The full engine we are integrating now, and then we will be taking up the full engine performance testing and then evaluation we will be taking up. After this, we may have to do further tests on flying test beds. So, in our current estimate, it may take another six to seven years to certify this engine.

Then coming to GE 404, GE 404 as of now we are not establishing any manufacturing facility or ROH facility at HAL right now. Right now all the engines are being procured directly from GE USA, and IAF is in the process of setting up ROH facilities at their bases, like they call it as a module level workshops. So, they are trying to establish the facilities at their bases, and we also want to augment these facilities with some production of manufacture of parts, which will be required during the ROH. We are in discussion with the GE for getting a transfer of technology for these parts so that we can participate in the ROH program.

We are also in discussion with IAF to set up a D level facility at our HAL facility also. So, this will, over a period of time, this will augment. It will give a full visibility for the ROH of engines, which otherwise takes nearly two years to get back from US if it is sent to US.

Vishal Biraia: And are you expanding the capacity for ROH for the low-thrust engines on Bangalore?

Jayadeva EP: Low-thrust engines means you are talking about Adour 871? Right now, we have Adour 871 which is fitted on Hawk aircraft. So, if you are talking about fixed wing aircraft, we have full capacity.

Vishal Biraia: For the rotary wings?

ICICI Securities Limited

August 29, 2022

Page 10 of 18

Jayadeva EP: Rotary wings, we are operating ARTOUSTE, and then Shakti and 2 B2 engines which are used on ALH and Cheetah, Chetak helicopters. Cheetah, Chetak helicopters, we are fully meeting the requirements of our defense customers. ALH also we are meeting the requirements as of now, but in future with the increased number of ALH, the engine ROH requirement also will increase. So, to tide over this situation, we have entered into a joint venture agreement with our Safran and one HEMRO, that is Helicopter Engine MRO facility is coming up at Goa which will be operational by end of 2023. So, with that, we will concentrate more on manufacture of helicopter engines at our Engine Division in the HAL. ALH engines, ROH will be slowly will be offloading to the JV. So, our capacity will be free for new helicopter. For example, we have to scale up our facilities for LUH and LCH engines. So, that will be taken care of by this HEMRO, that is helicopter engine MRO JV.

Vishal Biraia: So, lastly, all the LCH engines would be made in-house after this in this JV?

Jayadeva EP: Yes. LCH engines will be made in-house.

Jayadeva EP: LCH engine is nothing but Shakti engine.

Moderator: Thank you. Next question comes from the line of Mr. Venkatesh Subramaniam from Logitree Investment Advisers Private Limited. [Operator Instructions]. Please go ahead, sir.

Venkatesh Subramaniam: Sir, two questions. One is during the last Con Call; you had mentioned a couple of things. One is on 25,000 crore 15 LCH plus ROH facility that will get executed this year. I just need an update on that whether we are on track on that one, sir? Number one. And second question is, aircraft engines,

there was a BOF for Su-30 24 numbers and MiG- 29 18 numbers RD-33 Engine worth about 33,000 crore. There was an order that was possibly expected. Can you give us an update on that, sir?

C. B. Ananthakrishnan: No, the first question, I mean, if you could just repeat the first question, what exactly is the question? First one.

Venkatesh Subramaniam: You have mentioned that there was a 25,000-crore order for 15 light combat helicopters and a repair and overhaul for the same, which was supposed to be executed in this financial year. So, I was wondering whether we are on track for that, sir?

Jayadeva EP: Yes. That 15 LCH order has already, contract has already been signed on 30th March of last year. We have already delivered last year six helicopters, and in the current year, we are the balance helicopters nine also we will be delivering. So, we are on track as far as this LCH order is concerned and subsequent to that, we also expect once this order, I mean, once these aircrafts are delivered and tested, we expect subsequent orders of LCH of almost 147 numbers which is what the major contribution. Today, the order is 2,800 crores, but what we are left with the balance helicopters 147 is what we are talking about the 25,000 crore, but that will take time.

ICICI Securities Limited

August 29, 2022

Page 11 of 18

That will come through in a span of two to three years from now. That is as far as the LCH is concerned.

The second question is on MiG-29 engine. That is that RD-33, 80 numbers. That we have already, AoN has been accorded. RFP is expected any time. Once the RFP comes, we will submit our quote and the process will be on. Maybe it will take at least maybe not in the current financial year, could be in the next financial year, the contract could get concluded.

Venkatesh Subramaniam: Along with that, there was a BOF for Su-30 24 numbers, sir.

C. B. Ananthakrishnan: Yes.

Jayadeva EP: 240 numbers.

C. B. Ananthakrishnan: 240 numbers. It is AL-31FP, which is the Sukhoi engines, 240 numbers for which AoN has already been accorded. RFP also has been issued two days back. So, we are in the process of submitting the quote, and we expect it to expedite the same so that we get this in the current financial year or at the most in the first half of the next financial year.

Venkatesh Subramaniam: And one kind of a futuristic question, sir. Over a next two to three year period or four years, whatever you think, as per your internal vision, sir, what percentage, what would international business be as a percentage of overhaul revenue, say, in three to four years time, sir?

C. B. Ananthakrishnan: In line with the vision of Ministry of Defense and our Prime Minister, that is the 35,000 crores of export business, and we are also being tasked to achieve at least 10% of our revenue should come from the export business by 2025. So, we expect by 2025, our export business, we should be able to generate at least 10% of our revenue from the export business.

Venkatesh Subramaniam: I know, sir, 35,000 crores is the export target. So, what would that if HAL has grown to grow its top line at say 10% CAGR, any numbers that you can give us, sir, broadly?

C. B. Ananthakrishnan: Broadly, we expect around 2,500 crores of exports we should be able to achieve by 2025 on a consistent basis year-on-year. This 35,000 crores what I was mentioning is for the country as a

whole.

Venkatesh Subramaniam: Country as a whole, okay. And then, sir, this 2,500 crores includes all the order prospects that you mentioned, which is exports to whether it's Vietnam, Nigeria, Thailand, all that is included in this, all this prospects?

C. B. Ananthakrishnan: Yes, correct, because it is going to be on an annual basis, so which means that every year we should be able to generate 10% of our revenue from exports. So, all this is included, and all this and something more a

so which we are trying to establish.

ICICI Securities Limited

August 29, 2022

Page 12 of 18

Venkatesh Subramaniam: And whenever we are supplying these new engines or new aircrafts, all these new products, it will also automatically be linked with ROH facilities and maintenance for them. Isn't it, sir?

C. B. Ananthakrishnan: Yes. It includes ROH facilities, but as part of our export promotion, we also need to like how we are looking at for Atmanirbhar and Self-Reliance, the countries in which we are exporting, they also look for some sort of local indigenization to happen through the ROH activity. Of course, with the spare supply and the major LRUs will be supplied as part of our export, but the repair and overhaul activity may be taken up within the country in order to see that there is an incentive for them to continue to buy our products.

Moderator: Thank you. Next question comes from the line of Abhijit Mitra. Please go ahead.

Abhijit Mitra: Thanks for taking my question, and the question is, you know, on the naval news front that we are seeing. So, there's again, we can see a rediscussion starting out on the second aircraft carrier and at the same time we are seeing probably a push from, let's say, a Boeing or a Lockheed to sort of push through F-18 or F-21, you know, as a part of the aircraft-based carrier group. So, is there a loss of share that you fear because I think this discussion was pretty much shelved, probably, I think after the CDS discussions again are resurfacing. So, what's your thought on that?

C. B. Ananthakrishnan: While we would not like to comment that whether Airbus or the other foreign OEMs would like to push their products, but we are quite comfortable with the visibility which has been available for as far as the HAL products are concerned and as we have already listed it out, many of the programs which is being taken up by HAL at present was always with the, I mean, sort of MoD sanctions. So, we do not foresee any problem.

As far as our programs are concerned, our programs will continue to keep, we keep supplying to the defense customers. Maybe to augment the defense needs of the country, if there are going to be additional procurement, as of now we will not be in a position to comment on that, but our HAL supplies will continue to be in the same way in which we have been doing that in the past, and many of the programs, it's all big-ticket programs where the order book and anticipated order book position will be quite huge in terms of lakhs of crores. So, we don't foresee any competition or any sort of setback because this when foreign OEMs are trying to pitch in their products.

Abhijit Mitra: Just to rephrase my question, is there any replacement in our stable for MiG-29K or that's only LCA Mark II as and when that comes through?

Jayadeva EP: We are working on TEDBF. That is the Twin Engine Deck Based Fighter aircraft which ADA is spearheading.

Abhijit Mitra: And what's the time frame for development?

Jayadeva EP: It could be around 5 to 6 years.

ICICI Securities Limited

August 29, 2022

Page 13 of 18

Moderator: Thank you. Next question comes from the line of Harshit Patel, an individual investor. Please go ahead.

Harshit Patel: Sir, my first question is on the ALH front, advanced light helicopter. So, how many units are up for execution in FY23? I think with the execution of this many number, I think we will complete the execution of old contract, right? And when do we start manufacturing for the new contract, I mean, these 24 numbers for which AoN has been received? Also going ahead, do you have any visibility as to more AoNs and more orders will come in for ALH or this will be the end of the program?

C. B. Ananthakrishnan: ALH has been one of our flagship programs and one of the most successful programs. And we foresee that the demand

for ALH will continue. In fact, the initial discussions with the customers, they are always very much positive and optimistic as far as the continuation of procurements of ALH from HAL. As far as your question on the current year supplies, 9 ALH is pending. Nine will be delivered in the current year in 22-23. And as far as the 25 ALH for which the RFP has already been issued and then we have also submitted our quotation, we are in the process of final

negotiations, and we expect that the contract once concluded, we expect the deliveries to commence from 23-24 onwards, and we are expecting it to get completed in two-year timeframe, that is 23-24 and 24-25.

Harshit Patel: I think the second question is on the Dornier front. So, you mentioned about getting new orders for 6 units of Do-228. So, what is our manufacturing plan for FY23 and '24? Also, what is the per unit price of these aircrafts? Also related question would be any visibility do we have in terms of the upgrade order from Indian Navy? I think you have previously mentioned about getting an order over 2,500 crore from Indian Navy for the upgrades of this aircraft.

C. B. Ananthakrishnan: Dornier 228 six numbers is what we expect the RFP to get concluded and for the 22-23, for the current year, we are counting four numbers of Dorniers to be delivered. We are waiting for the contract. We have already commenced the production of the same, and the products will be the four, platforms will be four aircrafts will be ready in the current financial year so that the moment the contract gets concluded, we will be in a position to deliver that and the balance two will be delivered in 23-24. That is the current financial year four number, and the next financial year two number.

Jayadeva EP: Navy upgrade. The mid-life upgrade of Navy, that is actually we have already submitted the budgetary quotation to the customer. They are taking the internal approvals, and once that is done, then RFP will be issued.

Harshit Patel: So, this six numbers that you mentioned the contract for which we will get in due time, so this is which customer, sir?

C. B. Ananthakrishnan: IAF. Indian Air Force.

ICICI Securities Limited

August 29, 2022

Page 14 of 18

Harshit Patel: And any visibility on the civil version for it, the Hindustan 228? I mean, previously, you have mentioned that you will be manufacturing some units even without a contract so that you can sell them in the open market. So, is there any visibility on that front?

C. B. Ananthakrishnan: As you know that already we have two aircrafts of ours is flying as part of the leasing arrangement in the northeastern states with Alliance Air. So, we are also planning to make an additional two numbers and keep it ready on the civil front because we have got the civil certification also done so that once the aircrafts are ready, we expect that there will be a good visibility, especially when the two aircrafts which we have leased it out is performing quite well. So, we expect additional orders to come through. In fact, some of the state governments are already in talks with us for these Dorniers to be sold to them. So, we are going ahead with our program for producing an additional two number, six numbers, not two certified aircraft in the current financial year.

Harshit Patel: What is the per unit price of this aircraft? And how does it compare with the IAF contract that we will execute?

C. B. Ananthakrishnan: No, we cannot compare this with the IAF contract because there are so many additional optional items, mission equipments which are required for the customers. IAF, and in fact, for the Navy, the requirements are, I mean, much so that the prices will always be very high there, but for the civil aircraft, our price is expected to be around 60 crores.

Moderator: Thank you. Ladies and gentlemen, due to time constraint and in order to

ensure that the

management is able to address questions from all participants in the conference, please limit your question to one per participant. Should you have more questions, we request you to get back in the queue. The next question comes from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Just wanted to, you know, check. You mentioned there will be order inflow of 45,000 crores. Now does it include the ROH and spares number which you generally have of around 15,000 crores like last year? Or is it excluding that? And secondly, this means that the Sukhoi order of 12 units which you are expecting in FY23 has been cancelled or it will be pushed to maybe FY24 or FY25?

C. B. Ananthakrishnan: The 45,000 crores orders which we were mentioning is only that of platforms that is the aircraft. We don't include the ROH requirements. ROH orders will be in addition to these platforms. That answers your first question, and the second question as for this Sukhoi 30, 12 numbers, still the requirement is on. In fact, we are also having discussions sometime next week to see how to conclude that. We expect that if it is through, it should be coming in the current financial year so that the deliveries can start in the next financial year. That is again, the contract is still to be concluded, and the discussions are on with the defense customers.

Moderator: Thank you. Next question comes from the line of Rakesh Roy from Indsec Securities and Finance Limited. Please go ahead.

ICICI Securities Limited

August 29, 2022

Rakesh Roy: Sir, my first question is related to your Fighter Jet Trainer HLFT-42. Sir, India is already using Hawk system, sir. So, why we need this one? So, from where we see demand for order for this HLFT?

Jayadeva EP: This HLFT will be something like all metallic aircraft. See right now we are proposing LCA as a trainer also in addition to being a fighter aircraft, but HLFT will be a low cost alternative to LCA with all metal aircraft, and then it will not be a fully fly-by-wire system. So, it will be power assisted controls. So, it will be something like a cost effective solution for fighter aircraft trainers. For example, instead of operating twin seater fighter aircraft, you can operate this with the full facility of getting trained on all the virtual training. It will have virtual training modes. For example, it can simulate any fighter aircraft within the fleet of the, for example, IAF. You can have a Mirage, Rafale or anything you have, you can simulate on this platform, and this platform also will be a higher speed aircraft. So, it will give the physical feel of the speed also along with the virtual mode of all the displays, weapon delivery, everything it can simulate. So, it will be a cost-effective training solution for the defense customers, and it will have all the indigenous systems like, for example, almost nothing will be imported except maybe for the engine in the current scenario. All other display systems, everything, flight controls, everything will be based on indigenous system. So, it will have high indigenous content and the maintainability of this aircraft will be much superior compared to other aircraft and cost effective.

Moderator: Thank you. Next question comes from the line of Abhineet from Emkay Global. Please go ahead.

Abhineet: Just on this 45,000-crore platform order that is if you can just breakup into the four, five orders that you indicated, I might have missed it?

C. B. Ananthakrishnan: 45,000 crores is for the current pending orders which are there. In this as you are aware that 83 LCA Mark is around 36,000. It's anticipated contracts for which RFP has already been issued and which was in the course of completion. This includes 25 numbers of ALH, 12 numbers of LUH, and 240 engines AL-31FP engines, additional Su 30 is 12

numbers, and HTT-40, 70

number. So, this totals up to 42,000 crores of future anticipated contracts which will all get concluded in the current financial year or at the most in the first half of the next financial year.

Moderator: Thank you. Next question comes from the line of Sachin from In Cred Capital. Please go ahead.

Sachin: So, my first question is on the ROH. You had a very solid growth on last three years, and last year it grew by 40%. So, can you help me with two to three large platforms contributing to this ROH in FY22 and in this last base, how we will be looking at growth in next couple of years on ROH front? That was my first question.

C. B. Ananthakrishnan: ROH major platforms which are there for ROH is one is that Sukhoi, it's around 20 numbers. Jaguar, it is around 13 numbers what we are planning for '22, the current financial year. Mirage is some nine number. Kiran Mark 1A and Mark II put together is around 21. Hawk is 9, Dornier ICICI Securities Limited

August 29, 2022

228 Numbers ALH some 41 numbers, and the Cheetah, Chetak put together it is around close to 40 numbers. These are the major platforms. And similarly, the engines for all these platforms also will form part of our ROH requirement. So, all put together, the ROH revenues alone from these major platforms and related engines apart from accessories and Avionics is expected to be around 6,900 crores, almost close to 7,000 crores.

Moderator: Thank you. The next question comes from the line of Aditya from Securities Management. Please go ahead.

Aditya: Thanks for the follow-up. Two questions. Sir, there are countries like Malaysia and other African countries which have Su-30 as their main fighter aircrafts. So, what kind of an opportunity does HAL see for ROH and upgradation of these aircrafts? And do we have to take permission from Russia before taking these orders? And second is earlier we used to talk about upgradation of Su-30. So, what is the current status now?

Jayadeva EP: Countries like Malaysia and Egypt, they have heaviest interest in HAL offering support for ROH of Su-30. Yes. As you rightly said that we need to take permission of Russia because we are governed by ToT agreements with Russia saying that we will be servicing only the Indian Defense, that is IAF. When we have to offer our services to other countries, we need to take their approvals and in principle, they have agreed that they will be giving it to us. So, we are in the process of finalizing what sort of support that these countries need. Once it is finalized, we will approach Russia for their blanket approval, and then we will be able to service those countries. Coming to the next upgrade of Su-30, it is still under discussion stage with IAF about the standard of preparation, about the scope of work. We are discussing with IAF. Basically, it will be obsolescent management as well as new systems like new weapons, integration of new weapons other than Russian weapons. So, we are in discussion with them right now. Basically, all the mission systems, mission computers, Radar, Radars will be upgraded or with the new

radars, mostly indigenous radars being developed by DRDO. So, this more or less the full mission systems and the weapon delivery platforms will be upgraded.

Moderator: Thank you. Next question comes from the line of Rakesh Roy from Indsec Securities and Finance Limited. Please go ahead.

Rakesh Roy: Sir, my one question is regarding, sir, are we working on any multi-role transport aircraft for defense Air Force?

Jayadeva EP: Multi-role, no.

Rakesh Roy: Transport aircraft?

Jayadeva EP: No, initially, we had the discussions with Air Force for supply of multi-role transport aircraft in collaboration with the Russians. But as of now, the project is being shelved and then right now we are not operating on any multi-role transport aircraft. And in

fact, it was flowing from an

ICICI Securities Limited

August 29, 2022

Page 17 of 18

IGA, Inter-Governmental Agreement, but now that there are no plans to proceed with that. So, the product is coming to a close after that. In fact, the JV which we opened also is getting closed for this purpose.

Moderator: Thank you. The next question comes from the line of Abhineet from Emkay Global. Please go ahead.

Abhineet: For the current year, you indicated prospects of around 45,000 crores. You were also mentioning that over a 3 to 5 years perspective, what could be the order value one can look for, sir? And what are the platforms for that?

C. B. Ananthakrishnan: For 3 to 5 year, we are looking at additional major contracts will come from your LCH because LCH, today, they have given only an LSP order, that is limited series production of 12 numbers.

So, we expect another 145 numbers, which is the approved AoN that should come through. Apart from that, LUH, again, we are expecting another 175. Today, LOI has been issued, the Letter of Intent has been issued for 12 numbers of LUH. Once this gets converted into order, when we supply that, there will be a visibility of another 175 numbers. This doesn't include the Kamov helicopter because there is also a rethink on whether we will go ahead with Kamov, in which case an additional 200 numbers of LUH also will get added to this 175 number. So, that visibility we will get it probably in the next 3 to 6 months period.

Then apart from that, that marine one helicopter that UHM, which is around 60 numbers, that is again a major program, which we are expecting it to come through in the next 3 to 5 years horizon. Of course, HTT-40, now out of 106, 70 numbers only is getting concluded immediately. The balance 36 numbers also it should come through. All this put together, the platforms which we are expecting in the next 3 to 5 years horizon without Kamov additional 200 numbers with only 175 numbers of LUH should be in the order of around 60,000 crores.

Moderator: Thank you. The last question comes from the line of Abhijit Mitra. Please go ahead.

Abhijit Mitra: Just to clarify a few things. You said possible ROH execution of 6,000 crores for the full-year FY23?

C. B. Ananthakrishnan: No. Let me clarify. That is only we are talking about platform and engines. It doesn't include accessories. In fact, I was making a statement there on to avoid this confusion, that it doesn't include accessories and avionics which will add up to another 7,000 crore. So, 6 plus 7, almost 13,000 crores should be our ROH revenue.

Abhijit Mitra: And just to understand, I think, initially, at the beginning of the call, you clarified what is the situation of supply of spares from Russia? And how is the payment being made now?

C. B. Ananthakrishnan: Yes. There are some initial hiccup as far as the payments is concerned because arrangement was not getting sorted out. But in the recent last week, we have made some payment through the Indian that rupee payments which we have made to the Sberbank, and then probably the

ICICI Securities Limited

August 29, 2022

Page 18 of 18

arrangement will continue. Now it looks like this is an issue which has been sorted out now because it is not only HAL. In fact, HAL payment is not much. There have been other major Russian payments which has to be made. So, this arrangement, if it goes through, then we will not have any issues related to payment.

And as far as the supplies are concerned, as of now we are getting the supplies from the Russians notwithstanding the payments have not been made, but we are also in discussions with them to see that the future also even if there are going to be some payment interruptions, the supply should not get, the uninterrupted supply chain should continue, and we are hopeful that Russia being a strategic partner to India all through, they will continue.

nue to supply all these parts which are required to maintain the fleet serviceability.

So, as of now we don't anticipate any major issues as part of the supply from Russia is concerned.

We also have got sufficient inventory to take care of the current requirements, current financial year requirements.

Abhijit Mitra: And just last clarification to the inventory levels have not dropped. So, those inventory levels are maintained as of now.

C. B. Ananthakrishnan: Yes. Inventory levels now we have reached more or less the optimum levels which I don't think any further reduction in inventory is possible. Probably, we may also have to increase our because especially we are now strategically thinking in the light of the recent geopolitical happening which has happened which is also we were somewhat tentative on our supply chain. We wanted to build up the inventory so that the future in case of uncertainties we will not get into any issues.

C. B. Ananthakrishnan: Thanks. I think it is really great talking to you, especially immediately after the AGM, and I hope that the continued support from all of you would keep HAL in good stead, and we also assure you that the performance of HAL will continue to keep continuing growing and we look forward for many such interactions with you in future as well. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

BSE Limited
Listing Department
Phiroze Jeejeebhoy Towers,
Dalai Street,
Mumbai — 400 001 National Stock Exchange of India Ltd
Listing Department
Exchange Plaza, 5th Floor, Plot No C/1,
G Block, Bandra-Kurla Complex,
Bandra (E), Mumbai — 400051
`44,11AL
CO/SEC/4(7)/2022-23/ BSE & NSF Filing/81 bzocitaz?fi nritaeme.3a 4:,e)titst
0,pa
itTTiTff 1-ti1acre fM -44
Tstitew
HINDUSTAN AERONAUTICS LIMITED
CORPORATE OFFICE
22nd November, 2022
Dear Sir/ Madam,
Sub: Transcript of Q2FY23 Results and Business Update Conference Call
Ref: BSE Scrip Code: 541154, NSE Symbol: HAL

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of Q2FY23 Results and Business Update Conference Call held on Tuesday, the 15th November, 2022 hosted by Elara Securities (India) Pvt Ltd.

2. The same is made available on Company's VWebsite www.hal-india.co.in in Sub-section "Analyst! Investors Meet" under "Investors" Section.

3. This is for your information and record, please.

Thanking you,

Yours Faithfully

For Hindustan Aeronautics Ltd
(Shailesh Bansal)

Joint Company Secretary & Compliance Officer
15/1, 2...),F6 draeuse,2ioriec,troct) - 560 001, 2,@d, 15/1, cr)661-1 - 560001, W:rf -d-45,1-T1Td
15/1, Cu bbon Road, Bangalore - 560 001, Karnataka, India
trad--oci (1-oritT) Ph. : +91-80-2232 0001, 2232 0475, ci. -5665,) 0 Fax : +91-80-22320758
Jee.36' (4) Email . cosec@hal-india.co.in
CIN: L35301KA1963G01001622

Page 1 of 19

"Hindustan Aeronautics Limited Q2 FY23 Earnings
Conference Call"

November 15, 2022

MANAGEMENT M R . C. B. ANANTHAKRISHNAN – CHAIRMAN &
MANAGING DIRECTOR , DIRECTOR (FINANCE) AND
CHIEF FINANCIAL OFFICER , HINDUSTAN
AERONAUTICS LIMITED
MR. JAYADEVA E.P. – DIRECTOR (OPERATIONS),
HINDUSTAN AERONAUTICS LIMITED
MR. KRISHNA – ED (PLANNING), HINDUSTAN

AERONAUTICS LIMITED
MR. SENAPATI – GENERAL MANAGER (FINANCE),
HINDUSTAN AERONAUTICS LIMITED
MR. SHAILESH BANSAL – JOINT COMPANY
SECRETARY , HINDUSTAN AERONAUTICS LIMITED

Hindustan Aeronautics Limited
November 15, 2022

Page 2 of 19

Moderator: Ladies and gentlemen, good day and welcome to the Hindustan Aeronautics Limited Q2 FY23 earnings conference call, hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal and operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you, and over to you, sir.

Harshit Kapadia : Thank you, Faizan. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY23 and H1 FY23 conference call of Hindustan Aeronautics Limited. I take this opportunity to welcome the management of Hindustan Aeronautics Limited, represented by Shri C. B. Ananthakrishnan, Director (Finance) and CFO with an additional charge of Chairman and Managing Director; Shri Jayadeva E. P. Director (Operations) along with their team. We will begin the call with a brief overview by the management followed by Q&A session. I'll now hand over the call to Mr. Ananthakrishnan sir for his opening remarks. Over to you, sir.

C.B. Ananthakrishnan : Good evening to all of you and warm welcome. I'm thankful to Mr. Harshit Kapadia and Elara Securities for arranging this investors call immediately after our financial results for the last quarter has been announced. At the outset, it gives me immense pleasure in interacting with you immediately after our Q2 results, which was published on 11th November. As you are aware, last few years have been challenging time for all of us. On the one hand, we had to deal with the unprecedented COVID pandemic situation. And on the other hand, we have the changing geopolitical scenario due to the Ukraine war, resulting in certain supply chain disruptions and a new world order. Amidst these challenging times, we remain focused on our core competencies and continue to deliver the products and services required by our Armed Forces without affecting their operations.

Today, I have with me for this investor call Mr. Jayadeva who is the Director (Operations) to answer to any of your technical queries. And with me is also our ED Planning, Mr. Krishna; and our GM Finance, Mr. Senapati; and Mr. Bansal who is the Joint Company Secretary coordinating this call.

As you're aware, during our interactions last year in financial year '21-'22, there were concerns in respect of revenue for the current financial year '22-'23 because many of the manufacturing contracts were getting concluded, and more or less, it was all left to only the repair and overhaul activity to take care. Many of the platform sales have all been completed last year and not much was left over. However, we did maintain that we will try to make good the gap and then see that the revenue shortfall which is arising on account of conclusion of manufacturing contracts will be made good by the repair and overhaul sales and for the supply of spares. And we are very happy that we are rather successful in doing that in the last half year. All this has resulted in an overall growth rate for the first half over the last financial year in spite of the manufacturing platforms getting over and not much could be delivered in the first half of the financial year.

Hindustan Aeronautics Limited
November 15, 2022

Page 3 of 19

The first half of the year has been quite encouraging results as you all know. On the revenue front, we have achieved a growth of 22% when compared to the corresponding period of the previous year. In terms of broad activity wise business breakdown, while manufacturing activity business was maintained at more or less than the previous year's

levels, there is an increase in the ROH segment, repair and overhaul segment which has helped us to maintain this growth. The growth in repair and overhaul activity is in line with our plan as we have to achieve the current year revenue as well. Development revenue which is nothing but the design and development sales as we call it, grew by almost 69% owing to the LCA Mark 1A development activities which are on track, which is also very important for us for commencing the deliveries from 2023 and '24 onwards.

As far as the profitability is concerned during the first half year, ending for the financial year 2022-23, as you would have all observed, there has been an increase in the EBITDA margins from 32% to 33% of our revenue as against 25% which we have been maintaining in the previous

years. Some of the major factors which is something which is abnormal for this current half year I thought probably I should bring it to your notice, one is that, because of the improved cash flow situation, which has resulted in maintaining our cash balance at 14,000 crore plus, we could earn an interest income, which is almost double that of last year almost to the tune of around Rs. 160 crore to 170 crore. That was one major reason why the margins have grown up. And the second major activity, as you all know, we always maintain a healthy margin in our repair and overhaul activity as compared to our manufacturing activity. But we try to make good the shortfall in the manufacturing activity through the repair and overhaul activity. So, for the last half year, since the ROH activity has been quite substantial, as you know that it is almost 75% of our revenue has been generated through the repair and overhaul activity, the margins have also been improving over there and that is another reason why there has been an increase in the margin. Of course, in the second half of the financial year, when we start supplying the platforms under the manufacturing contracts, we will still be able to maintain the margins at around 26% to 27% on a yearly average. Another reason could be that the liquidated damages because most of our deliveries were all scheduled on the ROH business segment, the liquidated damages which we were paying to the customers on account of delays in supply of platforms has been reduced drastically almost Rs. 80 crore to Rs. 85 crore. And similarly, because of ROH activity having a warranty of only 1 year as compared to 2 years for manufacturing contracts, the expenditure on warranty also has come down. This has all contributed to the improvement in the EBITDA margins to almost 33%, but on average for the full financial year, it will be maintained at 26% to 27% as we have been maintaining in the past.

Another area of importance, which I should bring it to your notice is on the material consumption. You may all be wondering the material consumption has also been reduced when compared to the previous year. The major reason for that is that since the ROH activity has increased, the material consumption proportionate in the ROH activity is relatively less which is a reason why it has come down. But again, when we start supplying the manufacturing platforms, material consumption rates will be maintained.

Hindustan Aeronautics Limited

November 15, 2022

Page 4 of 19

The most important and most interesting point which you would all like to know is on the order book. As we have been maintaining in the last few quarters, our order book position even in the current quarter is quite comfortable in spite of all the liquidation which has been happening on the revenue front, we still maintain a healthy order book of almost at Rs. 84,000 crore and with the accretion of almost Rs. 10,000 crore of contracts which has been concluded in the last half year, the most important to being two things. One is on the Polar Satellite Launch Vehicle, PSLV, which we have concluded

with the New Space India limited at a value of almost Rs. 860

crore. Why I'm making a special mention about it that, this is one of the new segment which we have been successful in getting the contract, working in consortium with L&T. We have bagged this order amidst competition and this has been a big good opening for HAL for getting more and more in the satellite launch vehicle.

Similarly, as you're all aware, the price contract negotiations for the HTT-40, 70 numbers which has been concluded and which has also been announced in the recent Def Expo will also add to our order book by our almost Rs. 6500 crore. In respect of price negotiations for the new contracts of 25 Advanced Light Helicopters and 6 Dornier 228 aircrafts have already been completed. And similarly for the 12 numbers of LUH, Light Utility Helicopters and 12 additional Sukhoi 30 engines are in advanced stages. The RFP for 240 AL-31 FP engine and 80 numbers of RD-33 engines have been received. And we are in the process of submitting the bids.

Incidentally, we are also happy to inform that today we have received an LOI, Letter of Intent for 9 numbers of helicopters to be supplied to Indian Coast Guard, which will also add up to our order book position. The aggregate value of all these contracts is expected to be around Rs. 50,000 crore, which should all materialize since it is all there in the advanced stages. We expect it to get materialized in the next six months to one year timeframe. Added to that, there are also further orders in the pipeline with the LCH 140 numbers plus with the LUH, Light Utility Helicopters, another 170 number and another Naval Utility Helicopters of almost 60 numbers also we are likely to get the RFP in the near future, all these should provide further impetus to the growth momentum of the company in the years to come. These platforms will have significant business potential and is expected to materialize in the next 2 to 5-year time span. This value is expected to be almost close to Rs. 70,000 crore subject to the negotiations which we will have to have with the customers and any scope increase or changes in scope which will have to be accommodated.

As far as the design and development area, we are also working on platforms which you all know, the LCA Mark-2 for which the recent sanction from CCS has been received by ADA and the work share arrangement between HAL and ADA is likely to be finalized. And once it is

done, the design and development activity will commence in full swing and we will also be associated once it is commercialized and production streams are put in place. Similarly, on the twin engine deck based fighter for the similar LCA for the Navy program, then of course, the AMCA, IMRH and the CATS program which we have been all been telling in the past, we are also progressing with the design and development for each of these things. These will all contribute to the development sales in the coming years. But major portion is what we expect the revenue to come through for our manufacturing orders which has been highlighted I mean, which I told you earlier.

Hindustan Aeronautics Limited

November 15, 2022

Page 5 of 19

Similarly, as you are aware, we have also declared a dividend in the current quarter of Rs. 20 per share, which accounts for almost 200% of our face value because we anticipate the profits for the current year also should be as what has been projected and we will be comfortable paying the dividend for the investors who have reposed the confidence in the company, the way we have been paying in the past, and probably we look forward to for better rewards in the days to come. To sum up, with the sort of order book position with the business potentials, which we have and the continuous development of indigenous platforms, we are confident of meeting the expectations of all our stakeholders, both our customers a

as well as our investors. I think with

these few words, I would open up now the forum for further clarifications and questions, if any.

Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Kiran Sebastian from Franklin Templeton. Please go ahead.

Kiran Sebastian : Can you please give us some color on the expected growth rate of the ROH business? Secondly, you mentioned that when the OE business is weak, you are able to compensate with ROH business. How much discretion do you have in this front? Because I would assume some of the fleet will be under use and there is a certain timeline to follow, right, for doing the ROH work. So, how much discretion do you have in terms of managing that? And the third is the clarification. your Rs. 50,000 crore pipeline, does it also include the ROH part which is roughly around Rs. 20,000 crore or it is not including that?

C.B. Ananthakrishnan : As far as the growth rate for ROH is concerned, we expect the growth rate to be somewhere around 12% to 15% on a year-to-year basis. So, this has been the trend in the past and we expect the trend to be maintained in the current year as well. You are asking, the second question was how are we going to fill the gap with respect to manufacturing sales with ROH activity and what is the discretion which is available? Basically, we talk about ROH and the supply of spares. Supply of spares is that both ROH repair and overhaul activity, there is an induction plan and the deliveries will have to be made within a defined timeframe. And similarly for the supply of spares, there is also a delivery schedule which is available. We have got the discretion to the extent to that within the delivery schedule to the extent possible for us to expedite the activities both ROH as well as the supply of spare to the extent we can expedite it within the delivery timeline for which orders are pending. We will be in a position to do that. So, we since we have already completed placement of orders well in advance and we expect the deliveries to happen and similarly, the ROH activity as well since the induction for the subsequent years or so, because there is a cycle time of ranging from 6 months to 18 months, wherever it is possible and wherever we could expedite it, we are doing that so that the activity is completed and revenue from these activities are generated. Whatever we are committing now, to maintain the growth rate and to meet the targets is all well within that. We have planned for that and we are also working out the supply chain so that we will not be put into any difficulty in meeting our targeted plans. So, that is reference to making good the manufacturing shortfall through ROH facilities.

Hindustan Aeronautics Limited

November 15, 2022

Page 6 of 19

And the Rs. 50,000 order pipeline which we are talking about is exclusive of the repair and overhaul activity, which we expect on an average around Rs. 15,000 crore to be the minimum accretion year-on-year. So, that will be added to the order book position. I hope that that makes clarifies your question.

Kiran Sebastian : And sir, on the ROH, earlier, the guidance used to be about 5 % to 6% growth going forward, although historically, the growth has been much higher. So, now, you're saying that the next 2, 3 years, we'll see 10% to 12% growth in ROH revenue, right?

C.B. Ananthakrishnan : Yes, 10% to 12% in ROH growth. This year and next year, once we start these manufacturing platforms when it comes through that in the next year, the ratio between the manufacturing and ROH, there will be improvement in the manufacturing activity and ROH activity will come down. But ROH as a growth perspective, it will be 10% to 12%.

Moderator : The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit

: I have a couple of questions. The first one is on essentially the relative EBITDA margin of ROH and manufacturing. So, if we see EBITDA margins have been held in this half year, because of increasing proportion of ROH as you rightly mentioned, is it possible to share with us separately the EBITDA margin that you typically get in our ROH and manufacturing?

C.B. Ananthakrishnan : No, I mean because that is something which on an average, we will retain an EBITDA margin of around 26% to 27% with these ratios, but this we will not be exactly be able to because again in ROH, there are different levels of margins for different platforms. So, it again depends on the product mix and the sales mix, which is happening in the respective quarter, the margins are likely to change. So, we may not be exactly be able to differentiate between manufacturing contracts and ROH contracts and we would like to reiterate that we'll maintain an average margin of 26% to 27%.

Amit Dixit : Sir, the second question is essentially, I would like to pick your brains further on this ROH and manufacturing. So, with manufacturing due to come from third quarter or possibly fourth quarter, by end of this year, what is the percentage of manufacturing you see versus ROH and what it would be like by FY24 end, let us say?

C.B. Ananthakrishnan : Even earlier, we have been maintaining that for the 2 years, that is for '22-'23 and for the financial year '23-'24, the ratio of ROH activity will be more than the manufacturing activity because major of contracts like LCA, we will start delivering from '24 end, towards the financial year last quarter of '24, we will start delivering and it will pick up in '24-'25 onwards. So, for the current year, we expect the ROH, I mean manufacturing contract revenue should be in the ratio of 40% to 60%, that is manufacturing should be 40% and ROH should be 60%. And we expect the ratio to be maintained in the next year as well. And from the subsequent years, the ratio will improve. We expect 50:50 ratio and it will go up beyond 50.

Hindustan Aeronautics Limited

November 15, 2022

Page 7 of 19

Amit Dixit : Just a clarification, sir, so that means in FY23 and FY24, your EBITDA margins would remain relatively higher, provisions relatively lower because of higher component of ROH. Is it the correct understanding?

C.B. Ananthakrishnan : No, that is not. Definitely that because of this ROH being there, it will be there but we are also trying to see how to improve and maintain the margins in the manufacturing contracts as well in the subsequent year. But again, our guidance would be that 26%, 27% of EBITDA margin should be the target which we are working on.

Moderator : The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.

Bharat Sheth : Sir, on the business development side, recently we started in integrated cryogenic engine manufacturing facility at Bengaluru. So, how big is this opportunity? And when do we expect to supply all this material?

C.B. Ananthakrishnan : Yes. The cryogenic engine facilities which we've commenced we will be starting our operations in the current financial year. But as far as the opportunities in business, as a business segment, it is taken more for strategic reasons right now because we wanted to get our footprint being there in the engine technology for rockets. So, that is one major reason where we wanted to expand ourselves, but business potential as such, it may not contribute much to our present revenue, but in the days to come in future, we expect it once the order picks up and when PSLV and GSLV launches increases we get a better share, we will be able to improve that. But right now, it is taken more for our technological capabilities and to prove ourselves and to have a footprint on the ISRO Programs.

E.P. Jayadeva : That production, I think we are working closely with ISRO now. So,

at HAL, now we are integrating the whole of the cryogenic manufacturing facility which was earlier distributed over different work centers. Now, we are doing at HAL as integrated facility at Aerospace Division in Bangalore. So, we are closely working with ISRO for productionizing. Most of the productionizing work we have completed. The balance work is expected to be completed this year. So, we should be in a position to deliver these cryogenic engines from next year financial year onwards.

Bharat Sheth : And sir, second question on this export side, we were talking so, what stage I mean, whether Malaysia or Brazil status of our development, I mean, getting order. And when do we expect those things to really materialize?

C.B. Ananthakrishnan : See, exports is something which we have started in an aggressive way in the recent past where as you know, that Malaysia contract also we have bidded for that Malaysian contracts and we have got the leads from Argentina as well as from Philippines, and we are pursuing that very vigorously. But in fact, we will not be able to comment anything as to when it will get concluded,

but we are pursuing our efforts to see that we are getting the orders so that we are competing in a very favorable environment and we will get one breakthrough order after which we will be in Hindustan Aeronautics Limited
November 15, 2022

Page 8 of 19

a position to continue with the other countries as well. But definitely, there are challenges and in fact, we understand even with Malaysian contract, there are certain difficulties and challenges which we are facing. We will have to wait and see as to how it gets transformed because recently the elections also have been announced. So, the change in political landscape, the evolving things, we will have to wait and see. Like that, these export order for the defense supplies is dependent on so much of other factors other than your commercial aspects only. So, we will not be able to commit as of now, but our efforts to get 1 breakthrough order is continuing and we are sure that at some point of time in the next few months, we should be able to conclude some, at least one contract.

Moderator : The next question is from the line of Abhishek Poddar from HD FC Mutual Fund. Please go ahead.

Abhishek Poddar : Sir, could you give some understanding on the development orders, which are the major ones that we are going to receive and how the margins are on those development orders?

C.B. Ananthakrishnan : Development orders, it is more of a design and development activity which we are getting.

E.P. Jayadeva : Right now, we are working on advanced stages of development H TT-40 and LCA Mark1A and both of them will be productionized shortly. So, Mark1A, the first aircraft which has been upgraded with all engineering systems and AESA radar, has undergone the first flight during June of this year, and we will continue to do the flight testing during the next course of 1 to 1.5 years. And then we should be ready for deployment in production and delivery sometime in 2024. Similarly, HTT-40 also already flight certification is already obtained. And we are working on other customer specific customer requirements like moving maps generation in the GPS like that, small development efforts are going on, but it'll be in time. By the time we get the order and then within the cycle time for the first test flight, we'll be ready to launch that also. Next on the development front, the next one is LCA Mark2, which closely we're working with ADA and CDR, that is Critical Design Review has already been completed with the participation of our major customer that is IAF. So, with this completion of CDR, it is good to go for launch of production of prototypes. And on production of prototypes, we'll be working. But after the production of prototypes, naturally the next

follow-on will be flight testing and certification of the system. In addition to that, we have launched initial design of IMRH as a HAL funded project we are carrying on, that is a 12-ton multi role helicopter. So, that also initial configuration studies, all those things are going on. Then we are also working on a rotary UAV that is unmanned aerial vehicle of a helicopter type about 200 kg we are working. So, these are the major development programs which is going on.

C.B. Ananthakrishnan : Your second part of the question was on margins for this development order, margins we get around 10% on the labor efforts, whatever the different labor which we are putting, we will get 10% of it.

Hindustan Aeronautics Limited
November 15, 2022

Page 9 of 19

Abhishek Poddar : Sir, in terms of value, how much budget will be allocated by the government and how much order value would be received for the three orders?

C.B. Ananthakrishnan : But that will again depend on the budget allocation and from the CCS sanction. So, on an average it will be around the Rs. 1600 crore to Rs. 1700 crore per annum

Abhishek Poddar : So, that will be booking in our revenues from here on?

C.B. Ananthakrishnan : Yes.

Abhishek Poddar : And sir, regarding this large order for LUH and LCH, you mentioned about 170, 140, and NUH of 60. Sir, how would the pacing of this order quarter will be? How many per year would you expect to receive from '23, '24, '25?

C.B. Ananthakrishnan : So, see, the RFP, once the process for contract initiation is started then you know that the contract conclusion will take not less than 1 year to 2 years at least, I mean it ranges from 1 to 2 years. But what we are trying to once the contract is getting concluded, in fact, in majority of the contract once we get visibility of the contract, like AON has been approved or an RFP has been issued, we will start planning for the procurement of material and start productionizing it, so that we will be in time to deliver this items the moment the contract is signed, and we will also schedule the deliveries accordingly so that we will not say that after T0, we will not take it as a contract date and after 18 months will be the minimum time which will be required. That we are trying to avoid by planning well in advance once we get some visibility of the contract. But on the capacity part of it, we are today as far as your helicopters are concerned, we have also

as you all know, that we have started out Tumkur facility also, which can cater to an additional 30 numbers to start with apart from another 30 number from our existing facility. So, almost 60 helicopters we will be in a position to deliver irrespective of whether it is advanced light helicopter or LCH or LUH, any combination, once we get an order then the deliveries are scheduled, I mean capacities are available, we need to plan and start producing so that we can deliver at 60 aircrafts at a maximum. So, on the helicopters, we will not have any difficulties, we'll be able to deliver that with 60 numbers on an average

Abhishek Poddar : Sir, this will be 1 large order or it will be many orders? So, the total number ordered units you have mentioned is 370. So, will that be one order of 370 or it will be many orders of 370, which will combine 2, 3 sets in there?

C.B. Ananthakrishnan : We have conveyed our sort of interest to see that why we should get 1 order with the customer and with the Ministry so that we will get the benefit of visibility which we can have a better bargain with our supplier. So, we have to wait and see as to whether because it is ultimately the other factors of customer comfort and then budget availability, how it is to be phased in and then it all depends on the customer. But our efforts would be to get all these things in one single order.

Moderator : The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please

go

ahead.

Hindustan Aeronautics Limited

November 15, 2022

Page 10 of 19

Mihir Manohar : Sir, I wanted to understand on the ROH side of the business, I mean how does margins on the ROH side? I mean, are they contracted? I mean, are they nominated? Just wanted to understand how does the business model work here. And you mentioned about Rs. 15,000 crore kind of revenue which could be there on the ROH side. So, I mean, which fleet of airplanes is coming and what is the potential business here in the next 3 to 4 years, specifically what fleet of planes or what fleet of helicopters are going to come in the next 3 to 4 years on the ROH side? And my second question was on the HTT-40 trainer aircraft. I mean, the Rs. 7,000 crore order that we have got, so at what stage is that particular order currently and when should one expect revenue to flow in from that particular order?

C.B. Ananthakrishnan : The ROH business model, what you are referring to, it is a very well proven model, which we have already been working on. Rather we have working arrangement with the customer. That is we have got a pricing policy mechanism where the prices are all verified and the profitability is fixed for the base year, and subsequently with the parameter, financial parameters, escalation and all the other parameters it is decided. So, we know for sure that for during the pricing period, what is going to be the price. As of today, the profit of 10% on cost is getting paid. Manufacturing contracted is 7.5%. For repair and overhaul activity, it is 10%. But because of our proven experience and the way we can plan our materials, we are able to generate an operating margin of not less than 16% to 17% in our ROH activity all through and we expect these margins to keep growing and basically because of one is that material planning and the second one is also more of outsourcing and indigenization and that is how we are able to maintain the operating margin at around 16% to 17%. And the second part of your question on the fleet service, I mean what is the constitution of fleet, major fleet towards this ROH program generated from the Sukhoi aircrafts which we have been increasing the number and which also contributes substantially to the ROH revenue. Besides we have also got the helicopter fleet of ALH. We also have this Hawk which has started coming and Jaguar and Mirage upgrades and the whole lot of engines for all these platforms and the accessories and avionics. So, all in all, it is a multiple platform, multiple engine and multiple segments of accessories and avionics which generate this ROH order. The second part of your question, the HTT-40, as you know that the contract is getting concluded. We have already started placing the order for the engine. And we are planning to go ahead with our material procurement. So, ideally it should be somewhere in October 2025, the delivery should start commencing from. So, on an average, we expect almost 20 aircraft of HTT-40 to be delivered, which means that in 3.5 years time, we should be able to liquidate the 70 number. And beyond that, if we can get another 36 numbers, which we also expect to come through. If it happens, then we'll be able to deliver those also in the next 1.5 to 2 years, which means on a total time timeframe of almost 5 years, we should be able to deliver 100 plus number under HTT-40.

Moderator : The next question is from the line of Aditya from Securities Investment Management. Please go ahead.

Aditya : Sir, a few questions from my side. Sir, how do you see the cash balance going forward? Do you think that the Rs. 16,000 crore cash balance is sustainable? Or this will start reducing as we start executing our orders? Second question is if you could talk about our indigenization efforts and

Hindustan Aeronautics Limited

November 15, 2022

how HAL has benefited in terms of execution timelines

or margins or any other criteria? And

third is if you could provide any update on the Navy ALH, where is it currently, what stage of testing is it in? How long before you can start commercializing it?

C.B. Ananthakrishnan : See, first question on the cash balance, you know as of now, we are comfortable in cash balance, we are having a balance of almost Rs. 16,000 crore which we expect the year end should be somewhere around Rs. 14,000 crore to Rs. 15,000 crore after releasing some of the payments towards procurement. But notwithstanding that, in case, we are also trying to get some more milestone payments and advances. So, on average, we should be able to maintain Rs. 15,000 for 31st March 2023. So, that will be on the cash balance.

E.P. Jayadeva : On the indigenization front, we have taken up indigenization of most of the LRUs, which were earlier being imported. And we are also addressing most of the foreign stock supplies of items and spare parts, those things also we have started indigenizing. And though we spent initially for development of these systems and then spares, we do spend some development funds. But over a longer ROH cycle, we would be making good of all these indigenization efforts. And around 400 LRUs are currently in the indigenization range, that includes all mechanical systems, avionics, several other LRUs. And then coming to your Navy ALH, one of them a major requirements of the Navy ALH has been the blade folding mechanism. So, we already demonstrated this as a company funded project we have taken up and then we already demonstrated it and it is already flying on the helicopter and then we should be able to certify this shortly. By the time we get the order from Navy, which is under discussion at MoD level, we should be able to integrate most of the other requirements also on to this Navy ALH. By the way it is called UHM now, Utility Helicopter Maritime. So, we are on right track on this and we should be able to finish this around in a 3-year timeframe. The development and the first aircraft delivery can happen by about 36 months.

Moderator : The next question is from the line of Jonas Bhutta from Aditya Birla Mutual Fund. Please go ahead.

Jonas Bhutta : Sir, couple of questions. Firstly, if you can share what our targets are for the current year in terms of deliveries of aircrafts, both fixed wing and helicopter for the current year.

C.B. Ananthakrishnan : LCA, you know that is a major program. We are expecting to deliver the balance, I mean trainers, 8 numbers are there and for the other the normal for that FOC aircraft 2 numbers is there.

E.P. Jayadeva : We are going to complete the fighter version of the FOC order during this year. And then the first trainer will be delivered this year.

Jonas Bhutta : So, out of 8, 1 trainer will go this year and FOC 2 units?

C.B. Ananthakrishnan : We are talking about FOC of 2 and trainer 4 numbers. That is on the LCA front. And as far as ALH is concerned, we are left with 9 ALH which we'll be delivering i.e. 9 numbers of ALH, 6 numbers of LCA and LCH will be the balance 9 numbers out of the 15 we'll be able to deliver.

Hindustan Aeronautics Limited

November 15, 2022

Of course, Cheetal is there and then engines are there, AL31 FP engines. So, platforms are such, it is only LCA 6 numbers, ALH 9 numbers and LCH 9 numbers.

Jonas Bhutta : So, roughly 24-25 numbers?

C.B. Ananthakrishnan : 24-25 numbers, yes.

Jonas Bhutta : And so how will this look next year because will LCA Mark1A start showing up here and so should we expect this number closer to 30? Or you think it'll be around this 20?

C.B. Ananthakrishnan : Which year. You're talking about '23-'24?

Jonas Bhutta : Yes, sir, next year?

C.B. Ananthakrishnan : Next year, you know that out of the 83 Mark1A LCA program, we will be delivering 3 numbers as per the schedule. And apart from that we are also targeting LCA b

alance trainers of 4 numbers

should get delivered. And also we are also working out as you know that additional ALH order we should be getting 25 numbers. If we get that, that will also a portion of it will get delivered the next year. Similarly, on the 12 Sukhoi also we are trying to get that additional order. If that happens, we should be able to deliver a portion of that. And also that LUH program for which the orders will get concluded because the 12 numbers of LOI, we have already received it. So, that number also should get delivered next year. So, all in all, next year also we should be in a position to deliver all these platforms. So, we should total up to 25 plus if all this order materializes. We are preparing ourselves. We are not waiting for the order to get concluded. We have started provisioning of materials and we will also try to commence our manufacturing activities.

Jonas Bhutta : So, in case Su-30 gets delayed, will there be a material impact or we're expecting only normal Sukhoi?

C.B. Ananthakrishnan : Yes, we expect that Su-30 order if it gets materialized, otherwise whatever that shortfall and whatever the gap will be there in the manufacturing contract, we will try to make good through the repair and overhaul activity. And the engines also, Engines, we are expecting that our 240 AL 31-FP engines although should get concluded, it means that we will be able to make good with it.

Jonas Bhutta : So, this year how much would the engine revenues, FY '22-'23?

C.B. Ananthakrishnan : Only 6 engines of AL 31-FP is left which means almost Rs. 300 crore to Rs. 400 crore.

Jonas Bhutta : So, next year if you do 200, that should be almost Rs. 1500 crore to Rs. 2000 crore. Is that correct or more?

C.B. Ananthakrishnan : What is it.

Hindustan Aeronautics Limited

November 15, 2022

Page 13 of 19

Jonas Bhutta : No, sorry. If you get the 200 number order for the Su-30 engines, how much can you execute next year?

C.B. Ananthakrishnan : We are estimating around 12 to 13 numbers will get executed next year.

Jonas Bhutta : 12 to 13. So, that's about Rs. 100 crore a piece, right?

C.B. Ananthakrishnan : Yes, approximately.

Jonas Bhutta : Rs. 1300 crore to Rs. 1500 crore from that?

C.B. Ananthakrishnan : Yes.

Jonas Bhutta : Sir, on the ROH side, sir, last year, '21-'22, you got some very large order inflows, almost Rs. 21,000 crore. A large part of that seems to be getting executed in the current year already. So, our first half ROH revenues are almost up 30%. So, when you guide for the 10% to 12% sustainable growth, what is the base assumption on Su-30? Sir, so, have you already touched 20 number Su-30?

C.B. Ananthakrishnan : Yes. We are already touched 20 Number Su-30. We are also looking at ways and means to improve that 20 numbers so that what is being done at the BRDs whether we could be able to take up and do that. So, that is one major revenue contributor which will come through. And apart from that the AL 31-FP engines also today we are doing around 75 number. Our target is working at around 105. So, which means that the 30 engines accretion also will be there, which will also generate some additional ROH revenue. And on the other hand, the helicopter side also, ALH, we'll try to increase the numbers. We are planning to increase the number because once the Tumkur factory becomes fully operational, we will be able to shift our manufacturing activities over there so that the repair and overhaul activities at our helicopter factory can increase. So, this all in all, we are targeting as to also the RMSO side, that is the repair and maintenance of that supply orders. Spares order also we are trying to get some additional orders. All of this would mean that we will be able to maintain the growth rate at around 10% to 12%.

Moderator : The next question is from the line of Harshit Patel from Equi rus Securities. Please go ahead.

d.

Harshit Patel : Sir, my first question is on a clarification of the AL 31FP engines. You mentioned that we might be getting the order probably 1 year down the line for these 240 numbers. So, how soon we are going to start booking the revenues? I believe you mentioned that we will start on a few numbers initially. So, if you can give us the execution schedule of the 240 units, how long will it take us to execute the entire order?

C.B. Ananthakrishnan : Because now that the RFP has been issued and we have to respond to the RFP with a bid, in the next 2 days, we'll have to submit the bid so which means that the negotiations will start and we expect the order to get concluded before 31st March, that is what our expectation is. We do not know for any delays from the customer side. We expect, if everything goes well, it should get completed in the current financial year. And we should start delivering from the next financial

Hindustan Aeronautics Limited

November 15, 2022

Page 14 of 19

year. As I've told, the first year will be something less because it will be somewhere around 12 to 13 numbers only. But subsequent years once the orders are being placed and we start manufacturing the engines we should be able to reach a peak load of around 30 numbers on an average. So, with 30 numbers per annum, we should be able to liquidate in 8 years. This is what the schedule which has been given to the customer.

Harshit Patel : Similarly, on the RD 33 front, how would the schedule look like?

C.B. Ananthakrishnan : RD-33, total it is 80 numbers. On an average again it will be around –

E.P. Jayadeva : 20 numbers per annum.

C.B. Ananthakrishnan : RD-33 also we should be able to complete it in 4 to 5-year timeframe.

Harshit Patel : And the order you expect to receive in this financial year or it will spill over to the first half of next year?

C.B. Ananthakrishnan : For RD-33, we may not be able to get, next financial year only.

Harshit Patel : Sir, my second question would be on light utility helicopters , I think in the last call, you had mentioned that we will be delivering or booking the revenues for 4 units in FY23 only and 8 will be delivered in the next financial year, that is FY24. So, how are we looking at it at the moment? So, are we on track or the entire execution has shifted to next year only?

C.B. Ananthakrishnan : Yes, we were planning and in fact, we are getting ready to deliver. We have commenced our manufacturing activities and the aircrafts are getting ready. So, if only the contract gets concluded earlier, we will be in a position to deliver it in the current financial year as what we had promised 4 numbers. But because there is some delays in the contract getting executed because we are operating on an LOI, that is the letter of intent. So, if the contract gets through in the next 1 or 2 months, then we should be able to book those 4 numbers in the current financial year.

Moderator : The next question is from the line of Amit Bhide from Morgan Stanley. Please go ahead.

Amit Bhide : Sir, I wanted to understand on the capacity front, how are we placed because once the deliveries of Tejas and other aircrafts start, so right now, as you mentioned that including Tumkur, we have 60 units of facility for helicopters. For other aircrafts, how is the capacity placed? And what would be the CapEx plan? I understand in the last call you had guided around Rs. 1,700 crore. So, how is the timeline once you start investing? How much time does it take to establish a facility and how does things work over there?

C.B. Ananthakrishnan : As far as the capacity is concerned for the LCA program, we have got sufficient capacity. Today, we have got capacity to scale up to 16 numbers. We have got the second line also established. So, added to this, we also have developed the private, 4 companies to whom we have given the structure. So, that will be in addition to

another 8 aircrafts. So, all in all, we should be able to

Hindustan Aeronautics Limited

November 15, 2022

Page 15 of 19

scale up our capacity up to 20 to 24 numbers in the next 2 years. Once we start delivering 83 LCAs, to start with we will do 3 numbers and subsequently as per the delivery schedule, it is 16 numbers per annum. So, we should be able to meet those capacities and any further order on LCA also we should be able to meet that with the participation from the private industry on the work packages which has been given and the supply chain which we have already developed and established. Added to that with our capacity being there for another 8 number second line which we have already established, we should be able to scale it up. So, capacity will never be a constraint as far as the LCA program is concerned. Helicopters as I've told you already, another 60 number we are already well equipped to handle those things. And you know that the Nashik division also on the HTT-40. Apart from the aircraft division, we have also got our Nashik division facility where the Su-30 program is not there as of now, even if that additional order of 12 number comes, we should be able to execute it in 1-year time frame. And subsequently that facility will become available for our other platforms. So, all in all, the capacity will never be a constraint, we'll be able to take additional orders whenever and when it comes.

Amit Bhide : And on the civil aviation part where we were looking at getting some orders, how are things working over there? Is there any major progress?

C.B. Ananthakrishnan : Civil aviation, you're talking about the ALH? Which one you're talking?

Amit Bhide : Civil aviation, Dornier and Hindustan aircraft that we were looking at to get some orders?

C.B. Ananthakrishnan : Dornier, yes, it has been civil certified and we have also leased it out to one of the airlines for operating in the Northeast region, 2 numbers have been leased out and it is operating quite well. Depending on its performance and the feedback which we get, business prospects will also come through. So, as of now, we have all started working on 6 number for aircraft, we have started producing on Dornier. But as and when the order comes, we should be able to deliver that. But as of now, the 2 aircraft which we have leased out is flying quite well.

Moderator : We'll take the next question from the line of Shirom Kapur from Prabhudas Lilladher. Please go ahead.

Shirom Kapur : I just had a bookkeeping question. Would you be able to provide the numbers of your revenues from products and revenues from services for H1 this year as well as H1 last year?

C.B. Ananthakrishnan : Yes, we'll get back to you. We're having the data.

Shirom Kapur: Okay, sure. No worries. I can follow up on that.

C.B. Ananthakrishnan : We have got the numbers, if I can just clarify that so that the issues will get sorted out. For the last year, the repair and overhaul revenue was somewhere around Rs. 3,700 crore and the current year, the revenue has gone up to Rs. 4,800 crore So, almost a 29% increase in the revenue as compared to the corresponding period last half year.

Shirom Kapur: And do you have the same number for the products?

Hindustan Aeronautics Limited

November 15, 2022

Page 16 of 19

C.B. Ananthakrishnan : Products, it was Rs. 1,600 crore of manufacture last year and this time, it remains more or less at Rs. 1,600 crore. It is more or less flat, maybe for some Rs. 15 crore to Rs. 20 crore, it has gone up in the first half.

Shirom Kapur: And my next question would be, so as we saw last year, a large chunk of our FY '22 revenues came in H2. So, was that kind of an abnormal decrease from H1 to H2? Are we expecting a similar jump in revenues in H2 this year? So, if I'm right in my reading, last year, H1 we are about Rs. 7,100 crore revenue, but overall FY22, we had Rs. 24,600 crore

. So, that means Rs.

17,500 crore came in H2 last year. So, are we expecting a similar jump in H1 to H2 this year?

C.B. Ananthakrishnan : Yes. See, in last year, one of the reasons for muted H1 also is because of the lockdown which has happened in the first quarter of the last financial year. But we could make good that in the second quarter and I mean the H1 was relatively stabilized, more or less stabilized. But the second half year for '21, '22, we were able to completely make good the shortfalls in the first half year. This year, the spread is more or less even. So, we expect the target what we have told for the current year, the balance of the target will be achieved in the second half of the current financial year which means that we have given a target revenue guidance of almost 7% to 8% growth in the full financial year. Other than what we have achieved, the balance will get achieved in the second half of the financial year.

Moderator : We'll take the next question from the line of Venkatesh Subramanian from LogicTree Investment Advisors. Please go ahead.

Venkatesh Subramanian : It's kind of a continuation of the earlier question. The guidance for FY23, while it's actually been a very pleasant surprise on the operating profits as well. So, in terms of operating profit and net profit for the financial year '23, can we say that we would be able to exceed last year's EPS or PAT by say about 10% to 15%. Would that be a decent guidance?

C.B. Ananthakrishnan : We may not be able to commit the growth what we will be able to achieve, but we are striving to show some growth as compared to the last financial year as far as the profit front. Last financial year, we also had as far as the EPS is concerned, EPS has gone up, one reason was because we had some refund of income tax orders which was settled in last year. So, that is one reason why the EPS has gone up, but on the profitability as a whole, we'll be able to maintain the profitability of last year and also show some growth. We are expecting a growth of not less than 4% to 5%.

Shirom Kapur : On the profitability front?

E.P. Jayadeva : Yes.

Moderator : The next question is from the line of Yellapu Santosh from Asian Market Securities. Please go ahead.

Hindustan Aeronautics Limited
November 15, 2022

Page 17 of 19

Yellapu Santosh : One small clarification. For manufacturing of Su-30 aircraft, do we need an approval or the license manufacturing approval from the Russians before we can start the production or pursue the procurement of the RM and other key subsystems?

C.B. Ananthakrishnan : We don't need any specific approval because there is a general agreement which has been entered with the Russians for the Su-30 program right at the beginning of the program. General agreements is still valid. So, all the procurements, it is getting extended as per the general agreements and so we don't foresee any specific approvals from the Russians for these programs. For any additional requirements, we can always place the, as we call it as a supplementary agreement which we call it, we get it signed and we start getting delivery of the kits or the raw materials from the Russians and we will be able to manufacture. Of course, the license fee which has been there, on an aircraft basis, that is all forming part of the price. So, we don't foresee any other approvals required.

Yellapu Santosh : Sir, 2 questions from me. First, what is the status of the ROH international opportunities with the current geopolitical scenario? Do we see any large opportunities coming up on our way, one? And second thing for the IMRH and AMCA, the design and developmental works were supposed to be implemented through the SPV route? In one of the presentations I heard you saying that, where I SPV partners along with ADA will have some role. So, what has changed now that for

IMRH, there is no SPV partner who would be spending or working on the D&D part, but we are doing it? And does ADA has any role in this IMRH program at this moment?

C.B. Ananthakrishnan : Just to answer your second question faster. As far as this IMRH program is concerned, it is HAL designed and developed program. So, ADA has no role in this, it is exclusively HAL only. And for the 2 programs which you are talking about the SPV route, yes, IMRH also we are looking at SPV route. We are working on that. We have not come out to any conclusion on the model. We'll have to see the interest which is being expressed by the private partner to go through this SPV route. Depending on that, we will be in a position to take a final call on the

model as such. As far as AMCA is concerned, it is at a very preliminary stage. Yes, there has been some talks of collaborating with the private industry for the productionizing program. We will have to wait and see as to how it will get evolved. But as of now, wherever opportunities exist and wherever the private industry is willing to collaborate with HAL and start working on the programs, we are open to that, we will be in a position to take them along. So, the other first question, what you are asking on the repair and overhaul leads, whether we have got any leads from any of these foreign countries in the light of geopolitical situation. So, far we have not got the leads as such. But definitely there has been some interest shown for the Su-30 fleets in Malaysia and in other places where they are not in a position to source it directly from the Russians, whether HAL will be able to take care of the requirements of the Su-30 fleet elsewhere. We are also in talks with the Russians because ultimately there the Russians will also have to concur to that because it is directly under their license agreement. So, when expressed our desire and the leads which we have got, Russians are also willing to part with them and rather give permission for HAL to work on. We will have to see how it gets evolved in.

Hindustan Aeronautics Limited

November 15, 2022

Page 18 of 19

Moderator : We'll take the next question from the line of Dr. Dhruv Maheshwari from Premji Invest. Please go ahead.

Dhruv Maheshwari : Sir, 2 questions from my side. One is just on the export side and especially after the Defense Expo, are you seeing any sort of new conversations and opportunities that are sort of evolving? And the second one on the UAV side, especially drones, it seems everybody sort of building out capabilities there and this could be a fairly competitive market. So, from an HAL perspective, what is the game plan from a medium-term perspective?

C.B. Ananthakrishnan : On the exports, yes, definitely we have already been maintaining that we had leads to from these 2-3 countries. And I mean some more countries have also started enquiring about our product, especially LCA. After the Def Expo, the Argentina team has come over here to see our facilities, especially on the helicopter segment and also they've also shown some interest on the LCA. But the Malaysian thing which I have already indicated to you, there are some challenges which are emerging in the recent past and the changes in the political situation, there we'll also have an impact on the program. So, we will have to wait and watch what will HAL's Tejas positioned over there. So, we are aggressively following up our export strategy and trying to have some sort of a breakthrough order. We will have to wait and see as to how it gets evolved in the days to come.

E.P. Jayadeva : On the UAV front, as we informed earlier, we are developing 1 rotary UAV of 200 kg class. In addition to that, we are also participating in MALE program of ADE, that is called TAPAS. So, we are building the prototypes for that and

and then flight testing will shortly commence. And after the certification, we plan to productionize it and then depending on the order book position what we are going to get from our Indian Defence Services, we'll be supplying to them. In addition to this TAPAS, we're also in talks with IAI for HALE and MALE class of UAVs and also for Rustom, also we are working with them. In addition to that, we are into big projects on CATS where a lot of UAVs will be taking part in this CATS program. For example, you have CATS Alpha, Wingman, you must have seen all this in our Def Expo. And in addition to that, we also have a high-altitude pseudo-satellite also forming part of this. And then optionally manned aircraft also will be forming part of this. And we are progressing quite satisfactorily on the development front on this, both at HAL as well as private industries.

Dhruv Maheshwari : But sir, do you think that will be a fairly competitive market because while it is appreciated what the programs at HAL has taken up, it is also seen that everybody seems to be doing it. So, do you think that sort of also hampers the long-term ability to sort of succeed in this business?

E.P. Jayadeva : See, CATS is not a standalone program, it's an integrated program. It is not just 1 MALE UAV or something like that. It's got a whole lot of players into that in the sense, HAP, Wingman, then Hunter, so it's an integrated thing. And in India, not many people who have already launched this program in addition to HAL. So, we are the only people right now who are working on this. And our major Defence Services is also getting involved in this. They are also showing interest and they are closely watching our development cycle. And then they are also getting involved

Hindustan Aeronautics Limited

November 15, 2022

Page 19 of 19

in this slowly. So, as of now, we don't foresee any competition from the Indian soil as an integrated program.

C.B. Ananthakrishnan : Just to add clarity, if you're looking at drones, we are not into the business of drones. There only is the competition and many number of players are there. We are only looking at combat aerial vehicles, which HAL only has initiated the program as of now. So, we don't foresee any

competition because it is a stand alone program of HAL and it involves much of defense related combat capability which we don't foresee any major competition from that. This is a program which is much, much bigger than the normal drones program where we are not competing at all.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Harshit Kapadia for closing comments.

Harshit Kapadia : Thanks, Faizan. We would like to thank Shri C.B. Ananthakrishnan, Director (Finance), CFO with an additional charge of Chairman and Managing Director, Shri Jayadeva E.P., Director (Operations), for giving us an opportunity to hold this call. We also would like to thank all investors and participants and analysts for joining this call. Any closing remarks sir you would want to share with investors.

C.B. Ananthakrishnan : Thank you for this opportunity. And it has been a good discussion wherein we could clarify most of our positions. Probably I hope that it has been to the satisfaction of the investors. But one thing I can tell is that HAL is looking for lot of growth opportunities and with the recent Atmanirbhar and self-reliance and the changes in the geopolitical situation, we are quite aware of all the opportunities which are available in the defense industry scenario and at the same time, we are also looking at the space which is to be looked into by the private sector. So, wherever opportunities are there for us to collaborate with the private sector, we will collaborate to take things forward in the right direction. But all-in-all, I can say that there is the potential for business and HAL having been there

in the business for the last 7 decades and with some of the major programs coming through, once it is all getting converted into contracts and once it is all getting converted from the design and development stage to productionization stage, we will continue to be there and we will be able to further grow at a much faster rate once these programs materialize and we start delivering of the aircraft. And our objective is to see that we have reached the double-digit growth by 2024, '25 once we start delivering the platforms so that we get into the next phase. All through we have been trying to stabilize ourselves. Our target is to see that growth is multiple so that the investors' wealth gets maximized. Thank you.

Moderator : Thank you. Ladies and gentlemen, on behalf of Elara Securities Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your line.

Call: May 2023

lloo~mN" Q:J~m~Of' ~~~~ _ . N

~~~TJ~ec

~0:S'k1""~ Q:(l,..,feCNt ~files

j6lfl(i1<01

HINDUSTAN AERONAUTICS LIMITED

CORPORATE OFFICE

CO/SEC/4(7)/2023-24/ BSE & NSE Filing/20 hl 23 May, 2023

BSE Limited

Listing Department

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400 001

Dear Sir/ Madam, National Stock Exchange of India Ltd

Listing Department

Exchange Plaza, 5th Floor, Plot No C/1,

G Block, Bandra-Kurla Complex,

Sandra (E), Mumbai- 400051

Sub: Transcript of Q4FY23 Results Conference Call

Ref: BSE Scrip Code: 541154, NSE Symbol: HAL

\*\*\*

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of Q4FY23 Results Conference Call held on Wednesday, the 17th May, 2023 hosted by Elara Securities (India) Pvt Ltd.

2. The same is made available on Company's Website at <https://hal-india.co.in/Analyst/Investors%20Meet/M423>

3. This is for your information and record, please.

Thanking you,

Yours Faithfully

For Hindustan Aeronautics Ltd

(Shailesh Bansal)

Company Secretary & Compliance Officer

15/1, 'd'l.J~ dtae~. ?joriWr>dJ- 560 001, 5~FS35, ?tJdO~, 15/1, Cf>MFf m, ~-560 001, q;ufc;cp, 'l:fffi1

15/1, Cubbon Road, Bangalore- 560 001, Karnataka, India

ctrc>d~ro <~> Ph. : +91-80-2232 0001, 2232 0475, r.pe>eSu", \_\_, <m> Fax: +91-80-2232 0758

~ e;i)eef" (l) Email : cosec@hal-india.co.in

CIN: L35301 KA 1963GOI001622

Page 1 of 17

"Hindustan Aeronautics Limited

Q4 FY '23 Earnings Conference Call"

May 17, 2023

MANAGEMENT : M R. C. B. ANANTHAKRISHNAN – DIRECTOR (FINANCE )

& CHIEF FINANCIAL OFFICER WITH ADDITIONAL

CHARGE OF CHAIRMAN AND MANAGING DIRECTOR –

HINDUSTAN AERONAUTICS LIMITED

M R. JAYADEVA E. P. – DIRECTOR (OPERATIONS ) WITH

ADDITIONAL CHARGE OF DIRECTOR (HUMAN

RESOURCES ) – HINDUSTAN AERONAUTICS LIMITED

M R. SHAILESH BANSAL – COMPANY SECRETARY –

HINDUSTAN AERONAUTICS LIMITED

HOSTED BY : M R. HARSHIT KAPADIA – ELARA SECURITIES (INDIA )

PRIVATE LIMITED

Hindustan Aeronautics Limited

May 17, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Hindustan Aeronautics hosted by Elara Securities (India) Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harshit Kapadia from Elara Securities (India) Private Limited. Please go ahead, sir.

Harshit Kapadia: Thank you, Calvin. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '23 and FY '23 conference call of Hindustan Aeronautics Limited. I take this opportunity to welcome the management of Hindustan Aeronautics represented by Shri C.B. Ananthakrishnan, Director (Finance) and CEO with additional charge of Chairman and Managing Director; Shri Jayadeva E.P., Director (Operations) with additional charge of Director (HR), along with their team members. We will begin the call with a brief overview by the management, followed by a Q&A session. I will now hand over the call to Ananthakrishnan sir for his opening remarks. Over to you, sir.

C.B. Ananthakrishnan: Thank you. Good afternoon to all of you, and we welcome to fourth quarter financial year results of 2023 earnings call. First and foremost, I express my sincere gratitude to all of you for being present today to interact with us and to get all the clarifications and the, sort of, future prospects of HAL. I have with me Mr. E.P. Jayadeva, Director Operations, who is also holding the additional charge of Director HR; Company Secretary, Mr. Bansal and all of the senior officials. As you are aware, we have declared our financial results for the FY '22-'23, and this call is intended to clarify all the questions you have on the company's performance. The financial year, as you are all aware, has been a very eventful year as far as HAL is concerned. In fact, if you recall, at the beginning of the year, we started the year with sort of a revenue deficit of almost INR6,000 crores between the executable orders on hand and the revenue target for the year. In fact, the manufacturing orders were all getting depleted. So we were all wondering as to the INR6,000 crores, how to meet this gap. The year was even more challenging considering the business environment amidst global economic uncertainties, certain limited supply chain disruptions and other challenging results.

However, we have shown some sort of resilience and adaptability in navigating these challenges and could rather post a very strong set of numbers, which we will discuss subsequently. FY '22-'23, in general, and second half of the year, in particular, have witnessed some significant events. As you are aware, the Honorable Prime Minister of India has dedicated our greenfield helicopter project, one of the biggest, in the country at Tumakuru to the nation.

He also, at that occasion, unveiled the light utility helicopter of HAL, designed and developed by HAL. Again, in a major boost to indigenization, our Honorable Prime Minister has unveiled the HTT-40 at DEF EXPO-'22 during October '22. HAL also has concluded on that occasion 70 number of HTT trainers valued at around INR7,000 crores approximately. HAL-L&T  
Hindustan Aeronautics Limited  
May 17, 2023

consortium, again, has bagged INR860 crores contract for end-to-end realization of this 5 Polar Satellite Launch vehicles, PSLV, from the New Space India Limited. This I had been mentioning because this is one of the major forays of HAL into the aerospace industry, especially the

space

sector in collaboration with the private industry for delivering these satellites to the ISRO, Indian Space Research Organization.

Now as far as the financial performance is concerned, we had a very robust financial results being posted in last FY '22-'23. Our revenue, we had reached a record revenue of almost INR26,900 crores as against INR24,600 crores in the previous year, registering a growth of almost 9% plus. In fact, our initial guidance, we have always been maintaining at 8% and we said that we will reach a double-digit growth from '24-'25 onwards. And in fact, I would say with confidence, we are progressing quite well. So that we could achieve a revenue target of growth of 9.37% in the last financial year.

This year would be no different from that. We will be further strengthening that. And as we have indicated in the few last calls, we will be able to reach a double-digit growth of 10% from '24-'25 onwards. The manufacturing segment, yes, it has remained subdued going to certain lower platforms available for execution. However, the shortfall, we could make good through the execution of the repair & overhaul orders. And this trend expected to continue in the current financial year as well. And from the next year onwards, the manufacturing numbers will start picking up once we start delivering the platforms basically the LCA Mk1A.

Similarly, from '24-'25 onwards, apart from your LCA Mk1A, we will also expect significant improvement towards the delivery of your HTT-40 aircraft, which is expected to come on from September '24 onwards and 25 ALH, additional ALH and AL-31FP, which is Sukhoi engine contracts once we start executing that. PBT has registered an increase of almost 24%. It has grown to INR6,500 crores approximately from INR5,231 crores in the previous financial year. Basically, one of the reasons has been that the increase in the interest income, which has also accrued to us on account of 2 reasons. One is the healthy cash balance and the second one is the refund of the long disputed income tax dispute, which was there with the department, which we also got settled in the last year. The upward trend of the interest rates as healthy company on the nonoperating income front, we have received an interest income of almost INR900 crores plus from the surplus balances as against approximately INR400 crores in the previous year. In addition, in the current year, we have also received an interest, as I've indicated earlier, interest of almost INR560 crores from the income tax department on account of the refund, which were against the disputed amounts, which are lying with them. Incidentally, I would also like to take this opportunity to inform you that we have settled this long-pending dispute with the income tax department and have received almost INR2,451 crores as tax refund and INR830 crores as interest from the department in the last 2 years. That is for FY '22-'23 and FY '21-'22. This has settled the tax dispute with the department for all the financial years starting from 2008 onwards to 2015-'16. We are quite comfortable now having settled all the disputes with them. In line with this increase in the PBT and the PAT has also comparatively improved, the PAT growth also has been quite substantial at around 14%. In fact, I have seen that many people have Hindustan Aeronautics Limited  
May 17, 2023

Page 4 of 17

observed that there is a decline in PAT on the fourth quarter of '22-'23 as compared to the corresponding period of '21-'22. We would like to clarify here, the fourth quarter '22, the real profit after tax has not come down. It is only because of certain adjustments in income tax refund, the refund which we have got in the last fourth quarter was slightly higher at INR1,200 crores as against some INR700 crores during the previous fourth quarter. So if you adjust for the same, the PAT has grown at around 10% even

in the fourth quarter. This is purely -- an operating PAT has grown at around 10%. EBITDA for the year has stood at around 31% of the revenues as compared to the long-term trend of around 25% to 26%. This, again, I would like to clarify that may not be sustainable at 31%. We will settle down at 26%, 27%. This increase in the EBITDA for the current financial year is mainly on account of certain amortizations, which we have got in the current financial year of almost close to INR600 crores on account of the HTT contract, which we have finalized in the last year. Similarly, on the dividend fund, I think we've been rewarding to all the investors. We have paid one final dividend of last financial year, '21-'22 and 2 interim dividends. All totaling to almost INR50 per share, which works out to almost 500% of the face value of INR10 per share. On the order book, you will all be interested quite as we have always been maintaining. In fact, in the last earnings call also, we have mentioned at around INR82,000, INR83,000 crores. In spite of liquidating the orders, still the order book remains at a healthy INR82,000 crores approximately. We have almost liquidated INR26,000 crores of order from the last financial year. This was also possible because of fresh order accretion of almost INR26,000 crores during the year. Major orders, as I have already indicated, 70 numbers of HTT-40 and 6 Dornier, valued at almost INR9,000 crores. And another INR800 crores of PSLV from New Space India Limited, we have got. All this has added to the order book position. And balance order flow, as you are aware, that repair & overhaul, there has always been an accretion to the order book and almost INR18,000 crores of order for repair & overhaul accrued. Again, the fresh orders we are expecting the new orders to come through from 25 numbers of Advanced Light Helicopter Dhruv, 12 numbers of LUH, Light Utility Helicopters and again, the engines for the AL-31FP and RD33 engines for MiG series of aircraft. So all these cost negotiations have all been completed, and these are all in the advanced stages of completion. So we expect estimated order value of almost INR48,000 crores to get concluded in the coming financial year, which means within a time span of 6 to 10 months. Further, on the UHM -- Maritime Helicopter 60 numbers, AON has already been approved. And Coast Guard, 9 helicopters also, AON is an acceptance of necessity which has already been approved, which means that there is a very clear visibility towards these orders for HAL in the next 2 to 3 years' time period. As far as the utility helicopter that UHM -- Maritime helicopter is concerned, we will be receiving a sanction initially for the design and development and subsequently, it will be followed by the procurement order. Similarly, we have completed the LCH. There is a light combat helicopter, 15 numbers, and we expect bigger orders from this on light combat helicopter. We are in advanced stages of

negotiations with the customer. They are identifying the additional systems, which are recorded  
Hindustan Aeronautics Limited  
May 17, 2023

Page 5 of 17

for the light combat helicopter. And once it is getting finalized, the AON also will be getting approved.

And this is also expected at around INR45,000 crores, including the optional and rolled equipment put together. This will be an anticipated order. This again, there is some visibility, which will happen in the next 2 to 3 year timeframe. In addition, we also anticipate the LUH, light utility helicopters of additional order of almost 175 numbers. These are all anticipated orders for which visibility is there, but we are at the AON stage, the process will start subsequently.

Similarly, the additional HTT-40 and upgrades on Dornier aircraft. So once these orders are fructified, the order book positions further get strengthened and puts us on a higher tr

jectory of

growth, which we have been promising to achieve a double-digit growth from '24-'25 onwards.

We are also trying to take some very significant efforts to promote our international business with a wide range of indigenous platforms.

We are aggressively pursuing some of the export leads from various countries, we have received the export leads from Algeria, Argentina, Indonesia, Philippines, Thailand, Middle East. And we are quite involved in these various discussions, and we are awaiting one breakthrough order to happen, which we are very positive, it should happen in the next 1 year timeframe.

HAL also has been one of the major beneficiaries of Government of India's Atmanirbharta and self-reliance initiatives. Now many of our platforms and systems, which HAL is manufacturing or appearing in the positive indigenization is, it should mean that the imports will not be there and HAL will be the production agency and supplying agency for these platforms. It will help HAL in securing fresh order and also fulfill the requirement of the defense forces within the framework of the country. These efforts will not only benefit HAL but also to -- the Indian ecosystem of various vendors and suppliers.

To conclude, I will not take much time. I would say that we are committed towards excellence and will continue to propel the nation towards Atmanirbharta in defense aerospace manufacturing through our indigenous design capabilities, which we have developed over a period of almost 7 decades. I think, all in all, the future of HAL appears quite bright. And with all these initiatives towards indigenization and self-reliance, we are quite sure that the growth trajectory of HAL is very sound and strong. I think with this, I will open the floor for further questions and clarifications, which you will have. Thank you.

Moderator: Thank you. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have 2 questions. The first pertains to actually LCA Mk1A. In certain sections of media, it has appeared that this project could be delayed by a few months. So just wanted to get your thoughts on when we can expect LCA Mk1A to be executed. And when do you expect it before the manufacturing to start and deliveries to start?

C.B. Ananthakrishnan: Yes. as per the contracted delivery schedule, the delivery should come on from February '24 onwards. And in the current financial year, we are supposed to deliver 1 fighter and 2 trainer,

Hindustan Aeronautics Limited  
May 17, 2023

Page 6 of 17

total 3 aircraft during the current financial year. And we are on the track. In fact, it also involves certification of many of the systems, which are added on to LCA Mk1. And we along with the ADA, that is Aeronautical Development Agency, we are working towards achieving these certification processes well in time so that the deliveries also will happen.

As of now, we are working on a very tight schedule with all this. Many of these systems to get certified. We have already started build of the aircraft and the aircraft structure should be available, by June or in the next 3 to 4 months.

And after that, the systems also, as and when it gets certified, it will get fitted into that, and we will be in a position to have the ground test and things like that happening in the next 8 to 10 months' time frame. So we are working towards meeting the delivery time lines. Probably even if there are going to be some sort of delays, it may not be very significant. We are confident that we should be able to work on those delays and see that these aircraft are delivered as per the contracted delivery schedule.

Amit Dixit: Sir, just a follow-up on this. What is the delivery schedule like? How much you are -- how many are you expected to deliver in FY '25, '26, '27?

C.B. Ananthakrishnan: As per the contracted delivery schedule, it is 16 numbers start ing

from '24-'25 onwards. 3 to be

there in the current financial year, and 16 are to be delivered every year. Peak load of delivery is 16 numbers. In fact, you may be aware that recently we have also started putting up a third line in Nashik division to see that how these deliveries could be expedited. While 16 numbers we will be able to make from our facilities in Bangalore, we wanted to increase these numbers so that the deliveries could be at a faster rate and we will be in a position to conclude the complete delivery within at least a year before what has been contracted to the delivery schedule. So as I've said, even if 1 or 2 aircraft, we fall short, in the current financial year, we'll be able to make good with our additional capacities in the subsequent years.

Amit Dixit: Wonderful, sir. The second question is essentially on the order book accretion. You had mentioned that in terms of manufacturing, there is a possibility of INR48,000 crores order conclusion. Can you enumerate a similar number for ROH and development also?

C.B. Ananthakrishnan: Yes, ROH, we expect the order book accretion year-on-year will be on an average, it should be INR17,000 crores to INR18,000 crores. So that will only keep in creasing. But as of now, we maintain an average order book of towards ROH, it should be INR 18,000 crores .

Amit Dixit: And development?

C.B. Ananthakrishnan: Development orders, depends again on certain sanctions which will come through. We are also not waiting for the development orders to come through. We are also funding it internally from our resources. And as and when it comes through, we will be able to take it down. But we are sure that the development, you know that IMRH program will be coming through.

Then your LCH Phase II systems, when it is going to be there, this will be an addition to development orders and similarly, certain AMCA portion also will come through. UHM sanctions will be there. So all this would mean the development orders also will substantially

Hindustan Aeronautics Limited

May 17, 2023

Page 7 of 17

increase. But as of now, we will not be able to commit the number on development orders because we have started discussing with them right now.

Amit Dixit: Sir, just a follow-up on the ROH. What is the execution period, like, INR17,000 crores to INR18,000 crores?

C.B. Ananthakrishnan: That is on a year-on-year basis. Our accretion, our execution timeframe is within 1 year, 12-month period.

Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Fund. Please go ahead.

Charanjit Singh: First of all, congratulations on good set of numbers. And sir, my first question is that in terms of this engine framework contract, which you have been talking about, for a long time, at what stage it is? And do we see this getting finalized in the next 6 months' timeframe? Because then the election and the code of conduct, can it impact some of the order inflow finalizations what we are expecting? That's my first question.

C.B. Ananthakrishnan: Which engine framework you are talking about?

Charanjit Singh: So the AL-31FP?

C.B. Ananthakrishnan: AL-31FP, 240 numbers of engines, which we are already in the advanced stages of negotiations. We have completed the CNCs also. That is a contract negotiations has been over with the customer. Now the process is on for putting up the paper for CC S approval, and we are sure that we will be able to get this order in the current financial year . It is quite in advanced stage. We will be able to conclude it within the next 6 months to 8 months timeframe.

Charanjit Singh: And sir, what will be the total value of this order?

C.B. Ananthakrishnan: Total value of this order should be around INR26,000 crores.

Charanjit Singh: Okay, sir. Sir, the other question is on the export side. You have touched upon that there is some opportunity which is emerging. So if you can

just give us more details in terms of what kind of platform what we are looking at in the export market. And we had earlier also participated in one of the international export orders. So what is giving us the confidence and what will be the quantum of this order when we are looking at the exports potential?

E. P. Jayadeva: We are working on countries like Philippines, Argentina, Egypt , Sri Lanka, Maldives, Botswana, Thailand and Nigeria on fixed wing LCA as well as rotary wing helicopters like ALH, LUH and LCH. So these are the major countries we are working on. And we have submitted our proposals to all these countries for the helicopters as well as fixed wing. And we are following up with our leads in both our defense channels as well as their services. So right now, one or two leads are in the advanced stage, like, for example, Philippines and Argentina. Rest of all, we are trying to further impress upon them to consider these proposals, and then we are pushing our case with them.

Charanjit Singh: And sir, how large these initial orders could be for us?  
Hindustan Aeronautics Limited  
May 17, 2023

Page 8 of 17

E. P. Jayadeva: Initial orders to start with, we are looking for some foray with our ALH platform. So that could be to the tune of around USD 150 million to start with.

Charanjit Singh: Got it, sir. Sir, lastly, sir, on the spares side, earlier we had certain issues in terms of getting the spares from Russia. So now how is the -- in terms of the supply chain, any issues where we need to worry about or have you resolved that? And what is the level of indigenization now we are looking at on the spares side?

C.B. Ananthakrishnan: Yes, there have been some sort of concerns because of this geopolitical conflict, especially from the Russian side. But so far, we have been able to manage those sort of disruptions, if at all there have been some delays, but it is getting normalized, and we have started getting the supplies. And I feel that there may not be a big issue. We will be able to manage that. I would like to also highlight here that so far in the last 2 years in spite of all these COVID disruptions as well as the subsequent geopolitical conflict, HAL has always been in a position to maintain the operations without any disruptions and the fleet serviceability has also not been affected.

We are very confident that with our channels being opened up with the Russians, we will be able to get the supply chain continues without any disruptions. Certain payments issues were there, which also has been sorted out. Now we are in a position that some of our payments are also going through. Our interest is to maintain the fleet. We will not have a difficulty. We will be able to maintain those fleets.

Moderator: The next question is from the line of Aditya from Securities Investment Management Company. Please go ahead.

Aditya: My first question is on the grounding of ALH, for sure. So what I understand is that we are going to replace aluminum control rods with the steel rods. So with this change, have all the issues been resolved or there have been some pending design or any other issues? And when can we expect the armed forces to start flying the ALH?

And secondly, if you could also help us understand how has this issue impacted the future order book of the company, especially the 25 ALH order which we are expecting and also 140 LCH order, which we are expecting in the next 1 to 2 years as LCH and ALH have similar designs and engines. So will there be a delay in these orders or any other orders because of this issue?

E. P. Jayadeva: As you are aware, we landed in 3 incidents back-to-back during the last 2, 2.5 months. Actually, that has put us a little bit on back foot. But we would like to mention here that all these accidents are not due to similar issues. They are all different issues, not attributable to 1 issue only. And that's how i

t is not attributable to the same problem. So there's no design in all these 3 helicopters as of now. Out of these, for 2 preliminary investigations have been completed. The third one is still under investigation. We would not like to comment on that.

But otherwise, the design adequacy has been reinforced again. And we feel that there is no requirement to redesign the helicopter wherever these problems have encountered. But as a precautionary measure to reinforce the control rod of aluminum. But now we have decided to go for steel so that the steel are more damage tolerant and if some sort of a misalignment or some maintenance issues are there, they can be more accommodative. And that is the reason

Hindustan Aeronautics Limited  
May 17, 2023

Page 9 of 17

why we are going for steel rods now. It is nothing to do with design adequacy as such. So the helicopters are safe in the present configuration also. So that is how it is as of now. And other fleet owners are still flying the helicopters. So everybody has not grounded the helicopters as of now. And if you see the helicopter accident rates of ALH, it has gone for almost 3.9 lakh hours all put together. And we have incidents of around 7.3 or 7.4 per lakh hours. So this is considered to be very good indication of safety of the helicopter comparing to other international players.

And during the last 2 years also, we have got a very good record of safety. Number of accidents being very, very less compared to average -- normal average, which is worldwide safe. So we feel that ALH is in good hands and then design has been robust. And then this doesn't have any impact on the future orders for ALH, either be it UHM or for any other further requirements.

Our defense services are quite confident of this machine.

C.B. Ananthakrishnan: Now just to add to what our Director Operations has said as far as the ALH, since it has been a back-to-back accidents, which have happened, there has been some concerns. But otherwise as the preliminary investigations revealed, this is not really a major concern as far as the design of



helicopter is concerned. Whatever there's certain smaller issues, which are coming up, which need to be reinforced, we are very confident that we'll be able to get through that. And one more thing which we would like to mention that not all the fleets have been grounded. I understand that one of the services is still flying. Air Force is flying. Army only has grounded it. And Army also once we get the preliminary checks done, they will also fly, because it has been in operation for the last almost 20-plus years. Just a bit of statistics on this. Up to 2018, almost 18 years, we have flown almost close to 2 lakh hours with 19 accidents, which translates into some 9.1 or 9.2 per lakh hour. And after 2018, we have exploited the machine because the numbers have increased and it has equally flown another 2 lakh hours in the last 4, 5 years. And there, the accident rate, it is somewhere around 11. And because of this back-to-back accidents, which has, in fact, reduced it. This is not to justify the accidents, but only to give you confidence that this aircraft is a very robust aircraft and a proven aircraft and tested aircraft and the design capabilities and things like that, it is a continuous improvement, which we will have to make.

It is not something which only because of accidents, which is happening, which we are trying to improve on the design capabilities, it is a continuous improvement, which we will keep to make. But we are very confident we can tell that this machine is a very proven machine, and there is nothing concerned about that, except that unfortunate incident which has happened in the last 3 to 4 months.

Aditya: I just had a follow-up. So just wanted to know what will be the cost of rectifying the -- or replacement of the control rods or any other issues which were identified because we'll have to

replace this for all the fleet of 300 ALH. So what will be the approximate cost of recertifying this? And will we -- will we be getting compensated from the armed forces?  
Hindustan Aeronautics Limited  
May 17, 2023

Page 10 of 17

C.B. Ananthakrishnan: See, first of all, that it has to be established that as to what is all needs replacement and the sort of thing as we understand from the preliminary investigation, it is not going to be anything very major except for this control rods, again, it is not going to be an expensive proposition to convert it from aluminum to steel rod. The cost as of now, we don't anticipate much cost. It should be in the range of around INR150 crores to INR200 crores. And moreover, we are also having a warranty cover for many of these aircrafts. So the cost will not majorly impact the profitability of company. As I told, it could be in the range of not more than INR200 crores.

Aditya: Sir. I had another question regarding ROH revenue. So we had an ROH revenue of around INR18,800 crores this year. So if you can just broadly split what would be the contribution of top 3 or 4 major platforms like SU-30, ALH and engines in our ROH revenue? And secondly, what kind of growth can we expect from ROH in the next 2 to 3 years? And what will contribute -- which platforms will continue to sub growth?

C.B. Ananthakrishnan: The ROH revenue for '22-'23, I will give some of the major platforms, which has contributed to this revenue. One is that Sukhoi-30 repair and overhaul 20 numbers of repair and overhaul has happened, which earlier it was somewhere around 18 and 15 to 18 and then to 20 now peak load. And we are further confident of increasing it to another 2 to 3 numbers extra in the current financial year.

The second one is on engines, AL-31FP engines repair and overhaul. Some 76 numbers have been done in the current year. Our target is to reach to a number of around 95 to 100 in the current financial year to a maximum of around 105. Then rotables, of course, the various rotables also that keeps increasing that contributed to around INR1,000 crores in the last financial year. And as far as the ALH is concerned, almost 30 number for ALH has been repaired and overhauled in the last financial year.

All these have been contributing to the top line growth of revenue, repair and overhaul, apart from the increase in the supply of spares, which also contributed to almost close to INR5,000 crores. So this sort of pattern is likely to continue in the current financial year as well with a marginal increase in the repair and overhaul activity. But from the next year onwards, the growth in the repair and overhaul will be at around 5% to 6%. With the manufacturing pick up, we'll be able to maintain the overall growth.

Moderator: Mr. Aditya, we request that you return to the question queue for follow-up questions. We shall take the next question. The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: My first question was on HTT-40. You mentioned that we will be starting the deliveries from September 2024, what will the delivery schedule look like? How many units we are planning for FY '25? And then what would be the schedule from FY '26?

C.B. Ananthakrishnan: Sorry, if I have told it is September 24, it is not September 24, it is September 25 because we have concluded the contract in last year, it is T0 plus 24 months. Hence, it will start commencing

from September 25 and an average delivery of almost 20 aircrafts. The peak rate of delivery will be at 20, we will start with the 12 and then 16 and then 20. But there again, we are trying to  
Hindustan Aeronautics Limited  
May 17, 2023

Page 11 of 17

expedite the delivery schedule to make it around 20 from the second year onwards, so that we could get the contract concluded earlier because we are expecting another 36 numbers to

come

from and also some potential for exports also is there.

Harshit Patel: Understood, sir. Sir, my second question is on the engine orders. You mentioned that we will be receiving the orders for AL-31FP and RD-33 in financial year '24. Sir, now here, what will be the execution schedule as to -- will this also follow T plus 24 T plus 36 kind of timeline or they will immediately start the production?

C.B. Ananthakrishnan: We are planning to start immediately, the production is to commence immediately. In fact, already, we are also concluding our contract negotiations with the Russian suppliers, so that we will not be waiting for these orders to get concluded and start. We are working out with the vendors. So we are confident that we will be able to start delivering from '24, '25 onwards, both these engines RD-33. And in fact, RD-33, we are also planning in the current financial year the moment contract is concluded, we will start delivering the numbers.

Moderator: Mr. Harshit, we request that you return to the question queue for follow-up questions. The next question is from the line of Umesh Raut from Philip Capital.

Umesh Raut: Sir, my first question pertains to one of the major prospects that we have in the form of LCA Mk-2, where as per the -- some of the media sources, now we are facing the challenge of signing TOT contracts or supply of engine GE's F414. So I want to know what is exactly the status for development of LCA Mk-2? And would this TOT delay will hamper development timeline for LCA Mk-2?

E. P. Jayadeva: The LCA Mk-2 all the parts is almost completed. And shortly, we want to launch the prototype production at HAL. Regarding the engine production also, we are the production agency for GE 414 earlier also our engine division in Bangalore has been identified as a production agency. Recently, we have given our willingness to be part of this also and reinforced our willingness to ADA. So ADA is taking up with GE and the U.S. government to see that the TOT is given to the full extent. After that, we are expecting the contract to be concluded once the ADA receives CCS sanction in full form.

Umesh Raut: But sir, do you see any major challenge in signing TOT with GE?

E. P. Jayadeva: No, we're not having any problem with the TOT with the GE. We'll be manufacturing the engine at HAL.

C.B. Ananthakrishnan: In fact, just to add to that, today, the sort of our strategies with all our suppliers, including the engine manufacturers is quite clear, if at all, they have to do business in India, they will have to have the TOT and the manufacturing facility established within the country. So we are working with all our OEMs towards that, and we are confident that, that will happen. And because they also have understood that once if they have to do business with India and with HAL, they will have to have the facilities established in the country. So we will be able to negotiate to our requirements of having the full TOT getting done within India.

Hindustan Aeronautics Limited

May 17, 2023

Page 12 of 17

Umesh Raut: Okay. My second question is related to the bookkeeping. So we have booked about INR770 crores of HTT-40 development revenue in this quarter, but I believe there is no cost to this -- which is booked above -- or before EBITDA, while we have booked about INR600 crores of amortization only. So is that assumption correct?

C.B. Ananthakrishnan: Yes, your assumption is correct because it is all related to design and development and especially the intangible assets, which we had it in our books -- unamortized portion. And the moment we got sanction, we have also recognized it as part of revenue and also released it as part of our amortization, removing it from the intangible assets from the balance sheet. So you are correct. Is it clear?

Moderator: Mr. Umesh, we request that you return to the question queue for follow-up questions.

The next

question is from the line of Hardik Jain from ISJ Private Securities.

Hardik Jain: All my questions are answered. So yes, thank you.

Moderator: Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Funds. Please go ahead.

Jonas Bhutta: Congratulations on good set of numbers. Sir, just a bookkeeping question. Firstly, can you give us the quantity of aircraft and helicopters produced in the current year FY '23?

C.B. Ananthakrishnan: We have produced 7 numbers of ALH, 2 numbers of LCA. And AL-31F P some 6 numbers, Light Combat Helicopters are 8 numbers, Dornier 2 numbers. These are the platforms which we have manufactured in the last financial year.

Jonas Bhutta: And deliveries would be -- out of these deliveries would be how much, sir?

C.B. Ananthakrishnan: These are all delivered. As per Q4FY23, we call it the documentation for delivery, it has all been delivered.

Jonas Bhutta: And for FY '24, you said you will manufacture 2 Mark-1A in terms of Tejas, but I thought there are trainers of the earlier version Mark-1 trainers are still less, so...

C.B. Ananthakrishnan: Yes.

Jonas Bhutta: So total deliveries of Tejas this year would be how much?

C.B. Ananthakrishnan: We are expecting a minimum of 6 plus 2, 8 numbers to be delivered in the current financial year as far as the LCA trainers are concerned.

Jonas Bhutta: Got it. Got it. And my final question was, sir, in terms of while it's appreciated that we've launched the third line with -- in Nasik also for LCA. So if you can tell us the man-hour rates that were -- man hour requirements from the first plane to the 83rd plain, what kind of reductions we've assumed roughly that will help.

C.B. Ananthakrishnan: For Nasik division, the productivity levels will be definitely as good as the Bangalore based division, the LCA division and aircraft division. So we have factored all of those things in our Hindustan Aeronautics Limited

May 17, 2023

Page 13 of 17

contract when we had finalized it to take the average hours. The average hours which has been now considered for the contract purposes, we'll continue to be in the Nasik division as well since the productivity level remains more or less the same and the labor cost, we will try to maintain.

E. P. Jayadeva: And we have achieved most of the learning from IOC and FOC are all 48 -- 32 aircraft fighters we have produced. So most of the learnings we are achieved. And in Mark-1A its only new systems -- 4 new systems are there. So not much of a scope for learning now. Of course, we'll have to do. At Nasik a little bit learning will be there. But in Bangalore, all the people are convergent with all the production activities.

Moderator: Mr. Jonas, we request that you return to the question queue for follow-up questions. The next question is from the line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.

Mahesh Bendre: Sir, given the current order book and so many orders are in pipeline and the delivery you're talking about. What kind of growth one could we expect from our company over the next 2, 3 years? If I look at last year, we grew only by 9%. And if I look last from FY '19 onwards, we are hardly grown by 4%, 5% CAGR. So if I could look for next 3 years, what kind of growth one should expect from the company?

C.B. Ananthakrishnan: See, from '19, I mean, the last 4 years, the average CAGR has been at around 7.7%. So the growth has not been at 4%. I do not know how it has been computed at 4%, we have been growing at a rate of almost 7% in the last 4 to 5 years. That a part, it is not something which we have not indicated even in the last years, we have been maintaining that in FY '23 and FY '24, the growth will be at single-digit growth of 7% to 8%. In fact, last year at 9%, we have improved our guidance and had grown at an extra percentage point to 9%.

And the current fin

ancial year also, we have been maintaining that it will be a single-digit growth only, and it will be at around the 9% is what we have achieved, but we are inching towards the double-digit growth, which we have promised to be there from FY '25 onwards. And we expect the -- from FY '25, it will be a double-digit growth. And after that, we expect the growth at around 12% to 13% and then stabilize at around 14% to 15%.

Moderator: Thank you. Mr. Mahesh, we request that you return to the question queue for follow-up questions. The next question is from the line of Viraj from Jupiter Financial.

Viraj: Congratulations on good numbers. I have one question. Since FY '24, you're guiding around 13%, 14% growth, is it fair to assume even the margin -- net margin would be in a range of double digits?

C.B. Ananthakrishnan: FY '25, we have been maintaining it will be a double-digit growth, but it will be somewhere around 10% to 11%. Beyond FY '25, we will be improving the double-digit margins to 12%.

And then subsequently, we expect it to get stabilized at 15%. As far as the profitability is concerned, as you are aware, we have been governed by a profit policy and all the improved profitable margins, which we are getting is because of improved efficiencies which we are trying to operate at with more of -- I mean, improving the productivity and also through outsourcing and other involving more private industry.

Hindustan Aeronautics Limited

May 17, 2023

So this would mean that our operating profit in today's scenario is somewhere around 17% to 18% which is a quite healthy percentage for an industry like us, and we are more or less around that, maybe we may be marginally improving year-on-year. But definitely, it will not be any substantial increase will be there as far as the operating profit growth is concerned. It will be hovering somewhere around 18%, 19%.

Moderator: Thank you. The next question is from the line of Vivek N from S hanti. Please go ahead.

Vivek N: Yes. Thank you. My question is again around the growth of HAL. We have been stable and growing gradually. But given that the amount of orders that are there from the government, there are so many in different areas and almost a monopolistic kind of supplying that we are doing. Do you see in the next 2, 3 years, there will be a drastic increase in the top line at least for HAL, and it will then settle at -- because we are just 3 billion, which is the top line. And if you see the top 5 manufacturers in the U.S. because these are the largest firms, they contribute to 350 billion annually. And HAL being the top provider of these solutions in the country. Do you think there will be a drastic improvement in the top line and therefore, such a number revenue.

C.B. Ananthakrishnan: So considering all the factors which are favorable to HAL and the order book pipeline, we have projected the double-digit growth from '25 onwards and then subsequently to improve the double-digit growth, which will settle somewhere around 15%. But this growth has been with all the factors which we have been just mentioning like a very robust order book position with very clear visibility and also being -- HAL being a major player in the industry and with so much of design and development projects on the unveil. So all this would mean that we will definitely have a good order book position, but the execution time line is also there. And with the execution time line, which we envisage, the growth of around 14% to 15% should be good enough for HAL at this point of time.

Moderator: Thank you. The next question is from the line of Shirom Kapur from Prabhudas Lilladher. Please go ahead.

Shirom Kapur: I just wanted to understand the INR48,000 crores order pipeline that you mentioned for FY '24, you said the AL-31 engines will be about INR26,000 crores, the 240 numbers. For the remaining orders in the pipeline,

like FP RD-33 engines and you have 25 A LH, 12 LUH, 12 Su-30 and 9

Coast helicopters. Could you give the breakup of what the potential order of values would be to each of them?

C.B. Ananthakrishnan: Yes. INR48,000 crores basically major contracts, as we have indicated, it is the 240 number AL-31-FP, which is around INR26,000 crores. RD-33 is again some 80 numbers, which is expected to be around INR4,500 crores and 25 advanced light helicopter Dhruv grew should be around INR3,500 crores. And similarly, the light utility helicopters of 12 numbers should be in the range of almost INR2,500 crores. And of course, that additional SU-30 is what we are envisaging additional another 12 numbers, if it also materializes, that will give us an additional order of almost INR12,000 crores. So all this would make up for INR48,000 crores, which we expected to realize in the current financial year.

Moderator: The next question is from the line of Abhineet from Emkay Global. Please go ahead.

Hindustan Aeronautics Limited

May 17, 2023

Abhineet: Yes. I mean the prospect that you talked about for the next 2, 3 years, I think one was in terms of LCH, which was INR45,000 crores. The others were NUH -- Nava Helicopter and others, if you can just quantify what could be those in terms of planning?

C.B. Ananthakrishnan: See, we have got AON approved that is an acceptance of necessity approved, other than what the projects which I have just now indicated as the anticipated contract and which we'll get to conclude in the current financial year, I'm leaving out of those things. Other than that, the AON approved projects for which the negotiations is yet to commence or rather the RFP is yet to be given. It's on this ALH coast guard of 9 numbers for which AON has been approved. Now the RFP will get floated, and we will be submitting our quote.

Similarly, the UHM that is a supply contract of 60 numbers, which will happen after the sanction for development comes through and once we start developing the aircraft, then the supply contract should come, that is another INR20,000 crores. So similarly, the PBL contract for UHM, which we will be supplying is another INR13,000 crores. So the visibility where the AON that is the acceptance of necessity has been approved, where there is certainty of orders to HAL is around INR36,000 crores. So this process will start any time in this current financial year and will get concluded in the next 2 to 3 years' time line.

And similarly, further where AON has not been approved, that is where visibility is there, where we are confident of getting the order, but where the AON is still to be approved is towards light

combat helicopter Prachand SP contract, where 145 numbers we are indicating. Similarly, the light utility helicopter another 175 numbers is what we estimate. Then the trainer HTT-40 for which we have received 70, 36 additional we are likely to get. Of course, Dornier Navy and the Dornier IAF upgrades, that is, again, an upgrade program for which an almost 60 numbers is expected.

So this broadly would mean that the AON's which has not been approved also for which visibility is there is another INR65,000 crores. So INR36,000 crores for a ready AON approved and INR65,000 crores is what, in our opinion, we will get the AON's approved, which will happen in the next 2 to 5 years' timeframe.

Moderator: Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Funds. Please go ahead.

Bhavin Vithlani: Congratulations for good numbers. Just one question. In the ROH, if you could give the revenue breakup of SU-30 and the engines, that will be very helpful.

C.B. Ananthakrishnan: You are talking about the last financial year, that is FY '23.

Bhavin Vithlani: Yes. FY '23 as well as FY '22, it will be very helpful.

C.B. Ananthakrishnan: FY '23, in ROH, as I've already indicated

, some 20 numbers of Sukhoi and 76 numbers of AL-

31FP engine, that is Sukhoi engine. Apart from the rotables, and repair overhaul and around 30 numbers of ALH. So this is the platform for the repair and overhaul for FY '23. This number was for FY '22 is somewhere around 80 numbers, and Sukhoi overhaul was around 20 numbers.

Hindustan Aeronautics Limited

May 17, 2023

Page 16 of 17

Moderator: Thank you. The next question is from the line of Amit Bhide from Morgan Stanley. Please go ahead.

Amit Bhide: My question is one on the margin outlook as your manufacturing deliveries start from FY '25 onwards. That's one. Second, provisioning we had been aiming to keep it around 7%, but in quarter 4 as well, it has been high. So how should we look at it going forward? And third, is there any other tax refund amount that's pending in dispute since 2016 till date?

C.B. Ananthakrishnan: As far as the tax amount is concerned, more or less everything has been concluded. I mean all the disputes have been settled. So there is nothing left out now. We have received the last refund sanction in the last quarter, that is January- March '23. So we don't have anything pending left with the department. So there will not be any further settlement of dispute as far as the IT department is concerned, income tax is concerned. Then on the..

Amit Bhide: Provisions.

C.B. Ananthakrishnan: Provisions, yes, 7% is what we are trying to maintain, but we are also trying to be as conservative as possible. The provisions which we have created in the current financial year is all towards, certain loan items which we have got from the Indian Airforce, we have created a provision because once we start supplying it, we'll have to give it back to them.

So we have created a provision for that. And again, replacement and other charges also we have created some provision. So all of this depends on actual incurring of expenditure, this could be the maximum provision which we have created to see that it is on a conservative basis, and there will not be any further impact on the profitability.

But as we could see, this expenditure as and when it is incurred, we expect that there could be some savings on these provisions as well and which could come back as an income. So we expect that the provisions to be substantially reduced in the current financial year, considering the net impact of the withdrawal of provisions, which is expected to happen in the current financial year.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Just wanted to get an idea as to what MiG-21 would contribute towards our overall ROH revenues? Because I think now that we are going to phase them out in next few years, I think that part of the revenues would go away from the ROH sale, would that understanding be right?

C.B. Ananthakrishnan: No. I mean we are not -- there is no MiG-21 overhaul at all as far as HAL is concerned. It is not forming part of our revenue stream at all. So we will not have any impact on the MiG-21, except for the engine R-25 engines we have been doing. In the last financial year, it did not make an impact in the FY '22, '23 itself, because that was not contributing a major revenue stream. So this MiG-21 is not having any major impact as far as HAL is concerned, it is hardly INR100 crores, which we are doing and doesn't make a real impact on us, the engines part of it alone. And no aircraft repair and overhaul at all.

Moderator: Due to time constraints, this was the last question. I would now like to hand the conference over to Harshit Kapadia for closing comments. Please go ahead, sir.

Hindustan Aeronautics Limited

May 17, 2023

Page 17 of 17

Harshit Kapadia: Thank you, Kelvin. We would like to thank Shri. C.B. Ananthakrishnan Director (Finance), CFO with an additional charge of CMD; Shri. Jayadeva E P, Director

(Operations) with additional

Charge of Director (HR), for to bring this opportunity to host this call. We would also thank all investors and analysts for joining for this call. Any closing remarks you want to share with investors and analysts, sir.

C.B. Ananthakrishnan: Yes. Thank you. We are really thankful for this opportunity and it has really given us also to clarify many of the doubts which were there in the minds of the various investors. And we are confident that with the sort of growth which we have been showing and with the sort of performance which HAL has been consistently been giving in the last 4 to 5 years and with more visibility of orders being out there in the pipeline. We are sure that the expectations of all the investors will be met. And I'm sure I'm very confident and I can assure that we will be in a position to deliver the goods to the investors, and the investors will always feel happy at the end of the day for having been associated with HAL. Thank you.

Moderator: Thank you. On behalf of Elara Securities India Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

# Call: May 2024

Page 1 of 18

"Hindustan Aeronautics Limited Q4 FY-24 Earnings  
Conference Call"

May 17, 2024

MANAGEMENT : M R. C.B. ANANTHAKRISHNAN – DIRECTOR (FINANCE )  
& CFO, WITH ADDITIONAL CHARGE OF  
CHAIRMAN AND MANAGING DIRECTOR ,  
HINDUSTAN AERONAUTICS LIMITED

MR. JAYADEVA – DIRECTOR (OPERATIONS ),  
HINDUSTAN AERONAUTICS LIMITED  
MODERATOR : M R. HARSHIT KAPADIA – ELARA SECURITIES PRIVATE  
LIMITED

Hindustan Aeronautics Limited  
May 17, 2024

Page 2 of 18

Moderator: Ladies and gentlemen good day and welcome to Hindustan Aeronautics Limited Q4 FY24 earnings conference call hosted by Elara Securities Private Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshit Kapadia from Elara Securities Private Limited. Thank you and over to you sir.

Harshit Kapadia: Thank you Manav. Good evening, everyone. On behalf of Elara Securities welcome you all for the Q4 FY24 and FY24 conference Call of Hindustan Aeronautics Limited.

I take this opportunity to welcome the management of Hindustan Aeronautics represented by, Shri. C.B. Ananthakrishnan – Director (Finance) & CFO, with additional charge of Chairman and Managing Director, Shri. Jayadeva – Director (Operations) along with their team. We will begin the call with a brief overview by management followed by Q&A session.

I will now hand over the call to Ananthakrishnan sir for his opening remarks. Over to you sir.

C.B. Ananthakrishnan: Thank you Harshit. Good evening and welcome to you all. Thank you all for joining us today for this Earnings Call. In fact, yesterday we declared our Financial Results for the 4th Quarter and the Financial Year 2023-24 which has been well received by the Investor Community. The same has also been uploaded in our company's website.

And today for this earnings call I have with me Mr. Jayadeva – Director Operations and other Senior Management Team for the interactions.

It has been quite some time since our last interaction which was sometime in May, 2023 almost exactly a year back and we are eager to engage with you today, providing insights into our financial results, offering updates on the various physical advancement of our project and addressing any clarifications you may seek.

The FY23-24 has been an exceptional year for HAL and was a journey of resilience, innovation and unwavering commitment to meet the expectations of the various stakeholders. Despite the challenges we faced in the geopolitical landscape and supply chain disruptions, HAL has once again demonstrated the capability to strive through the adversity. You are aware that our revenues have surged new heights in FY23-24 marking a very significant increase compared to the preceding year. Revenue from operations almost stood at 30,381 crores as compared to 26,928 crores in the previous year, almost registering an increase of 13%. We have given our guidance last year for achieving a double-digit growth from FY24-25 onwards upon the Hindustan Aeronautics Limited

May 17, 2024

Page 3 of 18

commencement of the delivery of LCA aircraft against the 83 LCA programs. However, we could achieve this target a year in advance in FY23-24 itself.

With our robust order book and a very strong pipeline we are confident of sustaining this growth momentum. Apart from focusing on revenue growth, we have also been focusing on cost optimization so as to offer these affordable platforms and services to our customers and also to improve the profitability margins. The manpower cost which used to be around 23% of the revenue during the year 2018-19, some 5 years back, has consistently been rationalized to almost 17% during the last financial year i.e. '23-24 and we expected to bring it down to further to 16% of revenue in the current financial year. Similarly, the overhead expenditure also has been rationalized so that we can eliminate certain avoidable expenditure.

The overhead expenditure to revenue as a percentage which was set

at around some 8%

during '18-19 has also been brought down to 4.66%, almost a 3% reduction over the last 3 to 4 years' time frame. Improvement is also being noticed in our inventory because we were also very conscious of our inventory holding when we had an inventory of almost 360 days, inventory in 2017-18 which we thought was quite high and today it stands somewhere around 159 days which we feel it's the most optimal level below which we would not intend to reduce further.

Another area where, there has been consistent improvement is on the debtors turnover. This also as you are aware from almost 227 days when we had bad times during 2018-19 when our receivables were quite high, it has now been brought down to 55 days which is again the optimal level. I think that will be maintained in the next few years as well. These improvements all have consistently resulted in cost optimization and improvement in the overall profitability of the company.

Now let me also highlight certain initiatives which we have been taking for the future growth and expansions. We are focusing on two major strategy areas during the year 2023-24 and we wanted to continue with our efforts in similar lines in the years to come. One is on the capacity building as we have always been telling to increase the capacity to meet the commitments of our customers. And the second one is the capability building to see that the company is ready for the future requirements and future projects which are coming up. The focus today is on proactive procurement, strengthening the CAPEX and increasing the R&D investments. HAL has been continuously been taking several proactive initiatives in the last financial year towards capacity building for the quick execution and reduce the developmental timelines post the contract signature. Similarly pending finalization of contracts, HAL also has launched the procurement and manufacturing of our platforms. Various aircrafts like Dornier, Light Utility Helicopters, Advanced Light Helicopter then the AL-31 FP engines, required for Sukhoi's, RD-33 engines. All this has helped us to deliver the two Dorniers to Guyana which is there for exports within 10 days of the contract's execution. In fact, the contract got signed in the March '24 and we could deliver 2 aircraft to Guyana and similarly to Army when the contract got signed 25 ALH, we could deliver 6 ALH in FY23-24 itself before the 31st, March. Similarly in the case of RD-33 Hindustan Aeronautics Limited

May 17, 2024

Page 4 of 18

engines as well where 15 RD-33 engines have been delivered to Indian Air Force within the month of contract signature.

We are also investing in various greenfield projects and capacity augmentation of various programs. As you are aware the new helicopter factory had come over into Tumakuru, third line of LCA which is very critical for augmenting our capacity in respect of delivery of the LCA Tejas aircrafts is getting established in Nashik and we expect it to become operational sometime in the month of October 20-24. So that these infrastructure and facilities are readily available for launching the various manufacturing activities immediately on receipt of the customer orders. And meeting our customer requirements is of utmost priority to us and we understand, today there is a need for the services to expedite the delivery so that they can acquire the assets at a faster rate. To support this requirement as a proactive approach, HAL also has been investing towards capacities as we have already told to increase the deliveries of indigenous platforms like LCA, HTT-40 and the Helicopters. These enhanced capacities would not only enable HAL to speed up execution of the existing orders but would also help us to free up our capacities for additional orders from our customers and aggressively pursue the export markets.

We have also got a very robust CAPEX plan because

we keep expanding and then we are getting

newer projects. So, the CAPEX plan for the next 5 years is estimated to be somewhere between 14,000 to 15,000 crores which translates into an average CAPEX of almost 3,000 crores on



annual basis. This CAPEX would also be utilized for augmenting the manufacturing facilities and establishment of ROH facilities for the various platforms. In addition, as you are aware since we are also embarking on new projects like LCA Mark 2 and then the TOT GE F414 engine manufacturing, then the IMRH engine manufacturing and the various infrastructure which is required for design and development of these newer projects of IMRH, AMCA and various other D&D projects we keep investing in our capacities and wanting to invest in capital expenditure for all of these projects.

We also wanted to create certain strategic assets which would enhance our capabilities in the field of forging presses. So, we plan to invest a 20,000 tons isothermal press and a 50,000 tons hydraulic press for manufacturing forging for engines and aerospace structures and carbon fiber facility with an investment of almost 600 crores for our various platforms. All these are intended towards indigenization activities being picked up because we have realized now in the recent geopolitical situation, there is a larger need to become self-reliant and to keep indigenizing more so that in the years to come in the next 5-to-10-year timeframe, we will have all the strategic assets where we have dependability on the foreign sources will come down drastically. And as you are aware HAL has been developing more and more indigenous platforms in the last 10 years. Today we have got a range of indigenous designed and developed platforms and less of license production and we wanted to really maintain this trend. And with that view we are investing heavily on R&D as well. So, we have sanctioned almost 4,000 crores as part funding Hindustan Aeronautics Limited

May 17, 2024

Page 5 of 18

for our IMRH product. The board has sanctioned that and we have started initiating the various activities on the R&D front as far as this IMRH program is concerned.

Similarly, we have also launched the utility helicopter Marine which is the naval requirement with internal funding of around 2,000 crores for the Indian Navy from our own internal resources. As I have told you in the current geopolitical situation and the need to be self-reliant our indigenously designed and developed platforms R&D efforts are of critical importance. We have indigenously designed and developed state of the art platforms like HTT-40, LUH, LCH, LCA Mark 1A, making India among the global players with tremendous opportunities for export. Our R&D expenditure is on an average around 7% to 8% which is among the best in the industry. As you are aware we are also earmarking 15% of our PAT towards creating an R&D corpus every year.

Apart from certifications from the Indian flight worthiness authorities since we are trying to embark on to the export, HAL is also focusing towards certification from the global agencies to enhance the outreach of our products. These efforts are helping us to progress as an end-to-end solution provider in aerospace domain.

Now most importantly I would like to update on the order book position. The order book of the company as on date is around 94,000 crores which is almost 12,000 crores more than the order book, which was there as on last year, that is on 1st April '23 of 82,000 crores, today it is 94,000 crores. I was talking on order book position when the call got disconnected. I mean this is something very important for us all of us. So, the outstanding order book as on date is almost 94,000 crores which is even after liquidation of almost 30,000 crores, it stands at 94,000 crores. So, the increase is on account of the conclusion of various contracts, a

almost close to 19,000

crores in the last financial years including RD-33 engines and then the ALH for Army, then ALH for Coast Guard. Then the various types of engines and then the Navy Dornier, 25 numbers of midlife upgrade and receipt of also the ROH, repair and overhaul orders and spares for the supply of almost 21,000 crores. We have also received an export order of almost 500 crores which I have been telling, 2 Dornier aircrafts to Guyana which included that almost 200 crores of Dornier aircrafts.

In addition, significant progress we have also made on the AL-31 FP program, 12 Light Utility Helicopters and 12 additional Sukhois towards conclusion of contracts. The proposals are at very final approval stages and we expect it to get the same finalized very soon. These orders will happen in a timeline of less than 6 months to 1 year and we expect almost 47,000 crores of orders to materialize in this 1-year timeframe. With these orders and the other ROH order book as on the 31st March '25, we expect the outstanding order book position to be somewhere around 1,20,000 crores even after liquidation of the certain portion of order as part of the revenues for the year '24-25. In addition, the order pipeline also looks very promising with anticipated contracts for LCA Mark 1A, the additional 97 numbers for which AoN has already been Hindustan Aeronautics Limited

May 17, 2024

Page 6 of 18

approved and then the Light Combat Helicopters, Prachand for 156 numbers. Then similarly for

the Advanced Light Helicopter, Dhruv for 43 numbers from IAF and Indian Army. Then similar Dornier aircrafts are also there in the offing and Indian Navy is also looking to buy some 60 numbers of Utility Helicopter Marine. The upgrade of Dornier aircrafts for which all of which all these programs the acceptance of necessity has already been approved. So, these are all to be converted into contracts and the initial process has already been initiated towards that. The aggregate value of all these orders is expected to be somewhere around 1,60,000 to 1,70,000 crores and our expectation it will all materialize in the next 18 months to 3 years' time frame. These orders will keep our manufacturing lines occupied till 2032 and help HAL to propel itself into the next growth trajectory.

The outlook for the current year and the years ahead appears very promising. Each year from the current Financial Year '24-25, we will be adding new platforms, thereby expanding our product profile. During the FY24-25, we will be scaling up the deliveries of LCA Mark 1A in line with the contractual commitments and commencing deliveries of Light Utility Helicopters as well.

The next financial year '25-26, we will commence delivery of our HTT-40 basic trainer and Civil ALH which we have initiated the process and we expect the certifications to get over in the current financial year and the deliveries for the Civil ALH, we have got some interest being shown by some of the Indian customers which we will be able to deliver in the next financial year in addition to the delivery of these LCH Helicopters for which the new orders are expected. The year 2026-27 that is 2 years down the line we will see the addition of the Marine helicopters to the Navy, to our manufacturing line for the Indian Navy in addition to the commencement of delivery of prototypes of these LCA Mark 2 and also commenced manufacturing of prototypes of the Indian Medium Role Helicopter which is the 12 Ton category which is under the design and development. Therefore, the number of aircrafts which are going to get manufactured each year will see consistent improvement during the next 3 to 4 year timeframe. During the same period, we are also will be executing the various engine programs including AL-31 FP, RD-33 engines then the LM-2500 engine, Shakti engine variants of ALH, LC

H and LUH. Besides the new engine program of GE-414 with the GE engines and Safran engine design and development, along with Safran for the IMRH program engine development also will materialize during this timeframe.

Looking ahead I envision, a very future filled with bright promises where the brand HAL will continue to build on a solid foundation of trust, teamwork and unwavering commitment to our stakeholders. We will continue to create value for our shareholders and drive our nation towards the vision of Atmanirbhar Bharat in Defence aerospace manufacturing. Thank you all. I think I had given a very concise brief. May be now that we can start discussions and initiate the queries. Thank you.

Hindustan Aeronautics Limited

May 17, 2024

Page 7 of 18

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Jonas Bhutta from Birla Mutual Funds.

Jonas Bhutta: Firstly, from a bookkeeping side, if you can help us understand what transpired in the 4th Quarter in terms of gross margins, basically material margins, given that they've come upwards of 60%, 63% to be more precise. What drove these margins because typically were more in the 58 kind of band, 57-58 kind of band, what transpired here if you can help us with that?

C.B. Ananthakrishnan: As far as the gross margins is concerned, as we have disclosed in our results as well, the Change Order 3 with respect to the pricing of IOC contract that is LCA initial operational clearance, we were to supply 20 numbers to the Indian Air Force which we have completed the supplies as well. So, there have been some contractual changes and scope changes have been made and the contract provided for certain elements of cost to be claimed at a later date as and when it materializes. So, we had gone that price fixation redone and because of which the IOC contract Change Order 3 which was pending for quite some time, it has been finalized in the last quarter of the last financial year '23-24. And that has resulted in almost 1,500 crores of additional revenue which is reflected in our last quarter results. And this has substantially increased the margin. And that is one major reason why the margins have gone up in the last quarter and which has also been reflected in the total full year as well.

Jonas Bhutta: Because if I remove as in if I adjust that from our top line, then also we are getting like a 63% gross margin. So, this 1,900 crores of change inventory that is, is that the pending deliveries of the two LCA Mark 1A prototypes or something that we....?

C.B. Ananthakrishnan: No, that has nothing to do with the change in deliveries, it's nothing to do. It is an accounting adjustment as far as the inventory which is being used, inventory which has been built in the last year. That is a WIP which is being utilized which is drawn now and which is getting included in the current year revenue. That has nothing to do with the pending deliveries. All the deliveries which have been delivered in the current financial year have already been recognized in the

revenue and pending deliveries have not been recognized. Probably apart from this Change Order 3, the other area is that last year the depreciation and amortization, there is almost a reduction of 400 crores between last year and the current financial year.

This reduction is an account of the HTT-40 which was there in the last year that amortization which is not there in the current year. So that is another reason. And of course, there is also an impairment loss which has happened in Sukhoi in the last financial year which is not there in the current financial year. These two expenditures add up to almost 900 crores which has also helped us to improve the margin in the current financial year as compared to the previous year.

Jonas Bhutta: The second data that I wanted, could you help us with the plat

form wise deliveries made in FY24

like the typical rotary aircrafts and fixed wing and the engines?

Hindustan Aeronautics Limited

May 17, 2024

Page 8 of 18

C.B. Ananthakrishnan: Broadly I can tell, these aircraft deliveries it is all on LCA and ALH and Dornier. We have already indicated that LCA we have delivered close to some 5 aircrafts of LCA and 6 numbers of ALH. Apart from that engine, RD-33 engines some 15 numbers we have delivered. Now then the two export of Dorniers. This is also added to the revenue. These are the platform deliveries which has happened. But the major portion is on the repair and overhaul, which is almost 20,000 crores which forms a bulk of almost 68% of our total revenue has emanated from repair and overhaul.

Jonas Bhutta: Lastly, while you have said when you expect the NUH to come through but just a slightly more granular understanding on the status of the program. Because if you are going to start doing R&D today with a 2,000 crores investment, do you think that it will sort of show up in terms of commercial order by FY27? And the second project on which I wanted clarity was the Su-30 engine AL-31 FP. That order has been pending for quite some time. Any particular update on that? Those are my questions.

C.B. Ananthakrishnan: As far as the Su-30 engines are concerned, it has already been from our side the CNC has been over. We expect the order to materialize because it is in advanced stages of finalization. We expect the orders to get materialized in the next 1 to 2 months timeframe it should happen and there is nothing which is left from our side. So, it is the process which is happening. So, we will be able to get it done. And the UHM program is in the developmental stage. We are confident that in the next 2 years we will be able to convert it into a commercial contract and start executing the deliveries. Director, Operations can add to that.

Jayadeva E P: UHM program is for the Navy. It's a naval maritime version of the ALH. So, in addition to existing ALH features, we are also bringing in new features like blade folding and assisted track and landing onto the ships. So, these are the major things which UHM will support now. So, we are in advanced stage of proving all these new features on the helicopter and we are on track for this also to be flight tested and completed during the next 2 years. So, we are good to go by production runs from 26 onwards. In fact, we would also like to start this in advance like we did in other programs. But we can expect deliveries from '26-27 onwards.

Moderator: We have our next question from the line of Abhishek Poddar from HDFC Mutual fund.

Abhishek Poddar: First regarding the LCA Mark 1, if you could give some understanding that we currently have 83 number of orders and there is an expectation of 97 orders more, how will the production ramp up happen here in next 3-4 years including both the orders?

C.B. Ananthakrishnan: We have got 83 numbers. The delivery timeline, peak delivery rate at which we will have to deliver for this 83 contract is 16 aircrafts. So, at present in our LCA division and the aircraft division at Bangalore, we have got the capacity to produce 16 numbers. We wanted to augment the capacity to 24 numbers because we want to expedite the delivery of this 83 Mark 1A and

Hindustan Aeronautics Limited

May 17, 2024

Page 9 of 18

anticipating further orders which is also I think you are aware that another 97 also is likely to come. So, for the 16 aircrafts is not sufficient. We want to augment the capacity to 24. That is the reason why we have started establishing the third line in Nashik. The activity has started last year sometime in September, and the jigs are all getting installed today and the third line is likely to become operational from October of the current financial year. So, this year probably we wanted to have at least one aircraft rolled

out from our Nashik division to start with. And from

next year onwards Nashik division also will be equipped to produce another 8 aircraft. So, depending on the requirement we will be able to expedite the delivery beyond 16. But 16 will be the minimum as per the contracted delivery schedule. But we would like to expand our capacity to see that this 83 Mark 1A contract is getting liquidated a year in advance of the

contracted delivery schedule, so that we can take up the subsequent 97 at a much faster rate. And we will be able to complete the entire 97+83 latest by 2032-33.

Abhishek Poddar: How much will be in '25, this year?

C.B. Ananthakrishnan: In the current year as per the contract, we are supposed to deliver 16 numbers and this is what we plan. Even though some challenges are there, we are trying to see that the 16 numbers are getting delivered.

Abhishek Poddar: 16+1 at Nashik, so 17 maybe this year?

C.B. Ananthakrishnan: No, we would keep it at the 16 numbers is what we have. Nashik, we are making efforts to see that it happens.

Abhishek Poddar: The second question if I look at the order pipeline and the current order book and we have LCA and there is LCH and there is a RD engine and then there is AL-31 and Sukhoi and HTT-40. So, all these 5-6 are very large programs. Would you expect the bunching of these manufacturing to start in '26 or '27? How do we see that ramp up happening? My question was that we have 6-7 large programs, so LCA, LCH, ALH, HTT-40, probably LUH and there are two engine programs RD-33 and AL-31 FP engines. So, this 7-8 programs, would we start seeing a bunching above the manufacturing happening in '26 or '27 Because all the programs will be in the manufacturing stage by that time.

C.B. Ananthakrishnan: But not bunching really because we have got the facilities created for each of these platforms separately. So, we will be in a position to independently manufacture all of those. So, it will all happen between this next 2-to-3-year timeframe. But since we have got independent capacities available at different locations, it will not really be bunching. They will be able to independently handle and start manufacturing and delivering the product. Like for instance, helicopter complex is capable of producing up to 30 helicopters in Bangalore only, then the Tumakuru facility is also ready for manufacture of another 30. As far as the LCA is concerned, the two facilities at Bangalore is capable of producing 16, third line is getting created at Nashik. And in Nashik we Hindustan Aeronautics Limited

May 17, 2024

Page 10 of 18

are also creating a line for HTT-40 apart from the LCA and the Sukhoi line. So HTT-40 also will get produced from Nashik and the engine programs already we have got the capacities at our Koraput division for AL-31 FP engine. So, we will be able to fully utilize that capacity. So, all in all of these programs we are having independent facilities where they can generate these products and the quantities which are required.

Abhishek Poddar: All these facilities by '27 should start producing all these platforms together?

C.B. Ananthakrishnan: Yes. Like for instance AL-31 FP engines already we are producing and supplying to the Indian Air Force. Then as far as ALH is concerned, again helicopters we have been continuously producing and we are supplying it to the Air Force to the various Defence customers. LCA, we have started supplying to the Indian Air Force. So HTT-40 will start commencement of deliveries from September '25 onward. From next year that is FY 25-26 HTT-40 should start getting delivered. So, we will all be delivering. It will all be in phases. It is as per the contracted delivery schedules. We keep delivering those things.

Abhishek Poddar: One last question. If I look at the EBITDA margins, in '22, it was 23% and last year it was 27% in '23. And this year if I take off

the one-off item for LCA, then it is about 28%-29%. How should we think about these EBITDA margins for next 2-3 years?

C.B. Ananthakrishnan: Broadly what we expect the EBITDA margins should on the most optimistic note it could be somewhere—around 32% to 33%. And at the minimum level it should be not less than 29% because broadly our operating profit ranges between 18% to 20%. The depreciation and amortization is approximately around the 5% to 7% range and the interest income may add up to another 6%. So, this would mean that it should be somewhere around 30%-31% should be our EBITDA margin.

Abhishek Poddar: So, after adding 6% in interest income it will be 32%-33%, excluding that will be 26%-27%?

C.B. Ananthakrishnan: Yes, without interest income it should be somewhere around 26%-27% and with interest income it should be around 33%.

Moderator: We have our next question from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: My first question is with this 97 Mk-1 order possibly by end of FY25, would there be any change in the requirement of Tejas Mk-2 in the future? Would there be any cannibalization?

Jayadeva E P: This 97 is being procured in the Mark 1A configuration. So, this will not have any impact on Mark 2. Mark 2 is under development now. So IAF has got the range to accommodate more aircraft. That's what we feel. And we don't see this Mark 1A cutting into Mark 2 or vice versa. So, it will not happen that way because the Mark-2, it's a different weight category aircraft and Hindustan Aeronautics Limited

May 17, 2024

Page 11 of 18

the roles are slightly different. So IAF can accommodate both. We don't see each other cutting into other prospects.

Deepesh Agarwal: So, is it fair to understand, it would be in view of MMRCA not going through the ramping upon the Mark 1A?

C.B. Ananthakrishnan: As far as HAL is concerned, we are getting these orders and our sort of views ends with that. Whether MMRCA will be there or not it is for IAF to answer.

Deepesh Agarwal: On the Super Sukhoi program when do you expect the order inflow for the Super Sukhoi and how would be the execution timelines on this?

C.B. Ananthakrishnan: Sukhoi upgrade, now the case has been initiated and we will be also participating in the program. In fact, HAL will be the lead agency to integrate the Sukhoi upgrade program with the indigenized Indian industry. So, the program will now pick up speed and then we have already started the discussions with the various stakeholders. And probably in the next 6 months timeframe we should be able to have some contractual clarity on this thing. AON has already been approved for that. That is that acceptance of necessity has already been approved. So, it should get converted into the contract shortly, once we get more clarity and more discussions happen. And the contract negotiations will commence thereafter once we submit the quote and then we will be able to finalize it. But this is going on in the right way and we expect things to materialize within the next 1-year timeframe.

Deepesh Agarwal: On the ROH front, what kind of growth should we expect going ahead?

C.B. Ananthakrishnan: ROH, we expect the growth to be consistent in line with the past and it should be somewhere between 8% to 9% growth should be there in ROH activities.

Moderator: We have our next question from the line of Gagan Thareja from A SK Investment Managers.

Gagan Thareja: My first question is around the potential for sales growth available given that you have almost 90,000 crores of order book which you think next year starting with more like 1,20,000 crores of order book. Given the delivery schedules of various platforms, is it reasonable to assume that an early double-digit sort of revenue growth is consistently possible for the next 3-4 years?

C.B. Ananthakrishnan: Yes, that is what we are confident of. With the current order book positions and

with orders in

the pipeline and with new orders likely to materialize in the 2 to 3 years' timeframe, we will be able to show a consistent double-digit growth. In fact, all the orders we will be in a position to execute up to 2032. With the current visibility of orders, we will have our workload full for 2032 and we can consistently maintain this double-digit growth without any problem.

Hindustan Aeronautics Limited

May 17, 2024

Page 12 of 18

Gagan Thareja: Also, while in the last 2-3 years the share of ROH in your total revenues has kept on going up. I think last year it was more than 70% while now it stands at 68%. Now from here on the share of platform-based revenue will increase and does this change therefore in sales mix? First of all, how much will this sales mix change by and secondly consequently what sort of margin implications does that have?

C.B. Ananthakrishnan: It's like a cycle. Always in this industry certain contracts will get signed for the platform deliveries in a particular period and then subsequently once the delivery happens the ROH activity will pick up. Again, the manufacturing contracts will keep coming and it will be going on like that. Today with the sort of contracts what the deliveries of platforms which we have got, we will start executing those from the current financial year. For instance, this 83 Mark 1A will get major portion of it will start getting executed from the current financial year. And this along with the other helicopters and then the trainer aircraft the manufacturing proportion of sales will keep increasing and the proportion of ROH sales will keep coming down. But not in absolute terms. Absolute terms ROH also will keep growing at 8% to 9% growth and manufacturing will grow at a much faster rate basically because of the execution of the contracts which has all been signed in the past.

Gagan Thareja: Perhaps in 3 years' time, what could be revenue mix look like?

C.B. Ananthakrishnan: Mix will be probably in the ratio of 60 to 40. 60 will be the ROH activity, 40 should be the manufacturing activity.

Gagan Thareja: The media articles have stated that LCA Mark 2 prototypes are supposed to come on stream by FY25. Actually, according to ADA it supposed to have started coming in FY22 itself. But now the timeline seems to keep on getting postponed. You have indicated it is going to FY27 when you supply the prototypes. Can you clarify, is it going to be prototype supplied by FY27 or by FY25?

Jayadeva E.P.: At HAL we have started the manufacture of prototype now. So, the initial structural assembly has already commenced at HAL. So, we are planning to get the full aircraft ready by around later part of '25, so aircraft will be rolled out sometime or will be ready for flight sometime in '26, around March '26.

Gagan Thareja: What is the dry empty weight of LCA Mark 1A? Is it 6,500 kgs or less than 6,500 kgs?

Jayadeva E.P: It is around 7 tons approximately.

Gagan Thareja: 7 tons?  
Jayadeva E.P: Approximately, exact figure I won't have.  
Hindustan Aeronautics Limited  
May 17, 2024

Page 13 of 18

Gagan Thareja: That is higher than perhaps a Gripen which is a bigger aircraft. So, I was wondering with so much composites why is the weight you claimed is larger than that.

C.B. Ananthakrishnan: I am sorry to interrupt but this is certain technical specification which we can discuss not on this forum, we will discuss separately.

Moderator: We have our next question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have two questions. The first one is, you indicated a short while back that the target for us to deliver 16 LCA Mark 1A in this financial year. Now given that we have not delivered such a quantity in the past. So, is there any critical equipment/system-subsystem on which this delivery is contingent or we have everything lined up for these 16 aircrafts?

C.B. Ananthakrishnan:

Yes, there are certain supply side challenges as far as this 16 numbers delivery is concerned but we are working on that. Some of the major LRUs we have to get that because of the geopolitical situation there have been some concerns, but we are working on that. We are confident that we will be able to get the LRUs well in time for the deliveries which we are planning for the current financial year in respect of LCA Mark 1A.

Amit Dixit: The second question is essentially on progressive indigenization. So, as we move from initial 83 numbers to 97 numbers possibly later on, what is the kind of indigenization that we are going to see? It is reported in media articles that from 42nd aircraft maybe we will be fitting the Uttam AESA radar. And so, if you could just highlight what would be the major milestones for indigenization and in the end what kind of indigenous percentage you would see?

Jayadeva E.P: Yeah. As you rightly said after the first 41st aircraft we are planning to integrate our indigenous Uttam radar onto the LCA Mark 1A program and also the Rakshak Kavach that is EW electronic warfare suite. So, with that considerably our indigenous content in LCA Mark 1A will go up. And in addition to that there are other so many LRUs also which compared to Mark 1 we are also indigenous, a number of them like the actuators like side controls actuators and other actuators. So definitely the indigenous content what you can see in Mark 1A will be higher than Mark 1.

Amit Dixit: Any idea what we will end up with, at the end of let us say 180th aircrafts? Just number would do.

C.B. Ananthakrishnan: I'll just quickly answer that. It should be in the range of around 65%, should be above 65%.

Moderator: We have our next question from the line of Aadesh Mehta from Motilal Oswal Financial Services.

Hindustan Aeronautics Limited

May 17, 2024

Page 14 of 18

Aadesh Mehta: There was a news flow that HAL would be working with Airbus in commercial MRO opportunity. If you are in a position to give some more details in terms of timeline, scope, addressable market size, margins that would be great.

Jayadeva E.P: We are trying to enter into civil MRO business at our Nashik facility. We already started this activity at Nashik and we also entered into some sort of a working arrangement with Airbus for the Airbus 320 aircraft. So, it will take shape in a bigger way in years to come. We have started now and it's going to take off and we are going to augment this in the coming years.

Aadesh Mehta: So, anything definitely happening in FY25 or 26 on this arrangement?

Jayadeva E.P: Yes, it will happen. Already we entered into a contract with them. It will happen.

Moderator: We have our next question from the line of Lavina Quadros from Jefferies.

Lavina Quadros: Just two questions. One is on Defence. Firstly, how much was exports as a percentage of your sales in FY24? And any color you can share on the Defence exports the government is planning to take it from 20,000 crores to 60,000? I would believe that HAL would have a very big role to play in this. So, any comments you would like to give there?

C.B. Ananthakrishnan: Exports as of date the numbers are not so great. We are there in export of close to 311 crores, which is approximately very negligible percentage 1% or around 1%-1.5%. But this initiative of export has gone in, we have really taken it up only in the last 2 to 3 years. Before that we were contented with the Defence requirements were there. We are trying to focus on the Defence requirement. Now that we have taken it on a full-scale basis with various aggressively in the export market and with the range of indigenous product profile which we have got today because earlier were in licensed production, not much of indigenous products were available today. Today we have got a range of platforms where we

e will be able to offer to the various countries.

So, the leads which we are getting today is quite impressive. So, there have been lot of interest being shown by various countries, especially on the helicopter side ALH and on the LCH. So, we are in discussions with various countries. As you are aware we are in the discussions with Philippines, we are in discussions with Argentina, we are in discussions with Nigeria, we are in discussions with Egypt. So, there are quite a few countries which have expressed and we are confident that we will be able to get through some order in the current financial year. This has been something which we are also very eagerly waiting and we expect that we will get at least one breakthrough order with the current financial year. We expect that this sector to grow, we will be able to globally become competitive in the next 2-to-3- year timeframe and offer our products successfully to the various countries.

Moderator: We have our next question from the line of Umesh Raut from Nomura.

Hindustan Aeronautics Limited

May 17, 2024

Page 15 of 18

Umesh Raut: My first question is pertaining to the deal that got signed between HAL and GE regarding F414 engine. I just wanted to understand, what kind of technology transfer that GE is kind of coming along with HAL and how can it help in terms of indigenously developing our fighter jet own version in future?

C.B. Ananthakrishnan: This MoU which has been signed and the contract which will get signed between HAL and GE is with respect to the transfer of technology to the extent of 80% of the GE 414 engine. So, under TOT we will be manufacturing the engines in India 80% and 20% will be sourced directly from GE. At this point of time, we will be able to share this much of information and onto the specific technologies which we are still working out with GE and we will probably be able to get it cleared and more clarity will emerge when we sign the contract. And moreover, it is also a classified information which we are not be able to publicly share.

Umesh Raut: Regarding engines, do we see any major export opportunity, whether it is related to fighter jet engine or helicopter engine as we have also got signed MoU with Safran as well?

C.B. Ananthakrishnan: At present, what we have signed the MoU with Safran for the IMRH project and with the GE for the GE 414 for LCA Mark 2, it is basically for our own consumption. But as and when the export opportunity arises, we will be in a position to make those exports as well. Our Safran especially the engines, it is jointly developed along with HAL. So, we will be able to do the export because IPR will remain within the country and as far as GE engines are concerned, we will have to get the case-to-case basis. We will have to get the permission from GE and then we will be able to export if there is a need. But at present we are working out for our domestic requirements only.

Moderator: We have our next question from the line of Harshit Patel from Equirus Securities.

Harshit Patel: My first question is on the Light Utility Helicopters. Could you share an update on the limited series units that were manufacturing against the Letter of Intent? Have we already started booking the revenues on this? Also, when do you see the bulk order materializing and how would the execution schedule look like?

C.B. Ananthakrishnan: The LUH facility has been created and we are the process of manufacturing. We have almost eight aircrafts have already been manufactured. We are expecting the first 12 numbers of limited series to be received from the Defence, Army and IAF. CNC and all the other activities are over. It is under process of getting the contract getting concluded for the initial 12 numbers for which we expect the deliveries also to happen in the current financial year. As far as the bigger orders are concerned, once and as and when these

executions happen for this limited series production

of 12 number and subsequently based on the expectation, they will come out with the changes or further scope change if anything is required or further as an improvement and then we will be

Hindustan Aeronautics Limited

May 17, 2024

Page 16 of 18

able to get the bigger order size. But that will also happen. We expect it to happen in the next 2-year timeframe. It should be with the AON and the activity should get initiated.

Harshit Patel: Secondly on the Sukhoi-30 engines, you mentioned that we will very soon receive the final order. So, will the production start as soon as we will receive the order or there will be some gestation as to T+12, T+18 something like that?

C.B. Ananthakrishnan: No. In fact, since this AON has already been approved and RFP and other things have been initiated a year back, we have taken certain proactive action of placing the order with the Russians, not waiting for the contract to be signed. So, contract signing, once it happens we will be in a position to by then we will get the supply of these engines and we will be able to deliver it in the current financial year, that is FY24-25, we should be in a position to deliver. We are not waiting for the supply order to be placed with the Russians for the manufacture of this kit, for the contract with the customers to be signed. We have already placed the kit order and once we

get that we will start manufacturing and start delivering it to the Indian customers.

Harshit Patel: Just last one bookkeeping question on the developmental front. So, could you tell us the quantum of revenues and the orders which we have done in Financial Year '24 on the developmental programs? That will be my last question.

C.B. Ananthakrishnan: Development sales for the last financial year, it was somewhere around 1,500 crores. Out of 30,000 crores it was somewhere around 1,500 crores. which would come to roughly around the 5% of the total revenue.

Harshit Patel: And developmental orders, what was the quantum last year?

C.B. Ananthakrishnan: Developmental orders. We need to check that. Outstanding developmental orders is somewhere around 900 crores.

Moderator: We have our next question from the line of Girish from MS.

Girish: Just one request, we don't hear from you often, so if you could spare more time, we respect your time. But if you could do at least 6 monthly calls. I had two questions. Firstly, on the manufacturing side, I know it is going to be lumpy because different platforms get into execution at different points of time. Can you help us with what could be the revenue growth that we should expect for this year? And then maybe, is it like 15% and then it steps up to 20%-25%? If you could help us because ROH as you rightly said, will be lower than double digits, so just wanted to understand that one? And secondly on the GE platform bit, just wanted to understand that whether there will be a onetime payment that HAL will make it will be capitalized or it will be something like expensed out as you pay some royalty for this TOT arrangement if you can help with that?

Hindustan Aeronautics Limited

May 17, 2024

Page 17 of 18

C.B. Ananthakrishnan: As far as your second question is concerned, it is little premature at this point of time since we haven't started our commercial discussions as yet with GE. So, we would like get to know what is the sort of compensation which they will be looking for, only when we start discussing with them the commercial offer. So that will be there happening in the next 6 months timeframe and after that we'll get more clarity on that. So as of now we will not be able to tell much on that. As far as the manufacturing growth is concerned, now that with the orders getting executed, the manufacturing growth definitely it has to be around 15% to 18% growth has to be there every year. And the repair and overha

Il growth of around 9% to 10% growth, we will be able to sustain our growth what we have shown in the current financial year of 13% on an average, both manufacturing and repair and overhaul put together, we will be able to sustain that growth.

Moderator: We have our next question from the line of Amit Mahavir from UB S.

Amit Mahavir: The 470-480 billion orderly intake guidance does not include the MRO orders, right? My understanding is correct.

C.B. Ananthakrishnan: Yes. The MRO orders, can you just clarify what is it?

Amit Mahavir: The 470,00 crores orders guidance for FY25 is only for those 3- 4 platforms that you mentioned that does not include the MRO orders?

C.B. Ananthakrishnan: Yes, you're right. Absolutely right. The repair and overhaul order accretion will be on an average 20,000 crores per annum.

Amit Mahavir: And the second part is sir do you think Mark 1A 97 is possible by the 4th Quarter of fiscal '25 or you think the paperwork and the process will basically take it only to '26 first half something like that?

C.B. Ananthakrishnan: The way things are moving, I think we should be in a position to conclude the contract by the current financial year that is before the 31st March '25.

Amit Mahavir: The EBITDA margin guidance of 26%-27% that you have issued does not include any provision reversals or provision change if any? That's the only understanding.

C.B. Ananthakrishnan: We are only talking about the operating margin plus depreciation and amortization. And of course, interest income

Amit Mahavir: Because going by last 2 years it has been reversing. I would assume FY25 will be the same reversal process.

Hindustan Aeronautics Limited

May 17, 2024

Page 18 of 18

C.B. Ananthakrishnan: No, there will not be any substantial reversals which will have a major impact on the EBITDA margin. There will be normal reversal which are happening year-on-year and that will only be continuing but no major reversal will be there.

Moderator: Thank you, sir. That would be the last question for today. I would now like to hand the conference over to Mr. Harshit Kapadia for closing comments. Over to you sir.

Harshit Kapadia: Thank you Manav. We would like to thank the management Shri. C.B. Ananthakrishnan; Director (Finance) CFO with additional in charge Chairman, Managing Director, Shri. Jayadeva:



Director (Operation) for giving us an opportunity to host this call. We also like to thank all investors and analysts for joining this call. Any closing remark Anantha sir that you would want to share?

C.B. Ananthakrishnan: Thank you for this opportunity. In fact, as somebody was pointing out we would also be happy to have this analyst call at least once in a quarter. We will see how to figure out that and we will try to have the discussion and keep all the investors updated of what is happening in the company. One thing which I can tell you is that HAL is today a very consistent growth profile. With the sort of policies which have been initiated by the government and with Atmanirbhar and the need for becoming self-reliant, I feel the question is that there is not going to be any dearth of orders. And we are also conscious of the fact that we also need to execute those orders and we are taking all round initiatives to see that these orders are also getting executed within the given timeline. So, which would mean that the growth and the performance with the company has been reflecting in the last 2 to 3 years, will keep continuing and keep improving year-on-year. I am confident that the sort of all the stakeholders, we will be able to satisfy, whether it be the shareholders, investors of the company or whether it be the customers or whether it be our partners in the programs, we will be able to really keep all the stakeholders in a very happy frame of mind. I wish you all happy investing in HAL and the company will always keep up to

your

trust and confidence which you have on us. Thank you.

Moderator: Thank you, sir. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: May 2025

CO/SEC/4(7)/2025-26/ BSE & NSE Filing/18 22nd May, 2025

BSE Limited  
Listing Department  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai – 400 001 National Stock Exchange of India Ltd  
Listing Department  
Exchange Plaza, 5th Floor, Plot No C/1,  
G Block, Bandra-Kurla Complex,  
Bandra (E), Mumbai – 400051

Dear Sir/ Madam,

Sub: Transcript of Q4FY25 Results Conference Call

Ref: BSE Scrip Code: 541154, NSE Symbol: HAL

\*\*\*

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of Q4FY25 Results Conference Call held on Friday, the 16th May, 2025 hosted by Elara Securities (India) Pvt Ltd, is made available on Company's Website at <https://www.hal-india.co.in/investors/analyst-investors-meet>

2. This is for your information and record, please.  
Thanking you,

Yours Faithfully  
For Hindustan Aeronautics Ltd

(Shailesh Bansal)  
Company Secretary & Compliance Officer

Page 1 of 18

"Hindustan Aeronautics Limited Q4 FY '25 Earnings  
Conference Call"

May 16, 2025

MANAGEMENT : S HRI. D.K. SUNIL – CHAIRMAN AND MANAGING  
DIRECTOR WITH ADDITIONAL CHARGE OF DIRECTOR  
(ENGINEERING AND R&D), HINDUSTAN AERONAUTICS  
LIMITED  
SHRI. BARENIA SENAPATI – DIRECTOR (FINANCE ) AND  
CHIEF FINANCIAL OFFICER , HINDUSTAN  
AERONAUTICS LIMITED  
SHRI. RAVI K. – DIRECTOR (OPERATIONS ),  
HINDUSTAN AERONAUTICS LIMITED  
SHRI. M.G. BALASUBRAHMANYA – DIRECTOR (HR),  
HINDUSTAN AERONAUTICS LIMITED  
SHRI. SHAILESH BANSAL , COMPANY SECRETARY ,  
HINDUSTAN AERONAUTICS LIMITED  
MODERATOR : M R. HARSHIT KAPADIA – ELARA SECURITIES INDIA  
PRIVATE LIMITED

Hindustan Aeronautics Limited  
May 16, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of Hindustan Aeronautics Limited hosted by Elara Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshit Kapadia from Elara Securities. Thank you, and over to you, sir.

Harshit Kapadia: Thanks, Pooja. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '25 and FY '25 Conference Call of Hindustan Aeronautics Limited.

I take this opportunity to welcome the management of Hindustan Aeronautics, represented by Shri. D.K. Sunil, Chairman and Managing Director, with additional charge of Director (Engineering and R&D); Shri. Barenia Senapati, Director (Finance) and CFO; Shri. Ravi K., Director (Operations); and Shri. M.G. Balasubrahmanya, Director (HR), along with Shri. Shailesh Bansal, Company Secretary, along with their team.

We will begin the call with a brief overview by management followed by Q&A session.

I will now hand over the call to Sunil sir for his opening remarks. Over to you, sir.

D.K. Sunil: Good afternoon, ladies and gentlemen. It gives me great pleasure to welcome all of you to Hindustan Aeronautics Limited annual earnings call for the Financial Year 2024-25.

I trust you had the opportunity to review our financial results which were announced yesterday and hosted on our website as well as filed with the Stock Exchanges.

This is the first interaction I am having with you after taking over as CMD of HAL. We are ready to engage with you today, providing insights into our financial results, offering updates on the physical advancement of our projects and addressing any clarifications you may seek. The year 2024-25 has been a significant one for HAL, marked by opportunities and challenges. Through unwavering perseverance and resilience, we successfully navigated the year and concluded it on a strong and positive note. We have achieved many positives during the year, which I would like to recapitulate for your benefit.

HAL has been bestowed with the prestigious Maharatna status on 12th October '24. HAL is the first defense PSU to be named Maharatna and is the 14th CPSE to achieve this status.

Hindustan Aeronautics Limited

May 16, 2025

The first AL-31FP engine for the Sukhoi-30 was delivered under the 240 engines contract. It was delivered on 30th September '24 within 1 month of contract signature.

We inaugurated the state-of-the-art propellant tank production and CNC machining center to meet the growing needs of supporting six launch vehicle LVM3, India's heaviest and most powerful rocket last year.

A out-of-court settlement with the State Govt. of Maharashtra resolving the long pending disputed sales tax issue on supplies and services by HAL to Defense services was concluded.

The final settlement was made at Rs. 2,471 crores against the disputed demand of Rs. 10,079 crores, and the amount was fully reimbursed by the Indian Air Force.

We have received new orders aggregating Rs. 1,25,280 crores, the details of which I will detail subsequently. HAL received certification for the upgraded version of the Dhruv Civil Advanced Light Helicopter from DGCA. The Mistral missile firing was conducted successfully on the LCH Prachand at integrated test range Chandipur, Odisha. HAL received Restricted Military Type Certification (RMTC) from CEMILAC for HTT-40 basic trainer

aircraft.

Now, I would like to update you on the financial performance of the company. During the year, the turnover of the company increased to Rs. 30,105 crores from Rs. 28,162 crores, an increase of 7% over the previous year. This was achieved despite certain challenges we faced on the supply chain for LCA Mark 1A as well as grounding of the ALH fleet due to an accident. The revenue targets could be achieved with the help of the AL-31FP engines and RD-33 engines production.

On the revenue front, the growth rate is around 2%. This is due to one-time impact of Rs. 1,502 crores in the revenue of the previous year from Change Order 3 of the LCA IOC contract. Adjusted for the same, during the current year, the top line grew by 7.25%.

The profitability of the company remained robust during the year. We achieved profits before tax of Rs. 10,820 crores, which is 35% of revenue. Profitability was achieved with the help of improved operational efficiency as well as improvements on other fronts. The operating profit to revenue was at a similar level of previous year at 27%.

The other income has accounted for 8% to overall profitability. The other income primarily accounts from interest income was at Rs. 2,566 crores against Rs. 1,899 crores of the previous

year. Cost optimization is one of the focus areas of the management and through optimization of manpower costs, overheads and increasing outsourcing content, we were able to improve the overall profitability of the company.

Hindustan Aeronautics Limited

May 16, 2025

Page 4 of 18

The inventory holding you may find to be at an increased level from 159 days to 263 days. We believe this is necessary considering the manufacturing cycle times of 18 to 36 months. The work in progress build-up is essential to meet the delivery timelines.

The order book of the company improved to Rs. 1,89,300 crores against the previous year order book position of Rs. 94,127 crores as of 1st April 2024 and after liquidation of current year turnover of Rs. 30,105 crores. The increase is on account of the conclusion of manufacturing contracts of Rs. 1,02,337 crores, namely 240 AL-31FP engines for the Sukhoi-30 for Rs. 25,500 crores, supply of 156 LCH Prachand, Rs. 62,777 crores, supply of 12 Sukhoi-30MKI aircraft at Rs. 13,454 crores besides other upgrade programs.

During the period, we also received ROH repair and overhaul orders of Rs. 19,271 crores, design and development orders of Rs. 3,180 crores and export orders of Rs. 493 crores.

Further, the order pipeline looks even more promising with the anticipated contract of 97 LCA Mark 1A, 143 ALH for IAF, Army and 10 numbers of DO-228, Dornier for the Indian Navy and Coast Guard and upgrade of 40 Dornier for the Indian Air Force are at various stages of approval. The aggregate value of the order pipeline is estimated at around Rs. 1 lakh crores and are expected to materialize within the next one to two years.

In addition to these manufacturing orders, we also expect to receive ROH repair and overhaul orders of around Rs. 20,000 crores. These orders will keep our manufacturing lines busy till 2032-33. Going forward, the order execution will gather momentum. During the year, we expect to scale up the deliveries of LCA Mark 1A, ALH, LUH and HTT-40 aircraft besides continuing deliveries of engines.

Now, let's turn to the initiatives aimed at driving future growth and expansion. These days, we are focusing on two key strategic areas, namely capacity building aimed at fulfilling customer commitments and capability building to prepare the company for the future. The emphasis has been on proactive procurement, enhancing capital expenditure and increasing investment in research and development and indigenization of key components with an aim to achieve Atmanirbharta.

We are investing significantly on our manufacturing lines for both helicopters and aircraft.

Significant investments are planned for increasing the manufacturing capacity for helicopters, fighters, trainers, aero engines at various locations. These enhanced capacities would not only enable HAL to speed up execution of the existing orders, but also free up capacities for additional orders from our customers.

In line with our strategic goals, we have formulated a comprehensive CAPEX plan for the next five years, with an estimated outlay of Rs. 14,000 to Rs. 15,000 crore. This investment will focus on expanding manufacturing capabilities and setting up ROH facilities for various platforms.

Hindustan Aeronautics Limited

May 16, 2025

Page 5 of 18

Additionally, we plan to develop manufacturing infrastructure for LCA Mark-2, GE-414 engines and IMRH engines along with facilities to support design and development activities for the IMRH, AMCA and other related projects.

To conclude, HAL remains firmly committed to driving sustainable growth through strategic investments in capacity and capability building. Our investments in critical infrastructure and strategic assets will further strengthen our manufacturing and R&D capabilities. We believe these initiatives position HAL to not only meet the evolving demands of the defense sector but also to play a pivotal role in driving self-reliance and technological advancement in aerospace and defense. Thank you for your continued support.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Hi, sir, good evening, and congratulations for the very good set of numbers. My first question is pertaining to LCA program, Mark 1 and Mark-2. So, in case of Mark 1, what kind of delivery schedule that we are now expecting over the course of, say, next three years in terms of units? And in case of LCA Mark-2, where exactly we are in terms of negotiations with GE for F414 engines? we are hearing that there is an update regarding renegotiation in terms of cost happening for that particular engine. So, I just wanted to kind of hear your thoughts on these lines.

D.K. Sunil: Yes, thank you for the question. On Mark 1 Alpha, as you are aware that the GE engine has been

hold up. However, General Electric has been able to solve their supply chain issues. And the first engine was delivered in April of this month, and we have already fitted it on the aircraft and tested that. GE has promised a supply of 12 engines in this calendar year up to December. This is confirmed, and they will be sticking to this schedule. So, we will be getting 11 more engines in this year.

So, the visibility is that 12 aircraft will be ready this year with these engines. We expect that since they have overcome the supply chain issue, the deliveries I think will continue in the succeeding years, and we should be over this supply chain problem as for the engine is concerned and the supplies in the succeeding years will I think be smoothed.

Coming to your question about Mark-2, Mark-2 is now at the manufacturing prototype stage, and we expect to fly the prototype in the next year, 1st Quarter of next year. And as far as the engine, the 414 engine, which is powering that, for the initial prototypes, we do have engines. So, there is no hold up on the prototype testing and certification part.

We are now engaging actively with GE. We have had a series of meetings and we have focused on two parts with GE. One is on the amount of technology transfer as well as the pricing. So, Hindustan Aeronautics Limited

May 16, 2025

Page 6 of 18

today we are working on the first part of the technology transfer. And we expect that in this financial year; we will be able to come to a conclusion of this deal.

Just to give you a perspective, Mark-2 will do about 3 years of, it will take 3 years to certify. So, if

it starts flying in '26, we expect certification to be completed in '29-30. Next please.

Umesh Raut: Sir, just one last question on...

Moderator: Sir, we request you to rejoin the queue for follow-up questions. The next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Hi, good evening, everyone, and thanks for the opportunity. My question is on the AL-31FP engine. So, I just wanted to understand the delivery schedule for that and what are the indigenization levels currently in this particular platform? Also, we had signed a MoU with PTC Industries for some specific indigenization, perhaps. I just wanted to understand whether that MoU will translate into actual order. That was my question.

D.K. Sunil: Yes, the AL-31FP engine is 240 engines, which we will be delivering at the rate of about 30 engines per annum. So, over 8 years, this order will be liquidated. Currently, the indigenous content is of the order of 57%, which we are trying to enhance by indigenizing more of the material within the country. We are working with MIDHANI for indigenizing some of the raw materials and this is an ongoing process.

Coming to your question about PTC. PTC is specializing in titanium casting. So, we are working with PTC and they are making parts for us. So, we see that they have also installed a new plant recently. So, we are very happy that the private sector is coming up and installing and investing more. So, I am sure we will be working more with PTC and definitely they will become an important part of our supply chain.

Amit Dixit: I have some follow-ups. I will come back in the queue.

Moderator: The next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: Sir, my question is on the revenue growth in FY '26 and '27. What kind of revenue growth should we expect and what will be the EBITDA margin outlook for the company?

D.K. Sunil: Yes, I think Mr. Barenya Senapati, our Director of Finance and CFO, maybe you could take that?

Barenya Senapati: Yes. Good evening. The EBITDA margin we will be maintaining, see our EBITDA margin is around 38%-39%, and if you remove the interest income, so EBITDA will be around 31%. So, Hindustan Aeronautics Limited

May 16, 2025

Page 7 of 18

we will be maintaining 31% at operating level. And revenue growth, the guidance is 7% to 8%, whatever is there, we will try to continue with that.

Atul Tiwari: So, sir, despite the resolution of LCA Mark 1 bottleneck, we are unlikely to see double-digit kind of revenue growth this year?

Barenya Senapati: Yes. Double-digit growth we are expecting, but the guidance at present level is 8%. Around 8% to 10%, because some of the contract amendments were there in the current year and previous year. So, to neutralize that and then we will maintain the revenue growth.

Atul Tiwari: And sir, over the medium term, like, say, over the next 2-3 years, can we expect mid-teens 12%-13% kind of revenue growth? Are we likely to grow only at 8%-10%?

Barenya Senapati: No, we are expecting double-digit growth from next year onwards. It may so happen in the current year also. But the guidance is 8%-10%, and it may so happen a double-digit growth from next year onwards.

Moderator: We will take our next question from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Hi, thank you very much for the opportunity. Sir, my question is on the LUH program, the Light Utility Helicopter. We are still awaiting the order for limited series production of 12 numbers.

Why is this program been delayed so much? Is it undergoing a fundamental design change? And when do you expect the bulk production order of 20 odd numbers?

D.K. Sunil: Yes, as you have said, we have been looking at an order of 12 numbers which has been in the pipeline. Basically, there have been a couple of setbacks on the design.

sign. Actually, the basic

aircraft itself, the IOC, has been obtained. Regarding some flight control software and something to do with the aircraft dynamics, we have a couple of issues which are being tackled. So, we expect that in this financial year, we will be able to solve these issues. So, this will be allowing us to go further on the order.

So, we expect to conclude this deal for 12 numbers, which, by the way, we have already started producing with our internal funds. We have already built 8 aircraft. So, there is no fundamental change in the aircraft structure, dynamics. Overall, the aircraft are ready, but we need to solve a couple of mostly software-related issues. We expect to do that this year, and then we will be able to deliver these helicopters in quick time because we have already built them and we are going forward on that.

Harshit Patel: Sir, can I ask a second question?

D.K. Sunil: Okay. Please go ahead.

Hindustan Aeronautics Limited

May 16, 2025

Page 8 of 18

Harshit Patel: Sir, my next question is on the Sukhoi-30 upgrade program. Has there been any update on the same? And by when do you expect to receive the order for the first batch of 84 units? So, could you share how large this potential order could be?

D.K. Sunil: You see, the Sukhoi-30 upgrade that we are attempting is a very ambitious program where the whole avionics is going to be changed. Right from radar to mission computers to the displays, it is a very extensive avionics upgrade. This year we expect government approvals. So, we expect that in the next six months we will be able to get this project going, the D&D part will start going. The aircraft order itself will kick in about five to six years. The IOC itself is five years. Then the aircraft order will come in for this 84, as you have said. The value is expected to be around Rs. 60,000 crores, and that will start kicking in from the 6th year onward. So, once the design and development has come to a certain maturity and we have reached the IOC, by that time the other contract will start for the fleet modernization. So, we expect that this order will come to fruition maybe in about 5 years' time, by which time the design and development will be completed.

Harshit Patel: Thank you very much for answering my questions and all the very best.

Moderator: The next question is from the line of Amit Mahawar from UBS Group. Please go ahead.

Amit Mahawar: Hi, sir, good evening. Sir, I just want to understand the dynamics for MRO business. How will it grow and how has it grown this year? And given the light that your manufacturing has to scale up significantly in the next three years as you approach 16 plus LCA Mark 1A execution, how will the profitability remain at the current level?

D.K. Sunil: Coming to your point about the manufacturing growth, you see, for LCA, we have established two lines in Bangalore and we have now invested a few 100 crores and we have established the third line at our Nashik plant, which is expected to roll out in the next couple of months. The first aircraft will roll out from that line.

So, coming to capacities, we will be having this kind of installed capacity of about 24 numbers. Additionally, we also have built a model of getting the fuselage components from private sector partners. So, for example, the wings will come from L&T, the center fuselage will come from VEM, the rear fuselage will come from Alpha Tocol, the vertical fin and air intake, and the rudder will come from Tata TASL. So, that will add to this quantity.

So, last year, we were able to get the first rare fuselage from Alpha Tocol. So, we expect that as these private sector players with our support ramp up and they start producing, we will be able to get further aircraft sets from the private sector. So, the expectation is that if we add about

six

from the private sector, we will have a capacity of almost 30 aircraft per annum. So, this is the

Hindustan Aeronautics Limited

May 16, 2025

Page 9 of 18

way we are approaching this ramping up of production to meet the 83 LCA and the subsequent order.

The question about ROH may be, DF, you could answer.

Barenya Senapati: The repair and overhaul, if you see, with the addition of new manufacturing platform, definitely it is going to increase. And there will be also some phase out of old aircraft. But if you see, it is continuously growing at the rate of 5% and with the addition of LCA and ALH and LCH, it will grow in the subsequent years, but not immediately in one or two years or three years. And as far as your profitability is concerned, our operating profit to revenue is around 27%, and with the kind of mix turnover, manufacturing and repair, we will be maintaining the operating profit to revenue at 27%.

Amit Mahawar: In your question, if I can clarify again, in MRO, the risk of old platforms phasing off, which might impact the MRO adversely, that naturally in the last five years grown at 14%-15% plus, right? I was just referring to the phase up in manufacturing, phase up, which might be very, very sharp in next three years. So, there is a risk of MRO declining in the next few years and particularly FY '25, if you can share the MRO number?

D.K. Sunil: No, you see, we have about 340 ALH flying in the field. We have 250 plus Sukhoi-30. We have the Jaguars, which are life is extended. So, you can see that the Jaguars are going beyond 2035. The Sukhoi-30 will extend up to 2050, eventually, you know, the overhaul. We are adding more and more of the Dorniers. We have 150 Dorniers in the field. The ALH, the Dorniers are going to increase. So, this is a continuous business.

So, what you are saying is only for MiG-21, a couple of squadrons have been phased out. But if you look at our current support of the fleets, we have 40 LCA which is going to increase and the first LCA is going to come up for overhaul in 2026. So, this is a continuous business. So, with our fleets, whatever we have manufactured and supplied, these are going to be continuously coming up for overhaul in the next couple of decades.

So, we don't see that this ROH business is going to go down. Even the Chetak, which we expect will be phased out over the next 5 years, but the rate at which the aircraft come is slow. So, we see that the ROH is going to be very robust, and it is going to be a continuous stream. So, it is going to be a significant part of our revenues.

Moderator: The next question is from the line of Jonas Bhutta from Aditya Birla MF. Please go ahead.

Jonas Bhutta: Thank you for giving me the opportunity and congratulations on a great set of numbers. Two quick questions, sir, I don't know if this has been covered earlier as I joined the call late. What was the delivery number for this year in terms of aircrafts plus helicopters? What was that Hindustan Aeronautics Limited

May 16, 2025

Page 10 of 18

absolute number? And secondly, you know, we see that the provisioning in the P&L has come off. If you can explain what led to that, because I am presuming that the Sukhoi that got damaged while undergoing repair and overhaul would have led to some bit of write-off of almost Rs. 800 Crores plus crores. So, if you can help us understand what led to lower provisioning and what could it be next year?

Barenya Senapati: This provisioning of Rs. 800 Crores, it's not a write-off. We have made a provision of Rs. 804 crores towards that accident Aircraft. And regarding last year's provision, there were some MRO recoveries and all those things against the loan engines. And so there was a little bit of extra provision made in '23-'24. We said that Rs. 804 crores is against the accident Aircraft. Still discussions are going on with Indian Air Force, but as

a prudent we have made a provision of Rs. 800 crore.

Jonas Bhutta: So, this Rs. 2,500 crore number that we see for the year '25, what could it be in '26, roughly?

Barenya Senapati: Yes, it will be at the same level. This provision, whatever is against the replacement liquidated damages and other warranty provision, it will be at the same level. It may deviate 3% to 5% within that. But any specific kind of thing like this accident and all those things, so this year there is an extra provision of Rs. 800 crores. But it will be at the same level.

D.K. Sunil: Coming to your question about the aircraft numbers, you see, this year was actually quite a difficult year. We had a double whammy in terms of lack of supplies of the engine from General Electric. So, even though the airframes were lined up, we could not make good on the deliveries of the LCAs.

However, that is behind us. As I said, the first engine was delivered in April. GE has overcome their supply chain issues, and they assured us that they will supply 12 engines this year. So, that is the kind of deliveries we hope this year we will be able to make.

Unfortunately, we had the ALH incident, and even though the aircraft were ready, because the fleet was grounded, which has been removed now and the aircraft are back in action. So, that also could not happen last year and that will be covered up this year. So, definitely, we were still able to meet our numbers in spite of these kind of events. Next year definitely these deliveries will happen.

Jonas Bhutta: So, what was the number, sir, if you don't mind? And for '26, what is the MoU target, sir?

D.K. Sunil: 24-25 was 1 FOC, 2 Dorniers and 1 FOC of LCA. And as far as the helicopters were concerned,

it was six or five.

Jonas Bhutta: So, roughly 14-15 numbers were delivered.

Hindustan Aeronautics Limited

May 16, 2025

Page 11 of 18

D.K. Sunil: Yes.

Jonas Bhutta: And what is the MoU target for FY '26, sir?

D.K. Sunil: No, we will be able to cover up. As I said, you see, whatever we had planned last year, we already have built those aircraft, whether it is the helicopters or the aircraft. We have already built those. So, that definitely we will be able to deliver.

Barenia Senapati: I think CMD has already answered in the first question itself regarding LCA.

D.K. Sunil: We will be able to deliver those aircrafts.

Moderator: The next question is from the line of Dipen Vakil from Phillip Capital. Please go ahead.

Dipen Vakil: Sir, I have just one question. Sir, within your order book, what is your pending orders for ALH?

And how much of it is for Army and Air Force variant and the split between Army and Air Force and Coast Guard and Navy? And when do we expect a resolution for the Navy and Coast Guard version for the same?

Barenia Senapati: Army, it is 20.

D.K. Sunil: 20 Helicopters.

Barenia Senapati: 20 Helicopters and Coast Guard 9.

Dipen Vakil: And when do we expect any resolution on the grounded fleet for Navy and Coast Guard? So, where is the current status?

D.K. Sunil: Yes, we have instrumented two helicopters to locate this particular peculiar condition why this has happened over in spite of large, we have almost 4 lakh plus hours of flying on the ALH, and this is the first time that an incident of this type has happened specific to the Navy at Coast Guard.

So, we have instrumented 2 helicopters, and we will be flying them in to simulate exactly those conditions. We will do it in the next couple of months. So, we expect a resolution by early July where we will have enough data, and we will be going back to the certification authorities with the data, and then way forward will be decided. My expectation is in July we will have resolution of this.

Dipen Vakil: And one more question. Sir, where are we on the Airbus and HAL deal for civil aviation? And what is it that we can expect going ahead in FY

'26 and beyond?

Hindustan Aeronautics Limited

May 16, 2025

Page 12 of 18

D.K. Sunil: With Airbus we have an MoU where we will be doing the C checks for the A320. So, we have set up the facility at Nashik. And we are now going through the certification process along with DGCA. And next will be EASA. So, those processes are in place. We are putting the people, the certifications. Those are going on. And by end of this year, we will have that. And we have already started some work with Indigo.

So, we expect that it will start generating revenue in Q1 of next year or maybe it would go to the next financial year. So, this today, we are investing in building up the facilities, manpower and getting the requisite certification so that the C checks can be done at Nashik.

Dipen Vakil: This was helpful. And all the best for FY '26.

Moderator: The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: So, thanks for taking my question. My question again is for LCA. You said there will be 11 more engines coming in and then we will be doing 12 deliveries in I think CY '25. I wanted to understand has the timeline changed for the overall 83 deliveries? What is the assessment on the number of engines coming in in the subsequent years from GE?

D.K. Sunil: See, as I said, even I did, we had a very high level meeting with GE Top Management, and we went and had a look at their facilities. And we also understood that due to COVID and post-COVID, they have had a lot of issues with their sub-vendor shutting down and taking time to ramp up.

And as you are aware, in aerospace whenever you shut down a production line, when you come back, you have to do a re-certification. So, that is what has taken time. And the re-certified engine was completed in March. Recertification was completed in March by GE. And the first engine was delivered in April. We have already tested it and fitted it on the first aircraft.

So, I think that is behind us. And GE has assured us that they will be delivering 12 engines in this calendar year. So, with this, I feel the flow will continue at roughly maybe 2 engines per month. That's what we expect. Though the firm commitment is 12 engines this year, I hope that with the supply chain issues behind us, the subsequent deliveries will continue. So, we will be able to catch up and ensure that the deliveries to the Indian Air Force will happen as per schedule.



Amit Anwani: Sir, additionally for the helicopter since we got the order, what is the capacity and with the CAPEX which you announced, to what capacity will the helicopter capacity will go in the next one or two years?

D.K. Sunil: You see, we have an order for 156 Prachand. That is 90 for the Indian Air Force, 66 for the Indian Army. IAF. Sorry, 66 for the IAF and 90 for the Indian Army. And today, our plan is to execute this in about 5.5, 6 years max. That is the initial deliveries will start, in 36 months we Hindustan Aeronautics Limited  
May 16, 2025

Page 13 of 18

will deliver the first batch. So, the batch size will be about 30 aircraft per annum. So, we will be able to deliver these helicopters Starting '27, '28 to 5 years from then, these helicopters will be delivered. So, we have capability capacity in Bangalore as well as our new factory in Tumkuru, where we will be able to produce the number is about 30 helicopters per annum.

Amit Anwani: So, the total current capacity is 30. So, 30 you can...

Moderator: Sorry to interrupt you, sir, but we request you to rejoin the queue for follow-up questions as there are participants.

Amit Anwani: Just a clarification I wanted on the helicopter capacity currently and what would be the...

D.K. Sunil: See, we have invested in the Tumkuru plant exactly for this reason. Our Bangalore capacity will continue for the ALH and eventually the Tumkuru factory will become the main center

where

we will be producing the LCH and going forward we will be producing the LUH. So, all our investments are going into Tumkuru and we have built already this factory. So, we already have capacity there. So, as of now, we have 30 capacity in Bangalore. And going forward with the investments, we will be able to produce 30 LCH at Tumkuru. So, that kind of investments is already in place.

Moderator: The next question is from the line of Hardik Rawat from IIFL Capital. Please go ahead.

Hardik Rawat: Thanks for the opportunity. Sir, I just wanted to understand our stated target is for 12 jets in the current fiscal. What sort of revenue would this turn into? The 12 jets. What would be the revenue potential?

D.K. Sunil: 12 LCA what will be the revenue?

Barenia Senapati: See, I cannot tell you the exact number, but it will be in the range of Rs. 3,000 crores.

Hardik Rawat: Rs. 3,000 crores for the 12 jets.

Barenia Senapati: Yes.

Hardik Rawat: I have another question if you would allow me.

D.K. Sunil: Yes.

Hardik Rawat: With regards to the Tejas Mark-2 developments, where are we on that? And how exactly, you know, when are we expecting that to potential commercialization in terms of early talks that you have had with IAF or something like that?

Hindustan Aeronautics Limited

May 16, 2025

Page 14 of 18

D.K. Sunil: Yes, the first flight of the prototype is expected next year, early next year, '26. And certification is typically three years, so '29. So, production should start in '30-'31. That is what we expect.

Normally, we also do a concurrent production. So, when the certification has come to a certain maturity, we start doing the production. So, the production will be in 2030-31. That will be the initial part. And 2029 will be the certification, and then we will be getting into production.

Hardik Rawat: I have more questions but I will back in the queue.

Moderator: The next question is from the line of Teena Virmani from Motilal Oswal. Please go ahead.

Teena Virmani: Thank you, sir, for taking my question. Sir, I have just two small questions. One, if you can provide breakup of revenues across manufacturing, ROH, design and development and exports for FY '25 and for the manufacturing revenues beyond Tejas for FY '26 onwards, which all platforms as per you will be contributing to the revenue recognition and how will it scale up? These are my two questions.

D.K. Sunil: Yes, again, DF, you can take that.

Barenia Senapati: Our manufacturing percentage is around 23% and design, export and other developments around 7%. So, 30% and balance 70% will be from repair and overhaul and supply of spares.

Teena Virmani: So, manufacturing is 23% and then 7% is what? Design?

Barenia Senapati: 7% is our design, export and other developments, other sales. And supply of spares and repair and overhaul will be around 70%.

Teena Virmani: And on the manufacturing revenues, beyond Tejas platform, which all platforms will be contributing to revenue recognition?

Barenia Senapati: These are mostly engines, AL-31 FP engines and RD-33 engines.

D.K. Sunil: ALH also. Current year.

Barenia Senapati: Current, only two engines.

Teena Virmani: So, sir, then execution of these projects, wouldn't that lead to a slightly higher or double-digit kind of revenue growth in the manufacturing revenues, if we include Tejas plus all these engines?

Barennya Senapati: With the increase in the manufacturing, we are expecting, there was some contract amendments in the current year. With the neutralizing that, so we are expecting minimum growth of 8%, and it may also grow beyond 10%, but that guidance we cannot give you right now. What guidance we can give you is around 8% to 10%.

Hindustan Aeronautics Limited

May 16, 2025

Page 15 of 18

Teena Virmani: Later if you can adjust what kind of contracts...

Barennya Senapati: That we can tell you only

only after our RE and after 6 months. We will have another meet, and I can tell you.

Moderator: The next question is from the line of Sachin Maniar from 3P Investments Manager. Please go ahead.

Sachin Maniar: So, basically, I want to know about the delivery schedule for Sukhoi 12 numbers, how they have been progressing for next 3 years. And second question is what will be the ROH and spares order inflow for this year?

D.K. Sunil: See, Sukhoi-30 12, there is a lead time of two years. So, we will be starting that production in '26-'27. It will conclude in '28-'29. So, over maybe slightly more than 1.5 years because the first year will be more and the second year we will taper off the 12 numbers. So, this is the schedule for the Sukhoi-30. There is a lead time because we have to get the material. The line had stopped, and we are reviving the line. So, the lead time is about 2 years to start production. And your other question?

Barennya Senapati: Repair and overhaul our orders will normally get in the range of Rs. 20,000 crores every year.

Moderator: Our next question is from the line of Jyoti Gupta from Nirmal Bang Securities. Please go ahead.

Jyoti Gupta: The numbers are quite in line with my estimates. I would like to understand what were the reasons that, I mean, apart from LCA Mark 1, we do have platforms in helicopter, which is Dhruv, Rudra and all, wherein the manufacture of engines is Safran and HAL in collaboration. Why in FY '25 we could not deliver the helicopter platforms apart from, did we have any issues in terms of the intermediate jet trainer, where the engines are provided by UEC Saturn? And Dornier, I mean you were able to deliver Dornier in FY '24 two number and that too at a very short period of time. What constrained the company from delivering additional or rather honor or obligation of delivering Dorniers in FY '25?

D.K. Sunil: To answer your question about the ALH, you are aware that the entire fleet was grounded after we had an accident with the Indian Coast Guard helicopter. And we were able to now get those army and air force helicopters off the ground about a couple of weeks ago. So, that problem is behind us. So, that's how, even though the aircraft were ready, we could not deliver. This year we will be able to cover up on the ALH. This is as far as the ALH is concerned.

The Dornier 2 numbers we have delivered to Guyana. These are the civil variants. We did not get a follow-on order. We are trying to still look at that. We are looking at multiple areas across the world where we can deliver this aircraft. Notwithstanding that we are building aircraft in

Hindustan Aeronautics Limited

May 16, 2025

Page 16 of 18

anticipation so that as and when the order comes, we will be able to deliver. Yes, these are the two questions, right.

Jyoti Gupta: I will fall back in the queue.

Moderator: The next question is from the line of Harshit Kapadia from Elaara Securities. Please go ahead.

Harshit Kapadia: Thanks for the opportunity and congratulations for a good result. I just wanted to check on the current conflict which happened. We saw a lot of drones being flying. Is there an area where the HALE and MALE drones, where Hindustan Aeronautics is working? There was one which we saw in Aero India, CATS Warrior. Any progress or any new development on any new drones, if you can suggest the MALE or the HALE version, that would be of great importance.

D.K. Sunil: Yes, as you have seen that these kind of unmanned vehicles are going to dominate. We have seen it very clearly. However, there are two categories in this. You know, the kind of drones that are used are the low cost, low weight drones. This is a highly price sensitive market and there are plenty of players. So, HAL is not into that space.

What we are looking at is the UCAV, Unmanned Combat Air Vehicles, which can carry missiles and bombs and so on. So, the CATS Warrior

that we had showcased is a 3 ton aircraft. And that

development is on. It is still under R&D. And we have come to a stage where we are building the prototypes and testing the different technologies like the data link, the engines and so on. So,

that is still work in progress.

So, I think the market we are targeting is the higher end which is the more capable vehicle. We will play in that area. We will not be able to compete in that price sensitive lower UAV market.

So, we are not looking at that as a company strategy.

Moderator: We will take our next question from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Thank you so much for giving me a repeat opportunity. Sir, I have one bookkeeping question.

So, if I look at FY '24 for you, you booked about closer to Rs. 2,100 crores of operational revenue because of provisions which were written back. For FY '25, was there any provisioning which was written back and included in the revenue from operations?

Barenya Senapati: No, that is what I told you. So, there were some non-recurring revenue from operation in '23-'24. So for that reason, if you adjust that, then our revenue from operation, still it stands at 7.25%.

So current year, no such reversal of provisions are there.

Umesh Raut: And just a clarification on margin guidance that you have given for FY '26. You mentioned margins would be similar to full year of FY '26. Was that correct?

Hindustan Aeronautics Limited

May 16, 2025

Page 17 of 18

Barenya Senapati: Yes, revenue from operation and we will be maintaining our profitability.

Moderator: We will take our next follow-up question from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: So, thanks a lot for taking my question again. Sir, you said about 8%-10% revenue growth, and it looks like that even over medium term we may not get to 15%. So, how do you look at this kind of revenue growth number, especially in the context of a huge order book which is already more than 6x annual revenue, and obviously you will get Rs. 1 trillion more orders which will increase your book to build to 8-9x. So, should not we be aiming for 14%-15% kind of revenue growth to finish this order book as soon as possible?

D.K. Sunil: So, you see, in the aerospace and defense sector, a backlog of about 6 to 7 years is considered healthy. So, that is the kind of number we will reach after this year. We will have about 6 years, less than 6 years of backlog.

So, the idea is that we have to invest, but the investment has to be prudent so that we don't have too much of capacity. So, we are now building capacity so that by '31, '32, we will be finishing the LCA production. And then the LCA Mark-2, our plants will start producing the LCA Mark-2.

So, the whole phasing is that we optimize the investments. And our plants will be occupied with LCA Mark 1 initially. And later the LCA Mark-2 will come in. So, this is the way we are going about. Definitely what our DF has mentioned as a guidance is the conservative guidance. I am sure we will hope to do better than that. Perhaps we will give you an update.

Barenya Senapati: See, with the contractual delivery schedule whatever is there and with the repair and overhaul, the guidance at present for '25-'26, we are giving a guidance at that level. It may go up with increased delivery of LCH and LCA in the coming years.

Atul Tiwari: And sir, any medium-term outlook? I mean, you commented on margins in FY '26 at a stable level. But should we expect similar kind of EBITDA margins continuing over medium-term as well, given you have some visibility in terms of a very, very huge order book?

Barenya Senapati: See, if you see our EBITDA, it is at the same level, hovering around 38%-39% with interest, I mean, other income. If you see the operational EBITDA, it will be around 30%-31%, and we will be able to maintain that.

Atul Tiwari: Even over the medium 3-4 years.

Barenya Senapati: Yes.

Hindustan Aeronautics Limited

May 16, 2025

Page 18 of 18

D.K. Sunil: See, the diversified product base allows us to give us that kind of stability. We produce engines, aircraft, and helicopters. So, there is a very good range of products. It gives us this kind of flexibility so that we can maintain this kind of earning.

Moderator: Our next question is from the line of Nikhil Purohit from Fidelity Asset Management. Please go ahead.

Nikhil Purohit: Hi, I wanted to know by which year can the ramp-up for LCA Mark 1A can happen to 24 units. And then as you mentioned, the eventual 30 units as the private players come in. By when can that happen?

D.K. Sunil: The 24 aircraft will happen in '26-'27. And as I said, the private sector, they are still ramping up. So, we expect that next year we will be able to get those. In '27-'28 we will be able to get the full advantage of all the investments in the private sector. So, I would say in the next two years, we would be able to reach that number of 30.

Moderator: Thank you, sir. Ladies and gentlemen, in the interest of time, we will take this as our last

question. I would now like to hand the conference over to the management for closing comments.

D.K. Sunil: Thank you very much. It was a very interesting conversation. And the kind of interest that HAL is generating in the stock market is very heartening. It gives us and the government great strength that we are such a valued company. And I can assure you that HAL is just not a commercial company. It is a strategic company as you have seen in the recent past.

We strive to meet the requirements of the Indian armed forces and as the backbone of the Indian armed forces. So, we will definitely strive to see that we meet the twin objectives of being a very profitable and forward-looking organization at the same time being the force behind the forces of the country. So, thank you very much, and thank you for all your support. Good day.

Moderator: Thank you. On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: May 2026

CO/SEC/4(7)/2026-27/ BSE & NSE Filing/12 22nd May, 2026

BSE Limited  
Listing Department  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Mumbai – 400 001 National Stock Exchange of India Ltd  
Listing Department  
Exchange Plaza, 5  
th Floor, Plot No C/1,  
G Block, Bandra-Kurla Complex, Bandra (E), Mumbai – 400051

Dear Sir/ Madam,

Sub: Transcript of Q4FY26 Earnings Call

Ref: BSE Scrip Code: 541154, NSE Symbol: HAL

\*\*\*

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of Q4FY26 Earnings Call held on Friday, the 15th May, 2026 hosted by Ambit Capital Pvt Ltd. is attached herewith. The same is also made available on Company's Website at <https://hal-india.co.in/investors/analyst-investors-meet>

2. This is for your information and record, please.

Thanking you,

Yours Faithfully  
For Hindustan Aeronautics Ltd

(Shailesh Bansal)  
Company Secretary & Compliance Officer

Page 1 of 18

"Hindustan Aeronautics Limited  
4QFY26 Earnings Conference Call"  
May 15, 2026

MANAGEMENT : M R. RAVI KOTA -- CHAIRMAN AND MANAGING  
DIRECTOR – HINDUSTAN AERONAUTICS LIMITED  
D R. BARENIA SENAPATI – DIRECTOR FINANCE AND  
CHIEF FINANCIAL OFFICER – HINDUSTAN  
AERONAUTICS LIMITED  
M R. SHAILESH BANSAL – COMPANY SECRETARY –  
HINDUSTAN AERONAUTICS LIMITED  
M  
MODERATOR : M R. SAMEER THAKUR -- AMBIT CAPITAL

Hindustan Aeronautics Limited  
May 15, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Aeronautics Limited 4QFY26 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.  
I now hand the conference over to Mr. Sameer Thakur from Ambit Capital. Thank you, and over

to you, sir.

Sameer Thakur: Good afternoon, everyone. On behalf of Ambit Capital, I thank the management of Hindustan Aeronautics Limited for the opportunity to host their 4QFY26 earnings conference call. To discuss the results, I'm pleased to welcome Shri Ravi Kota, Chairman and Managing Director; Dr. Barenya Senapati, Director Finance and CFO; Shri Shailesh Bansal, Company Secretary. Now I invite Shri Ravi Kota to take us through the key highlights of the quarter, post which we will open up for Q&A. Thank you, and over to you, sir.

Ravi Kota: Thank you very much. Good afternoon, ladies and gentlemen. At the outset, I would like to thank all of you for taking the time to join us today and for your continued confidence in HAL. This interaction is particularly significant for me personally, as I assumed charge as Chairman and Managing Director of HAL on 1st May 2026. It's a huge responsibility to lead one of India's most strategic aerospace and defense organizations at a time when the Indian aerospace and defense ecosystem is undergoing transformational growth.

Today, I have with me Dr. Barenya Senapati, Director Finance and CFO; and Shri Shailesh Bansal, Company Secretary to answer any questions that you may have. We have declared our results for FY 2025-'26 yesterday and hosted the results on our website, as well as filed with the stock exchanges. Hope you had the opportunity to see the same.

I would like to highlight some of the physical milestones that we achieved during 2025-26 before discussing the financial numbers. Some of the major achievements during the year are: Production capacity of 8 LCA Mark-1A per annum established with the inauguration of the third production line at HAL Nashik in the presence of Honorable Rakesh Mantri on 17th October 2025.

Indigenously designed and developed ALH Dhruv NG took maiden flight in the presence of the Honorable Minister of Civil Aviation on 30th December 2025.

Maiden sortie of the first series production Hindustan Turbo Trainer, HTT-40 aircraft, successfully completed on 24th October 2025.

HAL received the Certification of Indigenous Manufacturing of Shakti Civil Engine from the DGCA on 30 December 2025.

Hindustan Aeronautics Limited  
May 15, 2026

Page 3 of 18

As part of the diversification, HAL signed the SSLV Technology Transfer Agreement with ISRO, IN-SPACe, and NSIL on 10th September 2025, securing a non-exclusive license to manufacture the SSLV.

For production of civil commuter aircraft, SJ-100 in India, HAL and Public Joint Stock Company United Aircraft Corporation, Russia, signed an MoU on 27 October 2025.

HAL contributed to ISRO's successful launch of the LVM3 mission on 2nd November 2025 and the LVM3-M6 mission that deployed the massive BlueBird Block-2 Satellite on 24th December 2025 by on-time supply of space-worthy hardware.

To position HAL as a key player in the global aerospace supply chain, HAL has signed an agreement with Safran Aircraft Engines in June 2025 for the industrialization and production of rotating parts of LEAP engines, which power the single-aisle civil aircraft such as Airbus A320neo, Boeing 737 MAX, etc.

Indigenization success stories, advanced manufacturing capabilities, and opportunities for MSME partner

ship were showcased during the National Defense Industries Conclave, 19 to 20 March 2026, inaugurated by Honorable Raksha Mantri.

Now I would like to discuss a few financial highlights for FY 2025-'26.

We have achieved revenue from operations of INR33,050 crores for financial year 2025-'26 in comparison to INR30,981 crores in financial year 2024-'25. This is an increase of 7%, despite global aerospace supply chain disruptions.

Deliveries of ALH helicopters, AL-35FP engines, RD-33 engines and ROH revenues helped offset delays in Tejas Mark-1A and HTT-40 programs. Our diversified portfolio has enabled balanced growth across segments.

Our manufacturing revenue was INR9,227 crores, and ROH revenue was at INR20,524 crores. The manufacturing revenue increased from INR7,957 crores to INR9,227 crores with the help of the delivery of ALH helicopters, AL-31FP engines, and RD-33 engines. The manufacturing revenues are expected to grow further on the commencement of delivery of LCA Mark-1A and HTT-40 during the current year.

During the year, we also achieved export revenue of INR501 crores as against INR400 crores of the previous year.

The profitability remained robust during the year. Our EBITDA grew by 11% to reach INR13,472 crores as against INR12,168 crores of the previous year. Operating EBITDA was at 30% of the revenue and was maintained at the levels of the previous year. We reported a profit

before tax of INR12,112 crores as against INR10,820 crores reported in the previous year. This is an increase of 12%.

Hindustan Aeronautics Limited

May 15, 2026

Page 4 of 18

Coming to capex and R&D expenditure, we are continuously investing in our future through investment in building capabilities in the form of capex and in our future capabilities through R&D expenditure. During the year, we have crossed INR2,386 crores as capex and INR2,794 crores in R&D activities, which is around 8.4% of our revenue.

Considering the major orders in-hand, envisaging new orders, and to ensure timely delivery to the customers, production capacity ramped up for the following major projects, namely LCA and HTT-40 manufacturing at Bangalore and Nashik plants. LCH manufacturing at Bengaluru and Tumkuru plants will be the focus areas going forward.

Additionally, we plan to develop manufacturing infrastructure for LCA Mark-II, GE 414 engines, and IMRH engines, infrastructure facilities for manufacturing SSLV, indigenization of aero engine projects, etc., along with facilities to support design and development activities for IMRH and other projects. We plan to invest around INR12,000 crores in these projects by 2030. During the year, HAL has filed 223 IPR applications, which made the cumulative number of 2,842 IPRs filed by the company. Further 84 IPRs have been granted during the year, taking cumulative IPRs held by organization to 1,226.

Coming to order book. The order book of the company further improved to INR2,54,538 crores against the previous year order book position of INR1,89,302 crores as on 1st April 2025, and after the liquidation of the current year turnover of INR31,792 crores.

During the year, the fresh orders received by the company were INR97,028 crores, which includes the manufacturing orders of INR69,668 crores and ROH orders of INR26,539 crores. Major orders bagged include contracts for the supply of 97 LCA Mark-1A to IAF, quantity 6 ALH Mark III MR to ICG, quantity 8 Do-228 to ICG, quantity 10 ALH Dhruv NG to Pawan Hans, quantity 2 Hindustan-228 to Guyana.

The order pipeline looks even more promising with additional anticipated contracts of 143 ALH for the Army, IAF Su-30 upgrade, upgrade of 40 Do-228, etc., are at various stages of approval. In total, we expect to receive orders of INR90,000 crores, including the ROH orders, during the next 2 years.

I would like to conclude and say that these results represent not just numbers on

the balance

sheet, but the culmination of dedicated efforts by our 24,000-plus employees, the trust of our armed forces, and the collective aspirations of a nation-building self-reliance in aerospace and defense. While this past year has presented significant challenges, it has also demonstrated HAL's resilience and our unwavering commitment to national security. Thank you and Jai Hind.

Management: You can now start the question-and-answer session.

Moderator: First question is from the line of Atul Tiwari from JPMorgan.

Hindustan Aeronautics Limited

May 15, 2026

Page 5 of 18

Atul Tiwari: Sir, what is the status of the start of delivery of LCA Mark-1A to the Air Force? When can we expect the Air Force to accept the first lot? That is the first question. And what is the revenue growth and EBITDA margin guidance for FY '27?

Ravi Kota: Thank you, Mr. Atul. This is CMD here. See, as you are aware, that we have 6 engines received from GE now, and all these aircraft are flying. There are few tests still undergoing now, and we are going to discuss the same with the Air Force in the coming months. So we are hoping to resolve everything and stabilize by August or September. And I'll just hand over to the Director Finance to give the guidance.

Barenia Senapati: As far as revenue growth is concerned, we are hopeful that we'll be maintaining a double-digit growth in the current financial year '26-'27. And the EBITDA margin, we have always maintained around 30%, 31%, and it will be maintained.

Atul Tiwari: Okay, sir. And sir, because these timelines of LCA delivery have gotten stretched multiple times. And is there a risk that the delivery schedule spills well beyond August and possibly only in the very far end of FY '27?

Ravi Kota: No. This time, because GE has committed more engines this year. So with that, we are hopeful now that by August or September, we should be able to start the delivery.

Atul Tiwari: But, sir, the delay in the delivery of the first 6 aircraft appears to be beyond the engine because those aircraft are ready. And based on media reports, and we don't know the reality, it looks like there is some software issue, etc. So could you throw some light on what is holding it up? And

how big is the issue? And what are you doing to resolve those issues? I'm asking because, in the market, it is causing a fair bit of anxiety among the investor base, and there are question marks about whether any aircraft can be delivered even in FY '27.

Ravi Kota: See, the testing, whatever has been done, is only for refining whatever has already been tested. So this is a continuous process. So since there are more technicalities involved in that, I will restrict myself to saying that we are moving in a very positive direction, and we are hopeful that by August or September, we should be able to start the deliveries.

Moderator: The next question is from the line of Amit Dixit from Goldman Sachs. As there is no response from the line, we'll move to the next question, which is from the line of Umesh Raut from Nomura.

Umesh Raut: Congrats for strong operational performance in fourth quarter. Sir, my first question is again on LCA program. If you can articulate to us in a better way what went wrong in terms of execution delays apart from engine supplies from GE? And what exactly is left in terms of testing where we can get confident of deliveries by the second quarter end this financial year?

Ravi Kota: Thank you very much. Again, as I told to Mr. Atul, see, these refinements, whatever, because I cannot get into the details of it, so these refinements, we need to meet certain parameters. So Hindustan Aeronautics Limited

May 15, 2026

Page 6 of 18

these requirements are -- because these are all design and development projects, they have to go through iteration

ns. So we are going through the iterations of that. And we will be -- we are confident, because now it is going in the right direction. The results are very promising. But still, some refinements are required, so HAL is working on that. We are confident that we will be able to meet the September deadline.

Umesh Raut: Got it, sir. Sir, if I understand correctly, we are doing a lot of these platforms after design and development for the first time in terms of execution, and indigenization, as per se, for us, in terms of scope, has also increased. So what are our action plans in terms of mitigating these execution risks in terms of other programs, whether those are in terms of, say, HTT-40 or LCH on the helicopter side? So what are our plans in terms of mitigating these execution risks? And at the same time, if you can guide us in terms of execution timelines for other larger programs, like LCH and Sukhoi 12 Mark-1A aircraft?

Ravi Kota: So you please -- one thing is, see, the other programs -- first of all, whatever risk mitigation, what you are telling, what we are trying to do is we are trying to identify more than one vendor for the supply of items, whether it is indigenous or from a foreign source, so that we have an alternate available for us. That is one thing.

As far as Su-30 or the HTT-40 is concerned, all the purchases or orders required are already placed with the vendors. So now we are in the receipt of these items, even though it is slow because of the geopolitical situation. We will still be able to maintain the deliveries of the other platform, as you mentioned, in time because all the structures, everything, we are going ahead as per plan.

Barenia Senapati: To supplement CMD, there is a little bit of a difference between LCA and LCH. LCH is our own design product. HTT-40 is our own design product. And LCA, it's a joint production between ADA and HAL. So we are confident this helicopter, LCH, and HTT-40, is on the right track. And as per the contract, it will be delivered. LCH, hopefully, as per contract '27-'28, and we'll be able to deliver in time.

Umesh Raut: Got it, sir. Sir, my second question is pertaining to supply chain risk that we have in the business, where if I look at beyond probably engine supply from GE, in case of other programs, are you seeing any kind of supply disruption, whether it is for radars or engines for that matter in programs like Sukhoi, LCH helicopters, HTT-40 aircraft, any kind of supply chain risk over there where vendors are delaying any major components to you?

Ravi Kota: Yes. See, if you see now the current global situation, whatever is there, I will not say disruption, but slowness is there. There is a slowness. But when we have discussions with them, and now we have started discussing with their Tier 1, Tier 2 vendors also, we are getting confident that we should be able to get the items. There may be minor delays, but we are confident that we will be getting within the time required for me to complete the platform and delivery. Because the current situation is like that, so some delay is expected from a few places.

Hindustan Aeronautics Limited

May 15, 2026

Page 7 of 18

Umesh Raut: Got it, sir. Sir, my last question is on the guidance side. If I look at your guidance for revenue growth of double-digit, can you quantify this growth relatively in a better way, where exactly this growth is expected to come from? How much increase over and above INR92 billion, INR93



billion that we reported on the manufacturing side, we can expect in '27?

Barenya Senapati: See, when I said double digit -- see current year, if you see it is around 7% growth. So double-digit means you cannot expect a significant increase like 15% to 20%. Yes, it will be in the range of 10% to 12% minimum.

Umesh Raut: Got it. But particularly in the case of manufacturing, where we have seen about 30% year-on-year growth -- yes.

Barenya Senapati: Manufacturing 30%, if you see, if hopefully, our LCA program and HTT-40, if we are able to deliver, manufacturing sales will play a dominant role.

Moderator: The next question is from the line of Saif Sohrab Gujar from ICICI Prudential Asset Management.

Saif Sohrab: If you can highlight the upcoming programs like Tejas Mark II, when do you expect the ground testing and prototype rollout of, say, the Mark II program? And also on the other future programs like the UCAVs, any update on that expected over the next 1 year?

Ravi Kota: Sorry, what is the second program you talked about?

Saif Sohrab: Unmanned aircraft and all those. Other programs beyond that, right? Maybe first on the Tejas Mark II, when do you expect the prototype rollout?

Ravi Kota: Yes. The assembly of these structures is going on for Tejas Mark II. So we are expecting in the last quarter of this year, for the rollout of Mark II. Again, these are all joint designs between us and ADA. So there are a few things that have to be resolved by them also. So we are expecting that by March, we should be able to roll out Mark II.

But other than that, as you said, we are doing a rotary UAV, which is -- the prototype is already built, and we are doing the ground test now. And the CATS Warrior, which we did the ground run last year, it was successful. Now we are actually building the actual UAV now. That we are expecting next year, not this year. maybe it will have a flight.

Saif Sohrab: Sure. And sir, the second question is on the Mark-1A platform. In our guidance, how many Mark-1A have we considered?

Ravi Kota: Actually, what is happening now, this time, we have received 6 engines. So GE is committing another 20 engines -- 15 to 20, he is telling, but not the exact number. So we are expecting around 20.

Moderator: The next question is from the line of Mohit Pandey from Citigroup.

Hindustan Aeronautics Limited

May 15, 2026

Page 8 of 18

Mohit Pandey: Sir, first question is on the ROH revenue. The growth seems to have come off compared to what we used to guide earlier. So any colour there, sir? That would be question number one.

Barenya Senapati: No. If you see, spares sales have actually come down by around INR500 crores to INR600 crores in the current financial year compared to the last financial year. But the repair and overhaul are almost at the same level because we have not added any new platform to our repair and overhaul activities.

It's all the same platforms like ALH and -- maybe when the LCA will come up for repair and overhaul, maybe next year, and more of LCH, if it comes, then only it will be a significant increase in repair and overhaul we may have in the next financial year. Otherwise, if you see platforms are the same and then at the same level only, except for the escalation part, and other things which might be there.

Mohit Pandey: Understood, sir. Sir, secondly, on margins, so your guidance of 30%, 31% margins, sir, with manufacturing share increasing and with some supply chain disruptions that you highlighted, input costs going up, so how do you plan to deliver similar margins, sir, 30%, 31%? Is there a cost pass-through process with regard to commodities in your contracts with the end users?

Ravi Kota: No. But the disruption -- whatever -- or the delay -- or what I told you at the beginning -- is that this purchase order is already placed.

Barenya Senapati: See for '26-'27, already we have the inventory.

Ravi Kota: Yes, we have.

Barenya Senapati: The inventories are there, and only some components may come, for which the purchase order has already been placed 1 year back or 2 years back. So there will not be any cost increase as such for '26-'27. I don't think -- there will not be any increase. And as the purchase orders have been placed for 83 LCA long back, our inventories have been purchased, and we have built up the inventory. So we'll get that a

dvantage. And then we have negotiations and all those things.

Ravi Kota: And if you see, we have already produced the aircraft, like -- you have seen, around almost -- more than 20-plus aircraft are already produced, for example, LCA is produced, which means all the items are fitted, and its engine ground run has also happened.

Barenya Senapati: And as far as the ERV exchange rate, this is already mitigated. It is factored into the contract.

So we are not affected. So our cost of production will not increase.

Mohit Pandey: Understood, sir. Sir, and from, say, next year perspective, when the older inventory gets used up, so just to understand, are there similar to the exchange rate variation clauses, also commodity-linked cost pass-through?

Barenya Senapati: ERV clause is there in each and every contract, and even in the repair and overhaul contracts. Hindustan Aeronautics Limited  
May 15, 2026

Page 9 of 18

Mohit Pandey: That is clear, sir. But yes, on the commodity and other input costs also, are there pass-throughs available?

Barenya Senapati: Other input costs mean only the material. Labor and all those things, this escalation is already factored. And material escalation is already factored into the contract itself. So I don't think -- based on our negotiation and the clubbing of the material and then LTBA and all those things, we don't see any significant increase in the material cost also in our future program because 97 LCA, already we have placed purchase orders.

Mohit Pandey: Yes, yes. Understood, sir. Very clear on that. Sir, one more question. So now that the next 2 years we'll be working on 5, 6 programs in parallel, with LCH P rachand also coming up for delivery and Su-30, so how are we -- while we have mentioned about capex and all, with regards to manpower and other resources, how are we placed? What could be the peak aircraft and helicopter delivery that we could do, say, in '28 or '29? Any color on that? Because we understand there is increasing private sector competition also for manpower and all.

Ravi Kota: See, all the deliveries for the next year will be as per the contract. You touched upon the manpower and other things, if you see, now we have -- we are trying to increase our efficiency inside. And we are trying to outsource because we have partnered with so many people outside to do the main -- full structures so that I will be the core integrator. And we are trying to in-source as much as possible so that my manpower cost remains as low as possible. So I can use in-sourcing and outsourcing so that I get better efficiency and better costing for the product.

Barenya Senapati: And still, we are open. It will be a balancing thing. '28, '29, we are talking about 2 to 3 years down the line, but we have not closed our recruitment process also. It will be a balancing one, more of outsourcing, in-sourcing, and some recruitment will also be there in due course.

Mohit Pandey: Understood, sir. And for all your manufacturing -- just one clarification, all the manufacturing projects, revenue recognition is only at the time of delivery, right? It is not on percent of completion method.

Management: No, no. It's against delivery.

Mohit Pandey: It's at delivery. So we will have possibly a lumpy year 2 years down the line? Okay, sir. And yes, yes. And sir, just one follow-up to the previous participant. We have read about press reports about the GE F414 engine, right? So the Mk2 prototype you mentioned by next year and the order -- by when it could come, sir, any sense on that?

Ravi Kota: That will be by the end of maybe next year because it has to fly, and then finally, the Air Force will start pushing the paper. So we are expecting by the end of maybe another 2 years, down the line, we can expect the order.

Moderator: The next question is from the line of Kavish Parekh from 360 ONE Capital.

Hindustan Aeronautics Limited

May 15, 2026

026

Page 10 of 18

Kavish Parekh: On the Sukhoi program, I have 2 questions. First, on the 12 Sukhoi-30 aircraft order, what is the expected execution timeline? And when are deliveries likely to commence? And how many aircraft should we expect to be delivered annually over the next 3 years?

Ravi Kota: Okay. The Su-30 MKI, as per contract, starts from '27, '28, that is, in that year, there is only 1 aircraft due as per contract. And next year, we are going to complete all 11 in 28-29.

Kavish Parekh: So 11 units in FY '29?

Ravi Kota: Yes. That is -- will complete.

Kavish Parekh: And second, on the Sukhoi-30 upgrade program, what is the likely timeline for contract signing and subsequent execution of the same? How should we think about annual revenue recognition from this program once execution begins? And what would be the margin profile for the Sukhoi-30 upgrade revenue? Will it be closer to manufacturing margins or ROH margins?

Barenya Senapati: No, it's the Su-30 upgradation design program now. The design program will go on up to maybe 5 to 6 years. And so we are expecting the CCS approval for the current financial year. So the design will take probably 5 to 6 years. Then only the upgrade program will start, production will start after 5 to 6 years.

Moderator: The next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: Good afternoon. My sincere regards and congratulations to Mr. Ravi for shouldering this huge responsibility for the nation in heading HAL. My first question is, the 10% to 12% revenue growth numerically in the second half of the year, how many LCAs are you sort of factoring in terms of dispatch?

Because it appears to be a single-digit number, given the value per LCA. So -- and when I look at the inventory plus contract assets, that's almost INR490 billion. So what percentage of your inventory unbilled revenue is for the LCA program now? So maybe if you could address these 2 points as the first question.

Ravi Kota: As I initially explained, also since we are getting around 20 engines. We are planning to deliver around 20 LCA. I'm not telling that it may happen in this quarter, next quarter, or the last quarter. But this financial year, we are planning to deliver this many aircraft. That's 20, this year, we are planning to deliver. As regards the -- what is the second question? Which is the other part of the financial...

Management: So, inventory for LCA is around INR7,500 crores. And if you look at the unbilled revenue, unbilled revenue is against the delivery that has already happened. It's not against the inventory. Whatever we have delivered because of the documentation and all those things, the non-receipt of documentation we could not bill it. So that has nothing to do with non-delivery of LCA. For Hindustan Aeronautics Limited  
May 15, 2026

Page 11 of 18

non-delivery of LCA, our inventory is around INR8,100 crores, if you include raw material and WIP.

Moderator: The next question is from the line of Shirom Kapur from Jefferies.

Shirom Kapur: I'm going to start with a bookkeeping question. If you could quantify what was your export and development orders and sales for FY '26?

Management: The export order right now, the export order book is around INR 400 crores, and the development order book is around INR3,000 crores.

Shirom Kapur: Okay. Got it, sir. And secondly, I just want to understand this pipeline that you mentioned of INR900 billion orders over the next 2 years, including ROH. So if we keep ROH of about INR200 billion -- INR20,000 crores a year on the side, that is about INR50,000 crores. You mentioned 143 ALH and 40 Dornier aircraft.

Could you quantify what -- how much these programs are worth and what other programs are in the pipeline beyond these, such as the UH-M aircraft and any other, LUH -- 12 LUH Limited Series Production that was pending. So what are the tim

elines, quantities, and values of those?

Ravi Kota: Since these contracts are not yet 100% finalized, that's why I did not give detailed numbers for each contract because it takes time. But a ballpark figure, I have just explain what are the numbers the services are expecting. And we have started discussing with them, with these numbers, with these -- top-level cost with them. But however, it is not finalized. That's why we have not given any numbers.

Management: The major contributor will be the ALH 137 program. And as usual, your ROH program will be at the same level.

Moderator: The next question is from the line of Harshit from Elara Capital.

Harshit: Congrats on decent results, and the CMD is the first to have this role. Just a few questions. One is that there was news that there will be a penalty on GE for the delayed engines. So would that be from you, or would that be from the Ministry of Defense? And if that is true, how do you recognize that? Any quantum that you can share?

Ravi Kota: No, these are all commercial activities as per the purchase order with GE, whatever is there. But we are talking about only the penalty. There are so many terms and conditions, which is available in the contract. It's on there. So it's -- as for the procedure, we apply not only to GEs, these are applicable to all the purchase orders we placed with the vendors.

Harshit: Okay. But any amount that you can suggest? What could be...

Ravi Kota: It's in the contract, so that's why we don't want to give any..

Hindustan Aeronautics Limited  
May 15, 2026

Page 12 of 18

Management: It depends. And delivery will happen when the payment is made. At that time, we'll see what it will look like. It's not the right time to say what the penalties will be -- we cannot quantify them right now. Let the delivery happen, then we'll see.

Harshit: Okay. And sir, lastly, just wanted to check on the AMCA program. I know you are not part of it, but is there a possibility during the production time that HAL could be involved? And secondly, is there a possibility of you getting orders for the SU-57?

Ravi Kota: First, let me answer about AMCA. This, we have made clear last time also because the current tender, whatever the tender that is going to come is, is that RFI, which was placed, is for the D&D program only, that is to build prototypes. And they have not indicated that the same person will do production. So we are hopeful that we will participate in that. And as far as SU-57 is concerned, it's the government's call, so we cannot comment on that right now.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: My question is on the ALH. Have we completed the execution and delivery of all the legacy contracts, including the army contract for 24 members? And what will be our execution schedule for the contract of the 143 ALH that you were mentioning that we will receive in the next couple of years?

Ravi Kota: Yes, the deliveries of ALH, we have no issues. We have delivered everything as per contract. And as far as the new one is concerned, now we have augmented the facility in the current helicopter division. And outside, private vendors are also helping us in making the structure. So we are confident that ALH, because it is our program in a sense, designed by HAL, we will be ahead of schedule.

Harshit Patel: And just a clarification of the HTT-40 program. I wanted to check on any supply chain issues with the production, especially with the Honeywell engines. Also, if you can share the execution strategy, that will be helpful. Did you mention we will start in FY '27 or FY '28 for delivery?

Management: FY'27.

Harshit Patel: And how much units we are planning for FY '27? And I think we should be able to complete this by FY '30. Is that the right understanding?

Ravi Kota: Yes, You are right. See, as I said, the supply chain of Honeywell engines, it was there a few

months back. Then we have continuous review, and now it is stabilized. So the engines will start going to come from next month. And we are planning around 20 plus this year to deliver. And every year, it continues because now we have 2 lines, one in Bangalore, another one in Nashik. So we should be able to ramp up faster and deliver.

Harshit Patel: Can I ask one more question, if that's okay?

Hindustan Aeronautics Limited

May 15, 2026

Page 13 of 18

Ravi Kota: Yes, please go ahead.

Harshit Patel: Yes. Sir, what is the status of Uttam Radar integration? By when we will start producing Mk1A? Is the Uttam integrated on them? I believe the earlier plan was to start from the 41st unit. Is that still intact?

Ravi Kota: No. Because this is controlled by the DRDO. So we are only a production agency. Once they give the production clearance, we will go to the DCPP partner and we'll buy it. So as of now, it is not coming in the 83 program. So in the 97 program, we are planning to integrate this.

Moderator: The next question is from the line of Chaitanya Iyer from Goldman Sachs.

Chaitanya Iyer: So I wanted to ask, provisioning as a percentage of revenue was on the lower end this year. Can you please elaborate on that? And what would be the stable state guidance that we can consider for the same?

Management: The provision is based on the happening of an event. See, last time, the provision we made because the 1 SU-30 aircraft got into an accident. So, for the replacement purpose, we made a provision of INR800 crores. And that situation is not there, in the current year. So it's not comparable. Provision is based on any happening or not happening. So for that reason, last year, that INR800 crores was there, and that INR800 crores is not there in the current year. So there cannot be any guidance percentage of revenue and in provision.

Chaitanya Iyer: Understood, sir. And sorry if I missed this, but could you give the exact numbers for the manufacturing ROH development and exports for all 4 of these?

Management: Manufacturing for the current year, if you see, manufacturing is around 28%, and then we pair an overhaul 62%, and other 10%.

Moderator: The next question is from the line of Neelotpal Sahu from JM Financial.

Neelotpal Sahu: Just one clarification. Can you help quantify the manufacturing share of revenue for the INR48,000 crores of 83 LCA Tejas Mk1 aircraft. That would be the first question.

Management: Can you repeat? It was not clear.

Neelotpal Sahu: So INR48,000 crores, I assume, includes some ROH component and some of the payments to ADA as well. So, can you help us understand what would be the share of purely the manufacturing part of revenue that would accrue to us?

Management: INR48,000 crores? Where did you get that number? INR48,000 crores? It is our order book position you are...

Neelotpal Sahu: Yes. The complete order is INR48,000 crores. What is the, like manufacturing...

Hindustan Aeronautics Limited

May 15, 2026

Management: The complete order is on HAL. So the entire contract is with HAL, and whatever supply will be made by HAL, the entire thing will be revenue for HAL.

Moderator: The next question is from the line of Sanjeev Zarbade from Anti que Stock Broking.

Sanjeev Zarbade: Sir, there were -- Ravi mentioned that in the future, the growth of manufacturing revenue would be faster than ROH, and it could be -- probably impact margins going ahead that you are guiding for 30% to 31% EBITDA margin. So, how should we read into this?

Management: Yes, manufacturing, see, your repair and overhaul also, what we said that -- see, now current year, if you see our revenue growth is around 7%. And as we grow, manufacturing sales will grow. Then definitely, the composition, what is there right now, i

s around 28% to 30% to 70%.

So it will be in the range of 50% to 50%. 50-50. So there is no reduction in the repair and overhaul sales, Repair and overhaul sales will also grow by the addition of the new platforms and all those things.

And the manufacturing as well, manufacturing sales will grow. The composition only, it will be now 30-70, it will be in the range of 50-50. And your revenue growth would be there as well.

So that, we don't feel -- and there will not be any stress on the profitability from the manufacturing contract. Though revenue there -- I mean, the profitability on repair and overhaul, a little bit higher than manufacturing.

But repair and overhaul, growth will be there as well as manufacturing there, we don't see any stress on the manufacturing sales also in terms of profitability. And that 30% will be maintained.

Moderator: The next question is from the line of Dipen Vakil from PhillipCapital.

Dipen Vakil: Congratulations on the great margins. Sir, first question is, I want to understand your order book position with respect to the projects that are currently under execution. Like, what is the pending order book for engines and -- so ALH helicopters? So, can you help us with the amount breakup for the order book currently executed?

Ravi Kota: Currently, as you see, LCA is one of them. And we have 12 Su-30s, we are doing. AL-31FP engine, we are doing Dornier-228. 21 ALH we're doing. LCH, HTT-40 and RD-33 we are doing. These are the major platforms that are already going on, which I mentioned in my opening statement, where around INR2.84 lakh crores orders are there.

Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: So, my question again on LCA. So you did highlight that I think there's a final leg of iteration, and probably 6 by September, we can deliver. So I think so far in April and May, we may not have received the engine. So, what is the understanding now? Are we still targeting to get at least 2 engines per month from probably next month till March?

Hindustan Aeronautics Limited

May 15, 2026

Ravi Kota: No, Mr. Amit, again, thanks for your question. June, we are expecting 1 engine now. Then afterwards, it is going to August. From August, they have committed 2. And then by end of this year around 15 to 20, yes, so because 15 is telling, yes, I would give, but a balanced one, you may get more which is still not committing. So that's why I told 20 LCA we will deliver this year.

Amit Anwani: So at least 15 additional, the -- and that will be largely starting from August to March?

Ravi Kota: August. Yes, exactly.

Amit Anwani: So that deliveries will slip to the next financial year. Is it correct? So, how much time does it take for the engine to be received after you start delivering till the final delivery happens to the IAF? So, how much time will it take?

Ravi Kota: Around 30 to 45 days.

Amit Anwani: 30 to 45 days, understood. Sir, what is the core reason that last financial year, also, I think you guys received a commitment of at least 2 engines per month, but nothing of that sort materialized. So is it the issue at the GE in terms of supplies? Or -- so what is the core issue that so much of the variability is happening in terms of delivery from GE, despite now things have been okay versus the COVID time? So what is the core issue at their end?

Ravi Kota: Yes. The supply chain issue is global. It has not spared anybody. Even the big players like GE or Honeywell, everybody is impacted by the supply chain. And they have also gone through that cycle. There were some casting issues that they had because we, as I explained earlier, went to the Tier 2, Tier 3 suppliers to also understand the real issue. And they had a real supply chain issue. So it is, again, supply chain. As I told you, disruption is with GE also. Now they have found an alternative for that. S

o that's why he is committing the numbers that I explained to you also.

Amit Anwani: Understood, sir. Sir, finally, you mentioned the ongoing projects. Just wanted to understand in terms of numbers, how much, for example, the engines RD and AL FP, how many numbers you're targeting for deliveries across different platforms that would help?

Management: Our target is around 32, 35 engines per annum of AL-31 FP. And RD-33, only 15 engines are left, and those 15 will be delivered in the current financial year, '26, '27.

Amit Anwani: Right. So what's the target for HTT, ALH?

Management: ALH, Army, the 10 numbers are left out, and then we are going to deliver those 10.

Ravi Kota: There are the other 5, and Pawan Hans is 8. These are our targets. They're all on track, and we'll be able to do that.

Hindustan Aeronautics Limited

May 15, 2026

Page 16 of 18

Amit Anwani: And LCA, you said, probably we are targeting 15 to 20 deliveries this financial year? That's right?

Management: You are right.

Moderator: The next question is from the line of Shreya Agarwal from Asian Market Securities.

Mayur Milak: This is Mayur Milak. So first thing, you've added about INR9,000-odd crores into your inventory this year. And you said bulk of that is the LCA inventory that you've carried. So this is all the bodies that you had made, the airframes and the engines received, all of that is sitting in inventory, is it?

Management: Yes, yes. That is a WIP, what we have made up. We don't have only LCA. Many programs are going on. And the inventory is for repair, if you see, out of INR33,000 crores, INR20,000 crores is towards repair and overhaul and spares.

And so we built up inventory for repair and overhaul also, spare supply, then we have Su-30, AL-31FP engines, RD-33 engines, then LCH, to some extent, ALH. So this inventory is for all now those platforms, HTT-40. LCA is part of it. And as I said, out of 30,000 LCA is around INR8,000 crores.

Mayur Milak: Sure, sure. So the second thing, we've had capacities of 24 LCAs, and assuming that these deliveries begin as and when in this fiscal. Would it be fair to assume that we should start having a better operating efficiency and some recovery in margins because of that as well, since most of that facility would be lying idle as of now?

Ravi Kota: No. Why? They are not idle because you see production is happening. We have 3 lines now, 2 in Bangalore and 1 in Nashik. Not a single production line is idle because we are continuously building the structures and equipping them. Everything is being done. It's not that these facilities are idle. That is why we were able to do what we showed at the end of March, 21-22 structures ready.

Those structures are fully built and engine ground run completed, which means all the systems are working fine. So there's nothing called idle capacity as of now. And we have 97 orders coming. So all these facilities will be 100% utilized throughout the year.

Mayur Milak: Okay. And sir, just since you've been mentioning it time and again, that there is an ongoing process of checking and the facilities on the LCA, and approvals are expected once we complete most of these parameters. I'm just trying to understand, let's say, as and when the first round of deliveries happens, does that mean that all our dedicated numbers will have the same software, or will there still be upgrades coming in on the pending volume that needs to be delivered to the armed forces?

Hindustan Aeronautics Limited

May 15, 2026

Page 17 of 18

Ravi Kota: No. Because once the certification happens, all aircraft will be with the same software. Minor modifications will be there. There's always continuous improvement. But that will not be like a huge jump. Minor updates will be there because once we fly, a few improvements will be required. So that we will take on if we—and most of the time...

Mayur Milak: Okay. And so that is

why you're saying that once those deliveries happen, we should expect better returns on the spare part use and the ROH income. So will all of those changes be part of the service income?

Ravi Kota: LCA will not be immediate because these deliveries are happening now. These ROHs will come after some time.

Management: There are already 38 LCAs we have delivered from earlier contracts. Those things will come now. And then with the ALH continuously, we are supplying 20 to 25 every year. So those things will come. So there is an addition in the repair and overall quantity. And these LCAs what will

be delivering, right, the current financial year, maybe like the 3 years, we will come for ROH...

Management: ROH cycle will start.

Management: ROH.

Moderator: The next question is from the line of Sagar Dhawan from Valuequest.

Sagar Dhawan: Sir, just wanted to understand on the ROH side. Typically, in the LCA, like you said, you delivered 38. In the INR100 of the value of the equipment, what is the relative ROH portion in that? I mean, if INR100 is the equipment, then anchor a thumb rule that this would be the ROH component in terms of value?

Management: ROH, see, repair, and overhaul has nothing to do with the sale of the equipment. After that, it depends on the -- what type of repair, the repair or it's a full overhaul. If it's a full overhaul, we have a separate kind of pricing mechanism, 10 to 15 will be on a cost-plus basis. So it will come for the overhauling, and whatever will be the cost -- actual cost in terms of component, material, labor.

So the selling price will be decided on that basis. And based on the samples, the overhauling cost will be fixed. Okay. So as I say, in the procedure, repair, and overhaul procedure. We call it the PPRC, the pricing policy review mechanism. So it will be done in that way. So there is no fixed percentage that ROH will be a fixed percentage of the equipment cost.

Sagar Dhawan: Got it. And sir, one more clarification. When you receive an order for a new aircraft, let's say, a Tejas LCA order you received a couple of years back, 97 plus 83, did the order inflow include the ROH portion in that, or is that order only for the equipment?

Ravi Kota: It's only for production.

Hindustan Aeronautics Limited

May 15, 2026

Page 18 of 18

Management: It's only for the delivery of the quantity along with the...

Management: That will be a separate order later.

Moderator: The next question is from the line of Shubham Dalia from Nirmal Bang Institutional Equities.

Shubham Dalia: Congratulations on a great set of numbers. Sir, my question is on the number of deliveries that we are expecting and the guidance that is there, because we are expecting around 20 plus HTT-40, then we are also expecting LCA to go, then the guidance of 10% to 12%. So are we seeing some risk in any of these programs? That's my first question.

Management: When we tell 10% to 12%, then hopefully, we have taken all these things into account while we conclude our revenue target for the current financial year. So hopefully, we expect that whatever we have told right now, we will be delivering. And we have our ways and means to see that if something goes wrong.

And we will always have our plan B in the year that we cannot tell you right now. But we are confident that LCA and HTT-40 will be delivered, and whatever guidance we are giving, 10% to 12%, we'll be able to maintain it.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

Ravi Kota: This is Ravi here, CMD, again. I just want to thank each one of you for taking the time and asking us questions. And we, at HAL, are continuously working towards meeting these targets, as we said. Once again, thank you to each one of you for participating in this call. Thank you very much.

Moderator: Thank you. On behalf of Ambit

Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Ravi Kota: Thank you.